SECTION – B

(Answer any five questions out of seven questions given. Each question carries 14 Marks.)

[5x14=70]

2. (a) Explain the provisions relating to the appointment of Trustees for Depositors under Rule 7 and the duties of such Trustees as prescribed under Rule 8. [7]

(b) Describe the legal provisions under Section 152 of the Companies Act, 2013 concerning the appointment of directors and the manner of filling vacancies caused by retiring directors. [7]

Answer:

(a) Appointment of Trustee for Depositors (Rule 7)

a) No eligible company shall issue a circular or advertisement inviting secured deposits unless the company has appointed one or more trustees for depositors for creating security for the deposits. Trustees shall not be related to the directors and shall not have pecuniary interest on the company.

b) The company shall execute a deposit trust deed in Form DPT-2 at least seven days before issuing the circular or circular in the form of advertisement.

c) No person including a company that is in the business of providing trusteeship services shall be appointed as a trustee for the depositors, if the proposed trustee:

(1) is a director, key managerial personnel or any other officer or an employee of the company or of its holding, subsidiary or associate company or a depositor in the company.

(2) is indebted to the company, or its subsidiary or its holding or associate company or a subsidiary of such holding company.

(3) has any material pecuniary relationship with the company.

(4) has entered into any guarantee arrangement in respect of principal debts secured by the deposits or interest thereon.

(5) is related to any person specified in clause (a) above.

d) No trustee for depositors shall be removed from office after the issue of circular or advertisement and before the expiry of his term except with the consent of all the directors present at a meeting of the board.

Provided that in case the company is required to have independent directors, at least one independent director shall be present in such meeting of the Board.

Duties of Trustees (Rule 8)

It shall be the duty of every trustee for depositors to:

(a) ensure that the assets of the company on which charge is created together with the amount of deposit insurance are sufficient to cover the repayment of the principal amount of secured deposits outstanding and interest accrued thereon.

(b) satisfy himself that the circular or advertisement inviting deposits does not contain any information which is inconsistent with the terms of the deposit scheme or with the trust deed and is in compliance with the rules and provisions of the Act.

(c) ensure that the company does not commit any breach of covenants and provisions of the trust deed.

(d) take such reasonable steps as may be necessary to procure a remedy for any breach of covenants of the trust deed or the terms of invitation of deposits.

(e) take steps to call a meeting of the holders of depositors as and when such meeting is required to be held.

(f) supervise the implementation of the conditions regarding creation of security for deposits and the terms of deposit insurance.

(g) do such acts as are necessary in the event the security becomes enforceable.

(h) carry out such acts as are necessary for the protection of the interest of depositors and to resolve their grievances.

(b) Appointment of Directors [Section 152]

(1) Where no provision is made in the articles of a company for the appointment of the first director, the subscribers to the memorandum who are individuals shall be deemed to be the first directors of the company until the directors are duly appointed. [Section 152 (1)]

In case of a One Person Company, an individual being member shall be deemed to be its first director until the director or directors are duly appointed by the member in accordance with the provisions of this section. [Section 152 (1)]

(2) Every director shall be appointed by the company in general meeting, unless any specific method of appointment is provided in the Articles of Association. [Section 152 (2)].

(3) No person shall be appointed as a director of a company unless he has been allotted the Director Identification Number (DIN) under section 154. [Section 152 (3)].

(4) Every person proposed to be appointed as a director by the company in general meeting or otherwise, shall furnish his Director Identification Number (DIN) and a declaration that he is not disqualified to become a director under this Act. [Section 152 (4)].

(5) A person appointed as a director shall not act as a director unless he gives his consent to hold the office as director and such consent has been filed with the Registrar within 30 days of his appointment in Form DIR-12 along with the fee as prescribed [Section 152(5)]

The Ministry of Corporate Affairs has clarified via Notification No. 463(E) and 466(E) dated 5th June, 2015, that section 152 (5) shall not apply:

a) where appointment of such director is done by the Central Government or State Government, as the case may be.

b) to a section 8 company.

Vacancy in case of retiring director [Section 152(7)]

(a) If the vacancy of the retiring director is not so filled-up and the meeting has not expressly resolved not to fill the vacancy, the meeting shall stand adjourned till the same day in the next week, at the same time and place, or if that day is a national holiday, till the next succeeding day which is not a holiday, at the same time and place.

(b) If at the adjourned meeting also, the vacancy of the retiring director is not filled up and that meeting also has not expressly resolved not to fill the vacancy, the retiring director shall be deemed to have been re-appointed at the adjourned meeting, unless:

(1) at that meeting or at the previous meeting a resolution for the re-appointment of such director has been put to the meeting and lost.

(2) the retiring director has, by a notice in writing addressed to the company or its Board of directors, expressed his unwillingness to be so re-appointed.

(3) he is not qualified or is disqualified for appointment.

(4) a resolution, whether special or ordinary, is required for his appointment or re appointment by virtue of any provisions of this Act.

(5) Section 162 is applicable to the case.

Non applicability of section 152 (6) and 152 (7)

The provisions relating to retirement, shall not apply to:

(1) A Government company in which the entire paid up share capital is held by the Central Government, or by any State Government or Governments or by the Central Government and one or more State Governments;

(2) A subsidiary of a Government company, referred to in (a) above, in which the entire paid up share capital is held by the Government company.

3. (a) Explain the provisions of Section 174 of the Companies Act, 2013 relating to the quorum requirements for meetings of the Board of Directors. [7]

(b) Explain the provisions of Section 232 of the Companies Act, 2013 relating to the merger and amalgamation of companies. [7]

Answer:

(a) Quorum for meetings of Board (Section 174)

A quorum is the minimum number of qualified persons who must be present in order to transact business at a duly convened Board meeting. A meeting shall not be deemed to have been properly held unless the quorum was present at that meeting. Presence of requisite Quorum validate decision taken at a meeting.

(a) The quorum for a Board Meeting shall be one-third of its total strength or two directors, whichever is higher.

(b) The directors who participate by video conferencing or by other audio visual means shall also be counted for the purpose of quorum.

(c) The continuing directors may act notwithstanding any vacancy in the Board; but, if the number is reduced below the quorum fixed by the Act for a meeting of the Board, the continuing (remaining) directors or director may act for the purpose of increasing the number of directors to that fixed for the quorum, or of summoning a general meeting of the company and for no other purpose.

(d) Where at any time the number of interested directors exceeds or is equal to two third of the total strength of the Board of Directors, the quorum shall be the number of directors who are present at the meeting and not interested directors and are not be less than two.

(e) Interested director means every director of a company who is in anyway, whether directly or indirectly, concerned or interested in a contract or arrangement or proposed contract or arrangement which is placed in agenda of the meeting.

Notes:

(1) Section 8 Companies under the Act shall constitute quorum for the Board meeting, either eight members or 25% of its total strength whichever is less. Provided that quorum shall not be less than two members. [Vide Notification G.S.R.466(E) dated 5th June 2015]

(2) The provisions of section 174 are not applicable to one-person company in which there is only one director on its Board of directors.

(3) For the purpose of calculating quorum, any fraction of a number shall be rounded off as one.

(4) Total strength shall not include directors whose places are vacant.

(5) As per the SS-1 (Secretarial Standards on the Meeting of Board):

a) Quorum shall be present throughout the meeting.

b) In case of committee meetings, the presence of all members of any committee constituted by the Board is necessary to form the quorum for the meetings of such committee unless otherwise stipulated in the Act, or any other law, or the Articles or by the Board.

(b) Merger and Amalgamation of Companies [Section 232]

(a) U/s 232(1), when an application is made to the Tribunal under Section 230 for the sanctioning of a compromise or an arrangement proposed between a company and any such persons as are mentioned in that Section, and it is shown to the Tribunal:

(1) that the compromise or arrangement has been proposed for the purposes of, or in connection with, a scheme for the reconstruction of the company or companies involving merger or the amalgamation of any two or more companies, and

(2) that under the scheme, the whole or any part of the undertaking, property or liabilities of any company is required to be transferred to another company, or is proposed to be divided among and transferred to two or more companies, the Tribunal may on such application, order a meeting of the creditors or class of creditors or the members or class of members, as the case may be, to be called, held and conducted in such manner as the Tribunal may direct and the provisions of Section 230 shall apply mutatis mutandis.

(b) Such order shall also require to circulate the following for the meeting so ordered by the Tribunal, namely:

(1) the draft of the proposed terms of the scheme drawn up and adopted by the directors of the merging company.

(2) confirmation that a copy of the draft scheme has been filed with the Registrar;

(3) a report adopted by the directors of the merging companies explaining effect of compromise on each class of shareholders, key managerial personnel, promoters and non-promoter shareholders specifying out in particular the share exchange ratio, specifying any special valuation difficulties.

(4) the report of the expert with regard to valuation, if any.

(5) a supplementary accounting statement if the last annual accounts of any of the merging company relate to a financial year ending more than 6 months before the first meeting of the company summoned for the purposes of approving the scheme.

The Tribunal, after satisfying itself that the procedure of holding meeting has been complied with, may, by order, sanction the compromise or arrangement or by a subsequent order, make provision for the following matters, namely:

(1) the transfer to the transferee company of the whole or any part of the undertaking, property or liabilities of the transferor company from a date to be determined by the parties.

(2) the allotment or appropriation by the transferee company of any shares, debentures, policies or other like instruments in the company which, under the compromise or arrangement, are to be allotted or appropriated by that company to or for any person:

(3) the continuation by or against the transferee company of any legal proceedings pending by or against any transferor company on the date of transfer.

(4) dissolution, without winding-up, of any transferor company.

(5) the provision to be made for any persons who, within such time and in such manner as the Tribunal directs, dissent from the compromise or arrangement.

(6) where share capital is held by any non-resident shareholder under the foreign direct investment norms or guidelines specified by the Central Government or in accordance with any law for the time being in force, the allotment of shares of the transferee company to such shareholder shall be in the manner specified in the order;

(7) the transfer of the employees of the transferor company to the transferee company.

(8) when the transferor company is a listed company and the transferee company is an unlisted company:

a) the transferee company shall remain an unlisted company until it becomes a listed company.

b) if shareholders of the transferor company decide to opt out of the transferee company, provision shall be made for payment of the value of shares held by them and other benefits in accordance with a pre-determined price formula or after a valuation is made, and the arrangements under this provision may be made by the Tribunal:

(9) where the transferor company is dissolved, the fee, if any, paid by the transferor company on its authorised capital shall be set-off against any fees payable by the transferee company on its authorised capital subsequent to the amalgamation; and

(10) such incidental, consequential and supplemental matters as are deemed necessary to secure that the merger or amalgamation is fully and effectively carried out:

A certificate by the company's auditor has been filed with the Tribunal to the effect that the accounting treatment, if any, proposed in the scheme of compromise or arrangement is in conformity with the accounting standards.

(11) Any property or liabilities, shall be transferred to the transferee company and the liabilities shall be transferred to and become the liabilities of the transferee company and any property

may, if the order so directs, be freed from any charge which shall by virtue of the compromise or arrangement, cease to have effect.

(12) Certified copy of the order to be filed with the registrar Section 232(5) within thirty days of the receipt of certified copy of the order.

(13) Effective date of the scheme

Section 232 (6) states that the scheme under this Section shall clearly indicate an appointed date from which it shall be effective and the scheme shall be deemed to be effective from such date and not at a date subsequent to the appointed date.

(14) Annual statement certified by CA/CS/CMA to be filed with Registrar every year until the completion of the scheme.

Every company in relation to which the order is made shall, until the completion of the scheme, file a statement in such form and within such time as may be prescribed with the Registrar every year duly certified by a chartered accountant or a cost accountant or a company secretary in practice indicating whether the scheme is being complied with in accordance with the orders of the Tribunal or not.

4. (a) Three Board meeting of A Ltd. were held on 01.01.2024, 01.04.2024, 01.07.2024. In the fourth Board meeting scheduled for 27.10.2024, no matter could be discussed since the required quorum was not present, and so it was adjourned till 03.11.2024. In the adjourned Board meeting held on 03.11.2024, 5 matters were discussed and voted upon. Assess the situation, has the company contravened any of the provisions of the Companies Act, 2013? [7]

(b) X & Co. is a LLP firm wants to convert their firm into a corporate entity as per the provisions contained in Sec. 366 of the Companies Act ,2013 and the Companies (Authorized to registered) Rules, 2014. They have conducted a meeting for conversion of and to decide the name of the company summoned for the purpose of registering the LLP. In the meeting 1/4th partners want for the conversion into a Pvt. Ltd company, and ¾th partners want for a new corporate entity with the word "Public Limited". There are 6 partners in the firm. Recommend an appropriate decision and steps to be taken by the firm. [7]

Answer:

(a) As per section 173 (1), at least four Board meetings shall be held in each calendar year and not more than 120 days shall intervene between two consecutive meetings of the Board. In the present case, the Board meeting held on 27.10.2024 was adjourned, and the adjourned Board meeting was held on 03.11.2024. The Board meeting held on 27.11.2024 and adjourned Board meeting held on 03.11.2024 shall not be deemed to be separate Board meetings, since an adjourned meeting is a mere continuation of the original meeting. Accordingly, the Board meeting held on 27.10.2024 and the adjourned Board meeting held on 03.11.2024 shall be counted as one Board meeting only. Thus, the company has held 4 Board meetings during the calendar year 2024. The gap between first and second Board meeting was not more than 120 days. Similarly, the gap between the 2nd and third Board meeting was not more than 120 days. Regarding the gap between the third and fourth Board meeting, the date of third board meeting and forth original board meeting should be considered. This is so because the Board meeting only, it shall be deemed that

only one Board meeting was held on 27.10. 2024.As is evident, the gap between the third Board meeting 1.07.2024 and fourth Board meeting is not more than 120 days. Since A ltd has held four Board meetings during the calendar year 2024, and the gap between no two consecutive Board meetings is more than 120 days, A Ltd has complied with section 173.

(b) An LLP can be converted into a Pvt. Ltd. Company as per the provisions contained in section 366 of the companies act 2013 and the companies (Authorised to Registered) Rules, 2014.

This steps can be initiated in 2 ways as enumerated below:

(i) Incorporation of a new corporate entity.

(ii) Conversion of existing entity (e.g. LLP/Partnership Firm) into a Company There are various requirements which need to be satisfied for converting an LLP into a private Ltd.

1. An LLP must have at least 7 partners (however as per Companies Amendment Act ,2017 LLP with 2 partners can be converted into company).
2. Approval from all partners is required.
3. Advertisement in newspaper is to be done in a local and national newspaper.
4. No objection certificate (NOC) is required from ROC where such LLP is registered

However, if an LLP crosses an annual turnover of Rs.40 lakhs or a capital contribution of more than Rs.25 lakhs, the compliance requirements for LLP and Private Limited Company become almost similar, making the private limited company a better choice. Further that a company with less than 7 members shall register as a private company, whether the majority is for a new corporate entity with the word "Public Limited".

The following steps to be taken by the firm:

1. Hold a meeting of the partners to decide the name of the company. To authorize partners to take all steps necessary and to execute all papers, deeds, documents etc. pursuant to register of the LLP as a Company. The major advantages are that the business can be run under the same name as that of the LLP except that in addition to the name of LLP the words Limited or private limited has to be added. The accepted name by the authority will be valid for 60 days.
2. After obtaining name approval, apply for Digital Signature Certificate (DSC) and Director Identification Number (DIN) for the member of the LLP who will be the directors of the Private Limited Company after conversion. n case of non-applicability of DIN, the applicant needs to provide address proof, identity proof and photographs along with the application. Therefore, obtain DIN directly through filing incorporation form.
3. Further, Form URC-1 needs to be filed by the applicant; furnish the following list of documents along with the form URC-1.
   - Provide details such as name, address and shares held by the members along with the member's list.
   - Provide details such as Name, Address, DIN, passport number along with an expiry date of all the directors of the Private Limited Company.
   - An affidavit is required from the first directors of the Private Limited Company stating that they are not banned from being a director

- Also, file all mandatory documents with the Registrar of Companies for the registration of the company.
- Note: The details provided by the company should be complete, correct and accurate to the best of their knowledge.
- Copy of Limited Liability Partnership agreement with a list containing the name and address of the partners of LLP and a certified copy of registration which is duly verified by at least two designated partners of LPP is required.
- The statement with the details of the nominal share capital of the firm and the number of shares separated, the number of shares taken and the amount remitted for each share and the name of the firm with the word private limited to be provided.
- The no-objection certificate from all the creditors has to be provided.
- Duly certified accounts statement of the company by the auditor, which should not be less than six days from the date of application and the copy of the newspaper advertisement is required.

4. Draft the Memorandum of Association (MOA) and Articles of Association (AOA) and submit to the Registrar of Companies. After the approval of the company name, the Register of Companies sanctions the form URC-1.

5. (a) Examine the provisions under the Insolvency and Bankruptcy Code, 2016 relating to the appointment and remuneration of a liquidator, and discuss the powers and duties vested in the liquidator. [7]

(b) KBC Private Limited (Corporate Debtor) is a company incorporated on 01.01.2020 under the provisions of Companies Act, 1956, having its registered office at Mumbai. The Authorised Share Capital of the company is ₹10,00,00,000/- and Paid up Share Capital of the company is ₹9,90,00,000/-. UGC Private Limited (Operational Creditor) is a company incorporated on 01.01.2021 under the provisions of Companies Act, 1956 having its registered office at Kolkata.

KBC Private Limited approached UGC Private Limited for purchase of inputs for his production. It was specifically agreed that upon procuring the inputs by KBC Private Limited and raising of invoices by UGC Private Limited, the entire payment for such invoices shall be made in a timely manner. As per the arrangement, the KBC Private Limited placed various purchase orders for supply of inputs. UGC Private Limited supplied the goods as per the orders placed by KBC Private Limited and raised invoices against the said supply. The invoices were duly acknowledged by KBC Private Limited and an amount as part payments were also made. But thereafter, inspite of various requests made and reminders sent by UGC Private Limited, the KBC Private Limited had neither responded nor repaid the remaining claim. On failure to pay the outstanding dues by the KBC Private Limited, the UGC Private Limited sent a demand notice dated 01.01.2025 under Section 8 of the Insolvency and Bankruptcy Code, 2016 to the respondent asking them to make the entire outstanding payments of ₹ 20,00,000/- (Rupees Twenty Lakhs) inclusive of interest within 15 days from receipt of the notice, failing which the UGC Private Limited shall initiate the Corporate Insolvency Resolution process against the KBC Private Limited. Despite the demand notice, the

KBC Private Limited did not pay the amount demanded, neither raised any notice of dispute nor replied to the said notice. As a next action UGC Private Limited filed an application before National Company Law Tribunal (NCLT), seeking to unfold the process of Corporate Insolvency Resolution Process (CIRP).

Based on the above fact, answer the following:

(i) Can UGC Private Limited make application before the Adjudicating Authority and where to file such application to initiate the Corporate Insolvency process in the given case.

(ii) Examine who is authorized to appoint an Interim Resolution Professional in case Resolution Professional is not appointed by the UGC Private Limited? Discuss the moratorium as envisaged under the provisions of Section 14(1) to (4) of the Insolvency and Bankruptcy Code, 2016 in relation to the Corporate Debtor. [7]

Answer:

(a) Appointment and remuneration of Liquidator

The resolution professional appointed for the corporate insolvency resolution process shall, subject to the submission of the written consent, act as the liquidator unless replaced by the Adjudicating Authority. All powers of the board of directors, key managerial personnel and the partners of the corporate debtor, as the case may be, shall cease to have effect and shall be vested in the liquidator.

The personnel of the corporate debtor shall extend all assistance and co-operation to the liquidator.

The Adjudicating Authority shall by order replace the resolution professional, if-

(a) the resolution plan submitted by the resolution professional was rejected for failure to meet the requirements of the Code;

(b) the Board recommends the replacement of a resolution professional to the Adjudicating Authority for reasons to be recorded in writing;

(c) the Resolution professional fails to submit written consent.

The Adjudicating Authority may appoint another Insolvency Professional as liquidator on recommendation of the Board.

Powers and duties of liquidator

The liquidator will work under overall directions of the Adjudicating Authority and have the following powers and duties.

(a) to verify claim of all the creditors.

(b) to take into his custody or control all the assets, property, effects and actionable claims of the corporate debtor.

(c) to evaluate the assets and property of the corporate debtor.

(d) to take such measures to protect and preserve the assets and properties.

(e) to carry on the business of the corporate debtor for its beneficial liquidation as he considers necessary.

(f) To sell the immovable and movable property and actionable claims of the corporate debtor in liquidation other than to those who are not eligible to be a resolution applicant.

(g) to draw, accept, make and endorse any negotiable instruments

(h) to take out, in his official name, letter of administration to any deceased contributory and to do in his official name any other act necessary for obtaining payment of any money due and payable from a contributory or his estate.

(i) to obtain any professional assistance from any person or appoint any professional

(j) to invite and settle claims of creditors and claimants and distribute proceeds in accordance with the provisions of this Code.

(k) to institute or defend any suit, prosecution or other legal proceedings, civil or criminal, on behalf of the corporate debtor.

(l) to investigate the financial affairs of the corporate debtor to determine undervalued or preferential transactions

(m) to take all such actions, steps, or to sign, execute and verify any paper, deed, receipt document, application, petition, affidavit, bond or instrument.

(n) to apply to the Adjudicating Authority for such orders or directions as may be necessary for the liquidation of the corporate debtor and to report the progress of the liquidation process

(o) to perform such other functions as may be specified by the Board.

The liquidator may but consult any of the stakeholders entitled to a distribution of proceeds such consultation shall not be binding on the liquidator.

(b) i. Yes, UGC Private Limited can make application before the Adjudicating Authority.

As per Section 6 of the Insolvency and Bankruptcy Code, 2016, where any corporate debtor commits a default, a financial creditor, an operational creditor or the corporate debtor itself may initiate corporate insolvency resolution process in respect of such corporate debtor in the manner as provided under Chapter II of the Part II of the Insolvency and Bankruptcy Code, 2016. It may be noted that in terms of Section 5(20) of the Insolvency and Bankruptcy Code, 2016 operational creditor means a person to whom an operational debt is owed and includes any person to whom such debt has been legally assigned or transferred;

Application to initiate the Corporate Insolvency process may be filed before the Adjudicating Authority. In terms of Section 5(1) of the Insolvency and Bankruptcy Code, 2016, Adjudicating Authority means National Company Law Tribunal constituted under section 408 of the Companies Act, 2013. According to Section 9 of the Insolvency and Bankruptcy Code, 2016, Application for initiation of corporate insolvency resolution process by operational creditor shall be filed in such form and manner and accompanied with such fee as may be prescribed.

ii. Adjudicating Authority (National Company Law Tribunal) appoint Interim Resolution Professional in case Resolution Professional is not appointed by the Operational Creditor (UGC Private Limited).

Section 14 of the Insolvency and Bankruptcy Code, 2016 deals with Moratorium. Section 14(1) provides that subject to provisions of sub-sections (2) and (3), on the insolvency commencement date, the Adjudicating Authority shall by order declare moratorium for prohibiting all of the following, namely: -

(a) the institution of suits or continuation of pending suits or proceedings against the corporate debtor including execution of any judgement, decree or order in any court of law, tribunal,

arbitration panel or other authority;

(b) transferring, encumbering, alienating or disposing off by the corporate debtor any of its assets or any legal right or beneficial interest therein;

(c) any action to foreclose, recover or enforce any security interest created by the corporate debtor in respect of its property including any action under the Securitisation and Reconstruction of Financial Assets and Enforcement of Security Interest Act, 2002

(d) the recovery of any property by an owner or lessor where such property is occupied by or in the possession of the corporate debtor.

Section 14(2) states that the supply of essential goods or services to the corporate debtor as may be specified shall not be terminated or suspended or interrupted during moratorium period.

As per Section 14(3) the provisions of sub-section (1) shall not apply to —

(a) such transaction as may be notified by the Central Government in consultation with any financial regulator;

(b) a surety in a contract of guarantee to a corporate debtor.

Section 14(4) provides that the order of moratorium shall have effect from the date of such order till the completion of the corporate insolvency resolution process. It may be noted that where at any time during the corporate insolvency resolution process period, if the Adjudicating Authority approves the resolution plan under sub-section (1) of section 31 or passes an order for liquidation of corporate debtor under section 33, the moratorium shall cease to have effect from the date of such approval or liquidation order, as the case may be.

6. (a) Corporate governance is important in a family business also. Discuss the key points in evolving corporate governance in family businesses. [7]

(b) Explain the benefits of business intelligence and identify the various types of business intelligence tools and applications. **[7]**

Answer:

(a) Corporate Governance in Family Business – Summary

1. Balancing Family and Business Interests

Family businesses often struggle to balance emotional family ties with professional business decisions. Good governance helps manage conflicts, ensures objectivity, and separates personal issues from business matters.

2. Importance of Succession Planning

A major governance challenge is preparing for leadership transition. Clear succession plans reduce uncertainty, prevent disputes, and ensure business continuity across generations.

3. Formal Governance Structures

Introducing structured governance mechanisms like a board of directors, family council, and family constitution helps define roles, responsibilities, and decision-making processes, fostering transparency and accountability.

4. **Professionalization of the Business**
   Hiring non-family professionals and setting clear job descriptions and performance expectations reduces nepotism, enhances efficiency, and ensures business decisions are made on merit.
5. **Conflict Resolution Mechanisms**
   Family businesses are prone to internal conflicts. Having pre-agreed mechanisms (e.g., mediation clauses, voting rights, conflict resolution committees) ensures smooth functioning and preserves relationships.
6. **Communication and Transparency**
   Open communication builds trust between family members and non-family stakeholders. Regular meetings, clear financial reporting, and shared vision statements are critical for alignment.
7. **Preserving Family Legacy and Values**
   Governance is not only about business—it also protects the family's long-term values and legacy. A documented set of shared principles (e.g., mission, vision, code of ethics) guides behaviour and preserves identity.

(b) Benefits of business intelligence

A successful BI program produces a variety of business benefits in an organization. For example, BI enables C-suite executives and department managers to monitor business performance on an ongoing basis so they can act quickly when issues or opportunities arise. Analyzing customer data helps make marketing, sales and customer service efforts more effective. Supply chain, manufacturing and distribution bottlenecks can be detected before they cause financial harm. HR managers are better able to monitor employee productivity, labor costs and other workforce data.

Overall, the key benefits that businesses can get from BI applications include the ability to:

(i) speed up and improve decision-making;
(ii) optimize internal business processes;
(iii) increase operational efficiency and productivity;
(iv) spot business problems that need to be addressed;
(v) identify emerging business and market trends;
(vi) develop stronger business strategies;
(vii) drive higher sales and new revenues; and
(viii) gain a competitive edge over rival companies.

BI initiatives also provide narrower business benefits -- among them, making it easier for project managers to track the status of business projects and for organizations to gather competitive intelligence on their rivals. In addition, BI, data management and IT teams themselves benefit from business intelligence, using it to analyze various aspects of technology and analytics operations.

Types of business intelligence tools and applications

The list of BI technologies that are available to organizations includes the following:

Ad hoc analysis. It's the process of writing and running queries to analyze specific business issues 0n casual or temporary basis.

Online analytical processing (OLAP). OLAP tools enable users to analyze data along multiple dimensions, which is particularly suited to complex queries and calculations. bases.

Mobile BI. Here, BI applications and dashboards available on smartphones and tablets. This may only display two or three data visualizations and KPIs so they can easily be viewed on a device's screen.

Real-time BI. In real-time BI applications, data is analyzed as it's created, collected and processed to give users an up-to-date view of business operations, customer behavior, financial markets and other areas of interest. The real-time analytics process often involves streaming data and supports decision analytics uses, such as credit scoring, stock trading and targeted promotional offers.

Operational intelligence (OI). Also called operational BI, this is a form of real-time analytics that delivers information to managers and frontline workers in business operations.

Open source BI (OSBI). Business intelligence software that is open source typically includes two versions: a community edition that can be used free of charge and a subscription-based commercial release with technical support by the vendor.

Embedded BI. Embedded business intelligence tools put BI and data visualization functionality directly into business applications. That enables business users to analyze data within the applications they use to do their job. Embedded analytics features are most commonly incorporated by application software vendors, but corporate software developers can also include them in home grown applications.

Collaborative BI. This is more of a process than a specific technology. It involves the combination of BI applications and collaboration tools to enable different users to work together on data analysis and share information with one another. For example, users can annotate BI data and analytics results with comments, questions and highlighting via the use of online chat and discussion tools.

Location intelligence (LI). This is a specialized form of BI that enables users to analyze location and geospatial data, with map-based data visualization functionality incorporated. Location intelligence offers insights on geographic elements in business data and operations. Potential uses include site selection for retail stores and corporate facilities, location-based marketing and logistics management.

7. (a) Discuss "connected person" in context of insider trading. [7]

(b) Examine the concepts of "Abuse of Dominant Position" and "Predatory Pricing" under the Competition Act, 2002. [7]

Answer:

(a) According to Regulation 2 (1) (d) of SEBI (Prohibition of Insider Trading) Regulations, 2015, "connected person" means-any person who is or has during the 6 months prior to the concerned act been associated with a company, directly or indirectly, in any capacity including by reason of frequent communication with its officers or by being in any contractual, fiduciary or employment relationship or by being a director, officer or an employee of the company or holds any position including a professional or business relationship between himself and the company whether temporary or permanent, that allows such person, directly or indirectly, access to unpublished price sensitive information or is reasonably expected to allow such access. The following persons shall be considered to be connected persons unless the contrary is established, -

(a) an immediate relative of connected persons specified in clause (i); or
(b) a holding company or associate company or subsidiary company; or
(c) an intermediary as specified in section 12 of the Act or an employee or director thereof; or
(d) an investment company, trustee company, asset management company or an employee or director thereof; or
(e) an official of a stock exchange or of clearing house or corporation; or
(f) a member of board of trustees of a mutual fund or a member of the board of directors of the asset management company of a mutual fund or is an employee thereof; or
(g) a member of the board of directors or an employee, of a public financial institution; or
(h) an official or an employee of a self-regulatory organization recognised or authorized by the Board; or
(i) A concern, firm, Hindu undivided family, company, or an association of persons wherein a director of the company or his immediate relative or banker of the company, has more than ten percent of the holding of interest.

(b) Abuse of Dominant Position

(a) if an enterprise or a group directly or indirectly, imposes unfair or discriminatory—
  (i) condition in purchase or sale of goods or service; or
  (ii) price in purchase or sale (including predatory price) of goods or service; or
(b) limits or restricts—
  (i) production of goods or provision of services or market therefor; or
  (ii) technical or scientific development relating to goods or services to the prejudice of consumers; or
(c) indulges in practice or practices resulting in denial of market access in any manner; or
(d) makes conclusion of contracts subject to acceptance by other parties of supplementary obligations which, by their nature or according to commercial usage, have no connection with the subject of such contracts; or
(e) uses its dominant position in one relevant market to enter into, or protect, other relevant market. "dominant position" means a position of strength, enjoyed by an enterprise, in the relevant market, in India, which enables it to—
  (i) operate independently of competitive forces prevailing in the relevant market; or
  (ii) affect its competitors or consumers or the relevant market in its favour.

"predatory price" means the sale of goods or provision of services, at a price which is below the cost, as may be determined by regulations, of production of the goods or provision of services, with a view to reduce competition or eliminate the competitors.

8. (a) Examine the key features of the Prevention of Money Laundering Act (PMLA), 2002, and Discuss any seven significant points. [7]

(b) Discuss the procedure for registration of an Asset Reconstruction Company [7]

Answer:

(a) Key features of PMLA

The Prevention of Money Laundering Act (PMLA), 2002, was enacted to prevent money laundering and to provide for the confiscation of property derived from or involved in money laundering. Here are seven key features of the Act:

1. **Definition of Money Laundering:**
   Under Section 3 of PMLA, money laundering is defined as any process or activity connected with the proceeds of crime, including its concealment, possession, acquisition, or use.
2. **Attachment of Property:**
   Authorities under PMLA can provisionally attach property believed to be involved in money laundering, to prevent its transfer or disposal before the completion of investigation.
3. **Adjudicating Authority:**
   An Adjudicating Authority is appointed to confirm the attachment of property and take further action regarding its confiscation.
4. **Special Courts:**
   Special Courts are designated under the Act to try offenses of money laundering. These courts are set up under the Prevention of Money Laundering Act in consultation with the Chief Justice of the High Court.
5. **Reporting Entities and KYC:**
   Banks, financial institutions, and intermediaries are required to maintain records and report suspicious transactions to the Financial Intelligence Unit – India (FIU-IND). They must also follow Know Your Customer (KYC) norms.
6. **Presumption in Certain Cases:**
   The Act presumes the existence of a money laundering offense in cases involving interconnected transactions and gives enforcement agencies more power in prosecution.
7. **Confiscation of Property:**
   Once a person is found guilty of money laundering, the involved property can be permanently confiscated by the government.

(b) A company can commence or carry on the business of securitisation or asset reconstruction only after obtaining a certificate of registration and having the owned fund of not less than two crore rupees or such other higher amount as the Reserve Bank, may be notification specify. The Reserve Bank may, by notification, specify different amounts of owned fund for different class or classes of asset reconstruction companies.

(i) The requirement for registration of AMC is as under-

(1) that the asset reconstruction company has not incurred losses in any of the three preceding financial years.

(2) that such asset reconstruction company has made adequate arrangements for realisation of the financial assets acquired for the purpose of securitisation or asset reconstruction and shall be able to pay periodical returns and redeem on respective due dates on the investments made in the company by the qualified institutional buyers or other persons.

(3) that the directors of asset reconstruction company have adequate professional experience in matters related to finance, securitisation and reconstruction.

(4) that any of its directors has not been convicted of any offence involving moral turpitude.

(5) that a sponsor of an asset reconstruction company is a fit and proper person in accordance with the criteria as may be specified in the guidelines issued by the Reserve Bank for such person.

(6) that the asset reconstruction company has complied with or is in a position to comply with prudential norms specified by the Reserve Bank.

(7) that the asset reconstruction company has complied with one or more conditions specified in the guidelines issued by the Reserve Bank for the said purpose.

(ii) RBI may impose restrictions/conditions as deemed fit. Reserve Bank approval is further required for-

(1) any substantial change in its management including appointment of any direction on the Board of Directors of the asset reconstruction company or managing director or Chief Executive Officer thereof.

(2) change of location of its registered office.

(3) change in its name.

The decision of the Reserve Bank, whether the change in management of an asset reconstruction company is a substantial change in its management or not, shall be final and binding. The expression "substantial change in management" means the change in the management by way of transfer of shares or change affecting the sponsorship in the company by way of transfer of shares or amalgamation or transfer of the business of the company.

SECTION – B

(Answer any five questions out of seven questions given. Each question carries 14 Marks.)

[5x14=70]

2. (a) The following is the extract from the Balance Sheet of XYZ Ltd., as on 31-3-2025:

Sl. No.	Particulars	Amount (` in lakhs)
(i)	Authorised capital	100
(ii)	Paid-up Capital	40
(iii)	P & L Account balance	22
(iv)	Share Premium Account	10
(v)	Machinery Revaluation Reserve	11
(vi)	Secured loan taken from a nationalised bank (at 11% rate of interest)	35

The yield of Government security may be taken as under:

Tenure	Yield
1 year	6.5%
2 years	6.7%
3 years	6.9%

ABC Ltd., has approached the company for grant of secured loan for 40 lakhs for a tenure of 40 months. Evaluate, can this loan be granted by the Board of Directors at the interest rate of 6.5%? Critically assess will your answer be different, if the loan is for 45 lakhs? [7]

(b) Explain the limit with regard to remuneration fixed by the Central Government or the company under Section 200 of the Companies Act, 2013? [7]

Answer:

(a) Grant of loan by a public company

Section 186 of the Act provides Loan and Investment by a Company.

As stated therein, a company will not acquire by way of subscription, purchase or otherwise, the securities of any other body corporate

- exceeding 60% of its paid-up share capital, free reserves and securities premium account and debit or credit balance of profit or loss account or
- 100% of its free reserves and securities premium account, whichever is higher.

However, a company can give loans, guarantees and securities or make investments above the prescribed limit when it is previously authorised by a special resolution passed in a general meeting.

Loan amount ₹40 lakhs.

In the present case, Limit (a) above is

Particulars	Amount (₹ in lakhs)
Authorised capital	Not relevant
Paid-up capital	40
P&L account balance	22
Share premium account	10
Machinery revaluation reserve	Not to be considered
Secured loan taken from a Nationalised Bank (at 11% rate of interest)	Not relevant
Total	72
Eligible amount 60% of 72	43.2

Limit (b) above is

P&L account balance	22
Share premium account	10
Eligible amount (100%)	32

Higher of the above is 43.2 lakhs. Hence as regards the quantum of loan, ₹40 lakhs can be granted by the Board.

Loan amount ₹45 lakhs

The Company can give loan with approval of Board. Where the giving of any loan or guarantee or providing any security or the acquisition under Sub-Section (2) exceeds the limits specified in that Sub-Section, prior approval by means of a special resolution passed at a general meeting shall be necessary.

Rate of interest

No loan shall be given under this Section at a rate of interest lower than the prevailing yield of one year, three year, five year or ten-year Government Security closest to the tenor of the loan.

The tenor is 40 months and hence 3 years yield has to be taken, i.e. 6.9%

Hence, the loan cannot be granted at 6.5%, it must be minimum 6.9.

(b) The Central Government or a company may, while according its approval under section 196, to any appointment or to any remuneration under section 197 in respect of cases where the company has inadequate or no profits, fix the remuneration within the limits specified in this Act, at such amount or percentage of profits of the company, considering the following.

(1) the financial position of the Company
(2) the remuneration or commission drawn by the individual concerned in any other capacity.
(3) the remuneration or commission drawn by him from any other company.
(4) professional qualifications and experience of the individual concerned.
(5) any other matters as may be prescribed

The Central Government or the company shall also have regard to the following matters, namely:

(1) the Financial and operating performance of the company during the 3 preceding financial years.

(2) the relationship between remuneration and performance.

(3) the principle of proportionality of remuneration within the company, ideally by a rating methodology which compares the remuneration of directors to that of other directors on the board and employees or executives of the company.

(4) whether remuneration policy for directors differs from remuneration policy for other employees and if so, an explanation for the difference.

(5) the securities held by the director, including options and details of the shares pledged as at the end of the preceding financial year.

3. (a) Describe the procedural requirements and conditions for issuing a notice of Board Meeting under Section 173(3) of the Companies Act, 2013. [7]

(b) In a scheme of reconstruction by a multinational company listed in India, the company wanted the minority shareholders to get out of the company by selling their shares back to the promoters at a price determined by the promoters. The minority shareholders were not given a choice whether they wanted to tender their shares or not. In the meeting, there were six non-promoter shareholders who voted against the scheme, but Chairman declared that the motion was carried with an overwhelming majority of more than 90% shareholding. However, minority shareholders contended that they had a right to reject the offer.
Critically assess the situation and advice, will minority shareholders succeed? [7]

Answer:

(a) (I) Section 173(3) provides that, every board meeting shall be called by giving at least 7 days' notice in writing to all the directors at their registered address (whether in India or outside India). The notice may be sent by hand delivery or by post or by electronic means.

Meeting of the Board of Directors may be called on a shorter notice (than 7 days) in order to transact an urgent business, subject to the condition that at least one independent director, if any, shall be present at the meeting. If no independent director is present, then the decisions taken at such a meeting shall be circulated to all the directors and shall be final only on ratification thereof by at least one independent director, if any. The fact that meeting is being called at shorter notice, shall be stated in the notice.

(II) The Companies (Meetings of Board and its Powers) Rules, 2014 further provides that

(i) The notice of the meeting shall inform the directors regarding the option available to them to participate through video conferencing mode or other audio visual means, and shall provide all the necessary information to enable the directors to participate through video conferencing mode or other audio visual means.

(ii) On receiving such a notice, a director intending to participate through video conferencing or

audio visual means shall communicate his intention to the chairperson or the company secretary of the company. He shall give prior intimation to that effect sufficiently in advance so that the company is able to make suitable arrangements in this behalf.

(iii) If the director does not give any intimation of his intention to participate that he wants to participate through the electronic mode, it shall be assumed that the director shall attend the meeting in person.

(iv) The director, who desires, to participate may intimate his intention of participation through the electronic mode at the beginning of the calendar year and such declaration shall be valid for one calendar year. In the absence of any such intimation from the director, it shall be assumed that he will attend the meeting in person.

(v) Notice of the meeting, wherein the facility of participation through Electronic mode is provided, shall clearly mention a venue to be the venue of the meeting and it shall be the place where all the recordings of the proceedings at the meeting would be made.

Otherwise, it shall be assumed that the director shall attend the meeting in person.

(III) The SS-1 (Secretarial Standards on the Meeting of Board) provides that:

(i) Where director specifies a particular means of delivery of notice, notice shall be given to him by such means only.

(ii) Notice shall be issued by the Company Secretary or where there is no Company Secretary, by any director or any other person authorized by the Board for the purpose.

(iii) The notice shall specify the serial number, day, date, time and full address of the venue of the meeting.

(iv) In case the facility of participation through Electronic Mode is being made available, the notice shall provide the available option of such facility, information to avail such facility, and contact number or e-mail address of the Chairman or Company Secretary or any other authorized person to whom director shall confirm as to whether they will participate through electronic mode in the meeting.

(v) The Agenda, setting out the business to be transacted at the meeting, and Notes to agenda shall also be sent to all the directors along with Notice of the Board Meeting.

(vi) Each meeting and item of the business to be taken up in the meeting shall be serially numbered.

(vii) Proof of sending notice, agenda and notes on agenda and their delivery shall be maintained by the company.

(viii) Every Meeting shall have a serial number.

(ix) A meeting may be convened at any time and place, on any day, excluding a National Holiday.

(b) In the scheme of reconstruction by a Multinational Company listed in India, the company wanted to acquire the minority shareholders by selling their shares to the promoters at a price determined by the promoters. As per Section 236(1) of the Companies Act, 2013 (the Act), in the event of an acquirer, or a person acting in concert with such acquirer, becoming registered holder of ninety per cent or more of the issued equity share capital of a company, or in the event of any person or group of persons becoming ninety per cent. Majority or holding ninety per cent of the Issued equity share capital of a company, by virtue of an amalgamation, share exchange, conversion of securities or for any other reason, such acquirer, person or group of persons, as the case may be, shall notify the company of their intention to buy the remaining equity shares.

According to Section 236(2) of the Act, the acquirer, person or group of persons, shall offer to the minority shareholders of the company for buying the equity shares held by such shareholders at a determined price on the basis of valuation by a Registered Valuer.

The minority shareholders of the Company may offer to the majority shareholders to purchase the minority equity shareholding of the Company at the determined price as above.

In the given case, the minority shareholders were not given a choice whether they wanted to tender their shares or not. Also, 6 minority shareholders were dissenting from the scheme. Chairman declared that such a scheme was passed by a majority of more than 90% shareholding. Further the price of the shares was determined by the Promoters and not by a Registered Valuer.

Accordingly, in the given instance, the said procedure of acquisition of shares of minority shareholders is not in compliance with the procedure given in Section 236 of the Act.

Further, as per the Section 236(9) of the Act, when a shareholder or the majority equity shareholder fails to acquire full purchase of the shares of the minority equity shareholders, then, the provisions of this section shall continue to apply to the residual minority equity shareholders.

Therefore, as per the above provisions of the Act, minority shareholders will succeed in rejecting the said offer of purchasing minority shareholding in the Company.

4. (a) Explain the required quorum for holding a Board meeting, as per the provisions of the Companies Act, 2013? Examine the following cases in this context:

(i) In a Board meeting, only 3 directors were present out of the total of 11 directors. None of the 3 directors was interested in any of the items of the agenda. Examine the validity of meeting.

(ii) In a meeting of the Board, out of the total of 11 directors, 5 directors were present, of which only 2 directors were not interested in one of the transactions. Suggest, how should the meeting deal with the matter? [7]

(b) United Social Services Ltd is a company formed by 10 professionals with ₹1 lakh paid up capital by each promoter. The company intends to give various services to NGOs and social sector organisations with marginal profit. Though the registered office is in Delhi, the company wants to work on pan India basis.

Critically assess the following perception of the company and advise the management of the company, in line with the provisions of law.

(i) The company claims that it is a non-profit company.

(ii) If not, can it be converted as NPO?

(iii) What is to be done for conversation?

(iv) Once converted, would the promoters get dividend out of profit? [7]

Answer:

(a) Quorum for Board meetings

The provisions relating to quorum for a Board meeting are contained in section 174.

Unless the articles provide for a higher quorum, the quorum shall be 1/3rd of the total strength' (any fraction contained in that 1/3rd shall be rounded off to one) or two directors whichever is higher [Section 174(1)].

However, section 174(3) states that where at any time the number of interested directors (present in the Board meeting) exceeds or is equal to 2/3rd of the 'total strength' (any fraction contained in that 2/3rd shall be rounded off as one), the number of disinterested directors present at the meeting, being not less than two, shall be the quorum

- In the instant case, 1/3rd of 11 comes to 3.67; the fraction 0.67 shall be rounded off to 1. Thus, at least 4 disinterested directors must be present in the Board meeting. However, only 3 directors are present in the Board meeting.
  Moreover, there is no interested director present in the meeting and so, the benefit of section 174(3) cannot be availed.
  Hence, the quorum was not present and so the meeting has not been validly held.
- In the given case, the required quorum comes to 4 directors, 5 were present, so the basic requirement is fulfilled.
  During one of the transactions, only 2 directors were not interested. The requirement of section 174(3) is met with.
  The quorum requirement is thus fulfilled.

(b) (i) The perception of the management of United social service is being classified as follows - the company is not a non-profit company as it is for gain that is marginal cost to gain, to qualify as NPO the company needs to be registered under section 8 and obtain separate license from MCA.

(ii) Yes, it can be converted into NPO.

(iii) In order to convert itself into NPO, it has to take following steps for conversion:

1. Alter the memorandum by incorporating objects for promotion of art, science, education etc. or any charitable purpose:
2. Application to MCA GOI has to be made in the form Inc. 12 along with memorandum of articles and association financial statement of last 2 years;
3. Statement of asset and liabilities which are estimated income plans by practicing advocate of

the resolution of board meeting;

4. Make a public notice of such proposed consortium with also need to be filled with ROC.
5. Registrar may require for the information like minutes of the meeting, consider objection of others and after being satisfied, shall issue license to operate as sec 8 company.

(iv) Once the company is converted into a non-profit organization (Section 8 Company), the promoters or any members cannot receive dividends from profits. Section 8 mandates that the profits are used solely for promoting the company's objects and cannot be distributed to members.

5. (a) Discuss the disqualifications of auditors under Section 141(3) of the Companies Act, 2013. [7]

(b) Mr. Ajay, an advocate, is in the business of providing professional services like filing of petitions before Tribunals and Courts. Mrs. Sonali, wife of Mr. Ajay, is a registered Insolvency Professional (IP) with the Insolvency Bankruptcy Board of India. Mr. Ajay, in his capacity of an advocate, filed many applications relating to admission of corporate debtors before National Company Law Tribunal (NCLT) and his wife Mrs. Sonali being insolvency professional in her own professional capacity acts as Insolvency Professional in all the cases her husband takes up. Mrs. Sonali within 6 months of becoming Insolvency Professional accepted 8 such assignments. She does not have any prior experience as an Insolvency Professional. While considering one such application for initiation of Corporate Insolvency Resolution Professional (CIRP), NCLT observed that the fees charged by Mrs. Sonali for acting as insolvency resolution professional is exorbitant. Mrs. Sonali contracted with the applicant to not only act as Interim Resolution Professional but also as Resolution Professional in all the 8 assignments that she accepted.

With reference to the above-mentioned facts, Analyse the situation and Discuss the answers with reasons of the following questions:

i) Is Mrs. Sonali right in accepting the assignments when it was her husband who proposed her name?

ii) IBBI has issued a show cause notice to Mrs. Sonali based on the adverse remarks made by NCLT. Is IBBI is empowered by the Code to issue a show cause notice even without a complaint made against?

iii) Examine the Duties of Mrs. Sonal as an Interim resolution professionals.

iv) Discuss the Time-limit for completion of insolvency resolution process. [7]

Answer:

(a) The following persons shall not be qualified for appointment as auditor of a company:

1. A body corporate other than a limited liability partnership registered under the Limited Liability Partnership Act, 2008.
2. an officer or employee of the company.
3. a person who is a partner, or who is in the employment, of an officer or employee of the company.
4. a person who, or his relative or partner
   (i) is holding any security of or interest in the company or its subsidiary, or of its holding or

associate company or a subsidiary of such holding company:

Provided that the relative may hold security or interest in the company of face value not exceeding ₹ 1 Lakh as prescribed under the Company (Audit and Auditors) Rules, 2014.

The Company (Audit and Auditors) Rules, 2014 provides that a relative of an auditor may hold securities in the company of face value not exceeding ₹1 Lakh. Further, the above condition shall, wherever relevant, be also applicable in the case of a company not having share capital or other securities. If the relative acquires any security or interest above the prescribed threshold i.e., ₹1 Lakh, the corrective action to maintain the limits as specified above shall be taken by the auditor within 60 days of such acquisition or interest.

(ii) is indebted to the company, or its subsidiary, or its holding or associate company or a subsidiary of such holding company, in excess of ₹5 Lakhs, or

(iii) has given a guarantee or provided any security in connection with the indebtedness of any third person to the company, or its subsidiary, or its holding or associate company or a subsidiary of such holding company, in excess of ₹ 1 Lakh.

5. a person or a firm who, whether directly or indirectly, has business relationship with the company, or its subsidiary, or its holding or associate company or subsidiary of such holding company or associate company. According to the Companies (Audit and Auditors) Rules, 2014, the term business relationship shall be construed as any transaction entered into for a commercial purpose, except:

   (1) commercial transactions which are in the nature of professional services permitted to be rendered by an auditor or audit firm under the Act and the Chartered Accountants Act, 1949 and the rules or the regulations made under those Acts.

   (2) commercial transactions which are in the ordinary course of business of the company at arm's length price - like sale of products or services to the auditor, as customer, in the ordinary course of business, by companies engaged in the business of telecommunications, airlines, hospitals, hotels and such other similar businesses.

6. a person whose relative is a director or is in the employment of the company as a director or key managerial personnel.

7. a person who is in full time employment elsewhere or a person or a partner of a firm holding appointment as its auditor, if such persons or partner is at the date of such appointment or reappointment holding appointment as auditor of more than 20 companies other than one person companies, dormant companies and private companies having paid-up share capital less than one hundred crore rupees. [MCA vide Notification No. 464(E) dated 05/06/2015]. It may be clarified that now the Limit of 20 Companies includes only:
   - Public Companies and
   - Private Companies having paid up capital of ₹100 crores or more.

8. a person who has been convicted by a court of an offence involving fraud and a period of 10 years has not elapsed from the date of such conviction.

9. a person who, directly or indirectly, renders any service referred to in section 144 to the company or its holding company or its subsidiary company.

(b) (i) The Code of Conduct requires the IP to maintain complete independence in professional relationships. It is not correct on the part of Mrs. Sonali to accept assignments which will affect her independence.

(ii) IBBI is empowered by the Code to issue a show cause notice even without a complaint made against IP if it has reasonable grounds to believe IP has contravened any provisions.

(iii) As per Section 18(1) of Insolvency and Bankruptcy Code, 2016, the interim resolution professional shall-

(a) collect all information relating to the assets, finances and operations of the corporate debtor including information relating to—
  (i) business operations for the previous two years
  (ii) financial and operational payments for the previous two years
  (iii) list of assets and liabilities as on the initiation date; and
  (iv) such other matters as may be specified.

(b) receive and collate all the claims submitted by creditors to him

(c) constitute a committee of creditors.

(d) monitor the assets of the corporate debtor and manage its operations until a resolution professional is appointed by the committee of creditors.

(e) file information collected with the information utility, if necessary; and

(f) take control and custody of any asset over which the corporate debtor has ownership rights as recorded in the balance sheet or with information utility or the depository of securities or any other registry that records the ownership of assets.

(g) perform such other duties as may be specified by the Board.

The personnel of the corporate debtor, its promoters or any other person associated with the management of the corporate debtor shall extend all assistance and cooperation to the interim resolution professional as may be required by him in managing the affairs of the corporate debtor.

If they do not cooperate, application can be made by interim resolution professional to the Adjudicating Authority (NCLT) for necessary directions. NCLT will issue suitable orders.

(iv) The corporate insolvency resolution process shall be completed within a period of 180 days from the date of admission of the application.

The resolution professional shall file an application to the Adjudicating Authority to extend the period of the corporate insolvency resolution process beyond 180 days, if instructed to do so by a resolution passed at a meeting of the committee of creditors by a vote of 66% of the voting shares.

Adjudicating Authority, may by order extend the duration of such process beyond 180 days by such further period as it thinks fit, but not exceeding 90 days.

Provided that the process be mandatory completed within 330 days including any extension.

6. (a) Discuss the Objectives and Features of Corporate Governance. [7]

(b) Describe the types of Cyber Crime? **[7]**

Answer:

(a) **Objectives of CG**.

1. Company to justifiably satisfy the stakeholders by balancing conflict of interest amongst the stakeholders;
2. Company adopts transparent, logical and justifiable polices effecting the stakeholders in all areas of management;
3. Ideal composition of the board of directors: to justify independence if decision making; this is now regulated under LODR.
4. Optimum use of resources of the company the resources belong to shareholders and thereafter the employees. Customers, financiers are also effected if the resources available is not properly used.
5. To reduce risks by following risk management through due diligence process.
6. Establishing strong relationship of trust between the company and the stakeholders which enhances the value of the company.

Features of Corporate Governance

1. A proper tool for transparency: disclosing the status of the affairs company at every step to every stakeholder i.e. required to maintain transparency. The concept goes against the theory of suppression of material facts by the company to its stakeholders, may be or may not be, for the benefit of the shareholders only.
2. Prudent and participative management: the management should use its full intelligence and knowledge for the benefit of the stakeholders. Hence, it may be taken that management is prudent and wise in its decision making.
3. Enhancing value of the enterprise: Any company should grow from year to year, if it wants to satisfy it stakeholders. Value may be monetary or reputation, image, goodwill etc. Better governing companies will have better reputation, trust of the stakeholders and there will be enhancement of business, leading to more profit and better enterprise valuation.
4. Accountability: Success and accountability has to go together. Successful companies will make themselves accountable to the stakeholders. There are many combination of relationships, i.e. with the customer, creditors, shareholders, employees. etc. The company cannot say it is accountable to one stakeholder only .It has to be accountable to all stakeholders.
5. Innovation: Doing something new or doing the same thing in a novel manner is the essence of growth and sustainability of an enterprise. The governance structure should encourage new things in the company for enhancing value of the company.
6. Professionalism and specialization: The basics of professionalism is that the job shall not be compromised at any level and there should not be conflict of interest of the directors and senior managers between his duty and personal gain. It also takes into account the competence of the person doing job having obviously adequate domain knowledge either by academic qualification or track record of experience
7. Stakeholder recognition: All stake holders should be recognized and respected. The Company should believe that all these stakeholders have contribution in making the company work and grow.

(b) Cyber crimes can be basically divided into three major categories:

A. **Cyber crimes against persons** like harassment occur in cyberspace or through the use of cyberspace. Harassment can be sexual, racial, religious, or other.

B. **Cyber crimes against property** like computer wreckage (destruction of others' property), transmission of harmful programs, unauthorized trespassing, unauthorized possession of computer information.

C. **Cyber crimes against Government** like Cyber terrorism

A. **Cyber crimes against persons are:**

- Cyber-Stalking: It means to create physical threat that creates fear to use the computer technology such as internet, e-mail, phones, text messages, webcam, websites or videos.
- Obscenity: It includes Indecent exposure/ Pornography (basically child pornography), hosting of web site containing these prohibited materials.
- Defamation: It is an act of imputing any person to lower down the dignity of the person by hacking his mail account and sending some mails with using vulgar language to unknown persons.
- Hacking: unauthorized control/access over computer system and act of hacking completely destroys the whole data as well as computer programmes.
- Cracking: Cracking means that a stranger has broken into your computer systems without your knowledge and consent and has tampered with precious confidential data and information.
- Spoofing: A spoofed e-mail may be said to be one, which misrepresents its origin. It shows its origin to be different from which actually it originates. Spoofing is a blocking through spam which means the unwanted uninvited messages. Wrongdoer steals mobile phone number of any person and sending SMS via internet and receiver gets the SMS from the mobile phone number of the victim.
- Carding: It means false ATM cards i.e. Debit and Credit cards used by criminals for their monetary benefits through withdrawing money from the bank account mala-fidely.
- Fraud: It means the person who is doing the act of cybercrime i.e. stealing password and data storage has done it with having guilty mind which leads to fraud and cheating.
- Threat: refers to threatening a person with fear for their lives or lives of their families through the use of a computer network i.e. E-mail, videos or phones.

B. **Cyber crimes against property**

There are certain offences which affects person or properties which are as follows: Any unlawful act by which the owner is deprived completely or partially of his rights is an offence. The common form of IPR violation may be said to be software piracy, infringement of copyright, trademark, patents, designs and service mark violation etc.

- Squatting: It means where two persons claim for the same Domain Name either by claiming that they had registered the name first on by right of using it before the other or using something similar to that previously.

- Vandalism: Vandalism means deliberately destroying or damaging property of another. Thus cyber vandalism means destroying or damaging the data when a network service is stopped or disrupted. It may include within its purview any kind of physical harm done to the computer of any person.
- Hacking: Hacktivism attacks those included Famous Twitter, blogging platform by unauthorized access/ control over the computer. Due to the hacking activity there will be loss of data as well as computer.
- Virus: Viruses are programs that attach themselves to a computer or a file and then circulate themselves to other files and to other computers on a network. They usually affect the data on a computer, either by altering or deleting it. Worm attacks plays major role in affecting the computerize system of the individuals.
- Trespass: It means to access someone's computer without the right authorization of the owner and does not disturb, alter, misuse, or damage data or system by using wireless internet connection.

C. Cyber crimes against Government

There are certain offences done by group of persons intending to threaten the international governments by using internet facilities. It includes:

- Terrorism: Cyber terrorism is a major burning issue in the domestic as well as global concern. The common form of these terrorist attacks on the Internet is by distributed denial of service attacks, hate websites and hate e-mails, attacks on sensitive computer networks etc. Cyber terrorism activities endanger the sovereignty and integrity of the nation.
- Warfare: It refers to politically motivated hacking to damage and spying. It is a form of information warfare sometimes seen as analogous to conventional warfare although this analogy is controversial for both its accuracy and its political motivation.
- Piracy: It means distributing pirated software from one computer to another intending to destroy the data and official records of the government.
- unauthorized Information: It is very easy to access any information by the terrorists with the aid of internet and to possess that information for political, religious, social, ideological objectives.
  - (i) Tampering with Computer source documents - Sec.65
  - (ii) Hacking with Computer systems, Data alteration - Sec.66
  - (iii) Publishing obscene information - Sec.67
  - (iv) Un-authorised access to protected system Sec.70
  - (v) Breach of Confidentiality and Privacy - Sec.72
  - (vi) Publishing false digital signature certificates - Sec.73

7. (a) Explain the obligations of the target company and obligations of the acquirer. [7]

(b) Discuss about the penalty imposable under section 45 of the Indian Competition Act, 2002 for offences in relation to furnishing of information. [7]

Answer:

(a) Securities and Exchange Board of India (Substantial Acquisition of Shares and Takeovers) Regulations, 2011 is commonly called as takeover regulation or takeover code. It applies to direct and indirect acquisition of shares or voting rights in, or control over target company. these regulations shall not apply to direct and indirect acquisition of shares or voting rights in, or control over a company listed without making a public issue, on the Innovators Growth Platform of a recognised stock exchange.

Obligations of the target company

(i) the board of directors of such target company shall ensure that during the offer period, the business of the target company is conducted in the ordinary course consistent with past practice.

(ii) the target company shall be prohibited from fixing any record date for a corporate action on or after the third working day prior to the commencement of the tendering period and until the expiry of the tendering period.

(iii) furnish to the acquirer within two working days from the identified date, a list of shareholders as per the register of members of the target company containing names, addresses, shareholding and folio number, in electronic form, wherever available, and a list of persons whose applications, if any for registration of transfer of shares are pending with the target company.

(iv) during the offer period:

(a) unless the approval of shareholders of the target company by way of a special resolution by postal ballot is obtained, the board of directors of either the target company or any of its subsidiaries shall not —

(b) alienate any material assets whether by way of sale, lease, encumbrance or otherwise or enter into any agreement therefor outside the ordinary course of business.

Obligations of the acquirer

The acquirer has the following obligations.

- To ensure that firm financial arrangements have been made for fulfilling the payment obligations under the open offer.
- to ensure able to implement the open offer, subject to any statutory approvals for the open offer that may be necessary.
- acquirer shall not alienate any material assets of the target company or of any of its subsidiaries, whether by way of sale, lease, encumbrance or otherwise outside the ordinary course of business, unless the acquirer the acquirer has not declared an intention in the detailed public statement and the letter of offer. If such intention wasn't declared, then for alienation - special resolution via postal ballot is required and notice must mention the reasons for such alienation.
- the acquirer and persons acting in concert with him shall not sell shares of the target company held by them, during the offer period.
- the acquirer and persons acting in concert with him shall be jointly and severally responsible for fulfillment of applicable obligations under takeover code.

(b) Penalty for offences in relation to furnishing of information

Without prejudice to the provisions of section 44, if a person, who furnishes or is required to furnish under this Act any particulars, documents or any information, —

- Makes any statement or furnishes any document which he knows or has reason to believe to be false in any material particular; or
- Omits to state any material fact knowing it to be material; or
- Wilfully alters, suppresses or destroys any document which is required to be furnished as aforesaid, such person shall be punishable with fine which may extend to rupees one crore as may be determined by the Commission.

Then they are liable to a penalty of up to ₹1 lakh for each day during which such failure continues, subject to a maximum of ₹1 crore.

The Commission may, if it is satisfied impose lesser penalty where it is satisfied that any person has made a full and true disclosure in respect of the alleged violations, a lesser penalty.

However, lesser penalty shall not be imposed by the Commission in cases where the report of investigation directed under section 26 of the Indian Competition Act has been received before making of such disclosure.

Lesser penalty shall not be imposed by the Commission if the person making the disclosure does not continue to cooperate with the Commission till the completion of the proceedings before the Commission.

8. (a) Discuss the process of Money Laundering and Examine the procedure of Investigation [7]

(b) An asset reconstruction company may, for the purposes of asset reconstruction, provide for any one or more of the measures. Discuss and analyze the measures to be taken for asset reconstruction. [7]

Answer:

(a) The process of Money Laundering

i. Placement: The Money Launderer introduces the illegal funds into the financial systems. This might be done by breaking up large amount of cash into less conspicuous smaller sums which are deposited directly into Bank Account or by purchasing a series of instruments such as Cheques, Bank Drafts etc., which are then collected and deposited into one or more accounts at another location.

ii. Layering: In this stage, the Money Launderer typically engages in a series of continuous conversions or movements of funds, within the financial or banking system by way of numerous accounts, so as to hide their true origin and to distance them from their criminal source. The Money Launderer may use various channel for movement of funds, like a series of Bank Accounts, sometimes spread across the globe, especially in those jurisdictions which do not co-operate in anti Money Laundering investigations.

iii. Integration: The Launderer moves to this third stage in which the funds reach the legitimate economy, after getting inseparably mixed with the legitimate money earned through legal sources of income. The Money Launderer may invest the funds into real estate, business ventures & luxury assets, etc. so that he can enjoy the laundered money, without any fear of law enforcement agencies.

Procedure of Investigation

PMLA empowers certain officers of the Directorate of Enforcement to carry out investigations in cases involving offence of money laundering and also to attach the property involved in money laundering. PMLA envisages setting up of an Adjudicating Authority to exercise jurisdiction, power and authority conferred by it essentially to confirm attachment or order confiscation of attached properties. It also envisages setting up of an Appellate Tribunal to hear appeals against the order of the Adjudicating Authority and the authorities like Director FIU-IND.

PMLA envisages designation of one or more courts of sessions as Special Court or Special Courts to try the offence punishable under PMLA and offences with which the accused may, under the Code of Criminal Procedure 1973, be charged at the same trial.

The Act provides for reciprocal arrangements for processes/assistance with regard to accused persons. In order to enlarge the scope of this Act. The Act provides for bilateral agreements between countries to cooperate with each other and curb the menace of money laundering. These agreements shall be for the purpose of either enforcing the provisions of this Act or for the exchange of information which shall help in the prevention in the commission of an offence under this Act or the corresponding laws in that foreign State.

Special Courts have been set-up in a number of States / UTs by the Central Government to conduct the trial of the offences of money laundering. The authorities under the Act like the Director, Adjudicating Authority and the Appellate Tribunal have been constituted to carry out the proceedings related to attachment and confiscation of any property derived from money laundering.

The Government has constituted the Financial Intelligence Unit, India, in November, 2004, headed by Director in the rank of a Joint Secretary to the Government of India. The organization has become functional and has started receiving Cash Transaction Reports and Suspicious Transactions Reports from the banking companies etc. in terms of Section 12 of the PMLA.
Powers of investigation and prosecution for offences under the Act have been conferred on the Director, Enforcement Directorate.

In addition, the Adjudicating Authority in terms of section 6 of the Act and the Appellate Tribunal under section 25 of the Act have also been constituted and have become functional.

(b) Measures for assets reconstruction (Section 9 of SARFAESI Act, 2002)

An asset reconstruction company may for the purposes of asset reconstruction, provide for any one or more of the following measures, namely

i. the proper management of the business of the borrower, by change in or takeover of, the management of the business of the borrower,
ii. the sale or lease of a part or whole of the business of the borrower,
iii. rescheduling of payment of debts payable by the borrower,

iv. Enforcement of security interest in accordance with the provisions of this Act.
v. settlement of dues payable by the borrower,
vi. taking possession of secured assets in accordance with the provisions of this Act,
vii. Conversion of any portion of debt into shares of a borrower company Provided that conversion of any part of debt into shares of a borrower company shall be deemed always to have been valid, as if the provisions of this clause were in force at all material times.

The Reserve bank for this purpose shall determine the policy and issue necessary directions including the directions for regulation of management of the business of the borrower and fees to be charged. The asset reconstruction company shall take measures as per the directions of RBI.

SECTION – B

Answer any 5 questions out of 7 questions given. Each question carries 14 marks. [5 x 14 = 70]

2) (a) Discuss the legal provisions related to the prohibition on acceptance of deposits from the public by companies under section 73 of the Indian Companies Act, 2013. [7]

(b) Describe how a managing director, whole time director or manager is appointed by a company. [7]

Answer:

(a) Prohibition on acceptance of deposits from the public by companies under section 73 of the Indian Companies Act, 2013 are:

- No company can invite, accept or renew deposits under this Act from the public except in a manner provided under this Chapter.

  Provided that nothing in this Sub-Section shall apply to a banking company and non-banking financial company and to such other company as the Central Government may, after consultation with the Reserve Bank of India, specify in this behalf.

- A company may, with the mandate of a resolution in general meeting and subject to such rules as may be prescribed accept deposits from its members on such terms and conditions, including the provision of security, if any, or for the repayment of such deposits with interest, as may be agreed upon between the company and its members, subject to the fulfilment of the following conditions, namely:

  (1) issuance of a circular to its members including therein a statement showing the financial position of the company, the credit rating obtained, the total number of depositors and the amount due towards deposits in respect of any previous deposits accepted by the company and such other particulars in such form and in such manner as may be prescribed.

  (2) filing a copy of the circular along with such statement with the Registrar within thirty days before the date of issue of the circular.

  (3) depositing on or before 30th April each year such sum which shall not be less than twenty per cent of the amount of its deposits maturing during a financial year, and kept in a scheduled bank in a separate bank account to be called as deposit repayment reserve account.

  (4) certifying that the company has not committed any default in the repayment of deposits accepted either before or after the commencement of this Act or payment of interest on such deposits, and where the default has occured, the company made good the default and five years have elapsed since then.

  (5) providing security, if any for the due repayment of the amount of deposit or the interest thereon including the creation of such charge on the property or assets of the company.

  Provided that in case where a company does not secure the deposits or secures such deposits partially, then, the deposits shall be termed as 'unsecured deposits' and shall be so quoted in every circular, form, advertisement or in any document related to invitation or acceptance of deposits.

- Every deposit accepted by a company shall be repaid with interest in accordance with the terms and conditions.

- Where a company fails to repay the deposit or part thereof or any interest thereon under Sub-Section (3) the depositor concerned may apply to the Tribunal for an order directing the company to pay the sum due or for any loss or damage incurred by him as a result of such non-payment and for such other orders as the Tribunal may deem fit.

- The deposit repayment reserve account referred to in clause (c) of Sub-Section (2) shall not be used by the company for any purpose other than repayment of deposits. The detailed procedure is mentioned under Companies (Acceptance of Deposits) Rules, 2014. Some of the Rules are summarised and placed below for understanding.

(b) Section 196 of the Companies Act,2013 contain the provisions for appointment of Managing Director, Whole Time Director or Manager. According to this section:

(1) No company shall appoint or employ a managing director and a manager at the same time.

(2) No company shall appoint or re-appoint any person as its managing director, whole time director or manager for a term exceeding five years at a time, provided that no re-appointment shall be made earlier than one year before the expiry of his term.

(3) No company shall appoint or continue the employment of any person as managing director, whole-time director or manager who:

- is below the age of 21 years or has attained the age of 70 years. Person who has attained the age of seventy years may be appointed by the passing of a special resolution.
- is an undischarged insolvent or has at any time been adjudged as an insolvent, or
- has at any time suspended payment to his creditors or makes, or has at any time made, a composition with them, or
- has at any time been convicted by a court of an offence and sentenced for a period of more than six months.

(4) Schedule V to the Companies Act, 2013, prescribes additional conditions for managing or whole-time director or a manager to be eligible for appointment. The schedule stipulates that:

- he had not been sentenced to imprisonment for any period, or to a fine exceeding one thousand rupees, for the conviction of an offence under 16 Acts as specified under Schedule V.
- he had not been detained for any period under the Conservation of Foreign Exchange and Prevention of Smuggling Activities Act, 1974:
- where he is a managerial person in more than one company, he draws remuneration from one or more companies subject to the ceiling provided in section V of Part II.
- he is resident of India.

In this context, 'resident in India' includes a person who has been staying in India for a continuous period of not less than twelve months immediately preceding the date of his appointment as a managerial person and who has come to stay in India,

a. for taking up employment in India; or

b. for carrying on a business or vacation in India.

- Where an appointment not approved by AGM, any Act done by him deemed to be invalid.

3) (a) Discuss the duties and liabilities of directors under the provisions of the Companies Act, 2013. [7]

(b) Discuss the provisions related to investigation by Serious Fraud Investigation Office (SFIO). [7]

Answer:

(a) Duties of Directors

Duties of directors has been defined in the company Law under section 166 of the Companies Act, 2013. The following duties have been prescribed for a director under the said section:

- He shall act in accordance with the articles of the company, subject to the provisions of this Act.
- He shall act in good faith in order to promote the objects of the company and in the best interests of the company, its employees, the shareholders, the community and for the protection of environment.
- He shall exercise his duties with due and reasonable care, skill and diligence and shall exercise independent judgment.
- He shall not involve in a situation in which he may have a direct or indirect interest that conflicts, or, with the interest of the company.
- He shall not achieve or attempt to achieve any undue gain or advantage either to himself or to his relatives, partners, or associates.
- He shall not assign his office.

The duties of directors are also mentioned in other provisions of the Act rules. The code of conduct which is now introduced also specifies few duties.

Liabilities of Directors

The liabilities of the directors may be grouped under certain heads for convenience of consideration and discussion. They are:

- **Liability to outsiders**

  Directors of a company may personally become liable to outside parties in the following cases:

  (a) When they enter into contracts on behalf of the company:
    (1) if the contracts are ultra vires the company;
    (2) if they act outside the scope of their own authority;
    (3) if they act in their own name and not for and on behalf of the company;

  (b) When they issue a prospectus; in violation of the provisions of the Companies Act, 2013 and the SEBI (ICDR) Regulations which contains mis-statements(s).

  (c) When they are found guilty of fraud.

  (d) When they allot shares in an irregular manner.

  (e) When the Court orders that the directors are personally liable for all or any of the debts or liabilities of the company for fraudulent trading on the part of the company.

- **Liability to the Company**
  The directors are liable to the company in the following cases:
  (a) When they are negligent in the performance of their duty as directors and the company suffers loss, etc.
  (b) When they commit an act which is ultra vires their powers or ultra vires the company.
  (c) When any illegal act or breach of trust is committed by them.

- **Liability to the shareholders**
  The position of the directors in respect of the company's properties and the rights conferred upon them to be exercised as directors is that of a trustee. If they commit any breach of trust or indulge in wrongful uses of their rights and the company suffers loss, they have to make good the loss. Similarly, if shareholders suffer loss due to the negligence of the directors they are personally liable for the loss.

- **Liability for statutory defaults and violations.**
  Under the Companies Act, 2013 the directors are required to ensure compliance with the several provisions of the Act and penalties have been prescribed for defaults and/or non-compliance. The directors are liable for consequences.

(b) The Central Government have established an office called the Serious Fraud Investigation Office (SFIO) to investigate frauds relating to a company.
Section 212 of the Act provides for Investigation into affairs of Company by the Serious Fraud Investigation Office (SFIO). According to this section:

- where the Central Government:
  (1) on receipt of a report of the Registrar or Inspector under section 208;
  (2) on intimation of a special resolution passed by a company that its affairs are required to be investigated.
  (3) in the public interest, or
  (4) on request from any Department of the Central Government or a State Government, is of the opinion that it is necessary to investigate into the affairs of a company by the Serious Fraud Investigation Office (SFIO), the Central Government may, by order, assign the investigation into the affairs of the said company to the SFIO.
- No other investigating agency of Central Government or any State Government shall proceed with investigation in such case in respect of any offence under this Act. In case any such investigation has already been initiated, the concerned agency shall transfer the relevant documents and records in respect of such offences under this Act to facilitate SFIO to investigate.
- The Director, Serious Fraud Investigation Office shall cause the affairs of the company to be investigated by an Investigating Officer who shall have the power of the inspector under section 217.
- The company and its officers and employees, who are or have been in employment of the company shall be responsible to provide all information, explanation, documents and assistance

to the Investigating Officer as he may require for conduct of the investigation.

- The SFIO shall submit an interim report and on completion, final report to the Central Government.
- Any person concerned by making an application in this regard to the court may get a copy of the report.
- The Central Government may, after examination of the report, direct the SFIO to initiate prosecution against the company and its officers or employees, who are or have been in employment of the company or any other person directly or indirectly connected with the affairs of the company.

4) (a) RR Ltd. is a public limited company, having its registered office in Bengaluru, and has been in existence since March, 2010. The following is the summarised position of its financial results for the past four years (in crores)

Particulars	2019-20	2020-21	2021-22	2022-23
Net worth	303	319	368	503
Turnover	500	490	680	890
Net profit	6.1	6.9	7.9	8.9

In the light of above facts, examine the following issues:
(i) Does the company come within the purview of CSR Regulations?
(ii) Is CSR Committee required to be formed?
(iii) What will be the minimum budget for CSR compliance, for the year 2023-24
(iv) What are the other CSR obligations under the provisions of the Companies Act, 2013 [7]

(b) Gautam of Uttar Pradesh incorporated a One Person Company (OPC). In compliance to law, he appointed his brother Rohit as nominee. Both are resident Indian citizens. On 12/02/2024, Rohit left India permanently to settle in Dubai and he has withdrawn his nomination. You are required to examine the following issues in the light of the provisions of the Companies Act, 2013:

(i) What action shall be taken by Gautam when he gets notice of withdrawal of nomination and within what time limit?

(ii) Gautam wants to appoint his minor son (Abhijit). Can Gautam appoint his minor son (Abhijit) as nominee in OPC? Examine, with relevance, the correctness of the same. [7]

Answer:

(a) Whether RR Ltd comes within the purview of CSR Regulations

(i) As per section 135(1) of the Companies Act, 2013, the CSR regulations will apply where any of the following conditions are fulfilled:

- Net worth of ₹500 crores or more, or
- Turnover of ₹1000 or more, or
- Net profit of ₹5 crores

Since RR Ltd. fulfils the net profit criteria, CSR Regulations will apply.

(ii) Formation of CSR Committee Yes, where a company comes under the purview of section 135 of the Act, CSR Committee is required to be formed.

(iii) Minimum budget for CSR for 2023-24 Average profits for the last 3 years = 6.9+7.9+8.9=23.7/3 = 7.9 crores Minimum budget for CSR for 2023-24= 2% of 7.9 = ₹15.8 lakhs

(iv) Other CSR obligations

- The amount has to be spent before the end of the financial year.
- The details of the CSR spending have to be furnished in the Report of the Board of Directors.
- Form CSR 1 has to be filed.

(b) Action to be taken by Gautam when he gets notice of withdrawal of nomination

(i) In case of OPC, the Shareholder shall nominate another person who shall become the shareholders in case of death/incapacity of the original shareholder. Such nominee shall give his/her consent and such consent for being appointed as the Nominee for the sole Shareholder. The company shall within thirty days of receipt of the notice of withdrawal of consent, file with the Registrar,

- notice of such withdrawal of consent,
- the intimation of the name of another person nominated by him in Form No INC.4, and
- the written consent of such another person so nominated in Form No.INC.3.

along with fee as provided in the Companies (Registration offices and fees) Rules, 2014

(ii) Correctness of nomination of minor son in the OPC

As per the Companies (Incorporation) Rules, 2014, a minor cannot become member or nominee of the OPC nor can hold share with beneficial interest.

In view of this, Gautam's minor son Abhijit Cannot be appointed as nominee.

5. (a) Analyse the provisions related to internal audit under section 138 of the Companies Act,2013. [7]

(b) A Ltd. intends to initiate voluntary liquidation proceedings. In this regard, a declaration by way of affidavit has been submitted by some of the directors of the company, stating that a full inquiry into the affairs of the company has been conducted and that the company will be able to repay its debts in full from the proceeds of asset sales during the liquidation process.

Based on this scenario, analyze whether A Ltd. is in compliance with the conditions for initiating voluntary liquidation under the provisions of the Insolvency and Bankruptcy Code, 2016. Also, specify the documents that must accompany such a declaration. [7]

Answer:

(a) Section 138 of the Companies Act, 2013 came into force from 1st April, 2014 which provides first time new provision for internal audit. According to Section 138 of the Companies Act, 2013 and the Companies (Accounts) Rules, 2014:

- Companies required to appoint Internal Auditor

(1) The following class of companies shall be required to appoint an internal auditor which may be either an individual or a partnership firm or a body corporate , namely:

a. every listed company

b. every unlisted public company having:

i) paid up share capital of ₹50 crores or more during the preceding financial year, or
ii) turnover of ₹200 crores or more during the preceding financial year, or
iii) outstanding loans or borrowings from banks or public financial institutions exceeding ₹100 crores or more at any point of time during the preceding financial year, or
iv) outstanding deposits of ₹25 crores or more at any point of time during the preceding financial year, and

c. every private company having:
i) turnover of ₹200 crores or more during the preceding financial year, or
ii) outstanding loans or borrowings from banks or public financial institutions exceeding ₹100 crores or more at any point of time during the preceding financial year.

(2) The Audit Committee of the company or the Board shall, in consultation with the Internal Auditor, formulate the scope, functioning, periodicity and methodology for conducting the internal audit.

- Transitional period
  An existing company covered under any of the above criteria shall comply with the requirements of Section 138 and this rule within 6 months of commencement of such Section.
- Who is Internal Auditor
  (a) Internal Auditor shall either be a chartered accountant or a cost accountant, or such other professional as may be decided by the Board to conduct internal audit of the functions and activities of the company. Here, the term "Chartered Accountant" or "Cost Accountant" shall mean a "Chartered Accountant" or a "Cost Accountant", as the case may be, whether engaged in practice or not.
  (b) The internal auditor may or may not be an employee of the company.

(b) Legal Provisions under Section 59 – Voluntary Liquidation

Voluntary liquidation proceedings of a corporate person registered as a company shall meet the following conditions, namely: -

(a) a declaration from majority of the directors of the company verified by an affidavit stating that -
(i) they have made a full inquiry into the affairs of the company and they have formed an opinion that either the company has no debt or that it will be able to pay its debts in full from the proceeds of assets to be sold in the voluntary liquidation; and
(ii) the company is not being liquidated to defraud any person;

(b) the declaration under sub-clause *(a)* shall be accompanied with the following documents, namely: -
(i) audited financial statements and record of business operations of the company for the previous two years or for the period since its incorporation, whichever is later;
(ii) a report of the valuation of the assets of the company, if any prepared by a registered valuer;

Analysis of the Given Situation

In the present case:

- X Ltd. intends to initiate voluntary liquidation.
- A declaration by affidavit has been made by some of the directors of the company.
- The declaration includes a statement that a full inquiry has been conducted and that the company will be able to pay its debts in full from the proceeds of asset sales.

However, as per Section 59(3)(a) of the Code, the declaration must be made by the majority of the directors of the company. Since only some of the directors have provided the affidavit, the requirement is not satisfied. Furthermore, another mandatory element of the declaration that the company is not being liquidated to defraud any person is not mentioned in the given scenario. This omission makes the declaration non-compliant with the IBC.

Therefore, based on the analysis, X Ltd. cannot initiate voluntary liquidation in its current state of compliance.

6. (a) Discuss the objectives and benefits of corporate governance. [7]

(b) Analyse the data protection law in India. [7]

Answer :

(a) Following can be taken as objectives of corporate governance.

1. Company to justifiably satisfy the stakeholders by balancing conflict of interest amongst the stakeholders;
2. Company adopts transparent, logical and justifiable polices effecting the stakeholders in all areas of management;
3. Ideal composition of the board of directors: to justify independence if decision making; this is now regulated under LODR.
4. Optimum use of resources of the company the resources belong to shareholders and thereafter the employees, Customers, financiers are also effected if the resources available is not properly used.
5. To reduce risks by following risk management through due diligence process.
6. Establishing strong relationship of trust between the company and the stakeholders which enhances the value of the company.

Benefits of Corporate Governance

1. Better governed company is essential for growth and stabilization
2. Reputation of the company will enhance one people know that you are a honest or good governed company.
3. Better use of funds of the company, which may be fines collected from public of the company by the managers.
4. Better management of resources which are available to the company.
5. Better governed ensures long term and steady growth.
6. Establishing stakeholders' confidence
7. Leverage of competitive advantages
8. Alliances with other companies are easy as others are interested to be associated with your company.

(b) India currently is not having a separate data protection law and when the Information Technology Act, 2000 (hereinafter referred to as the "IT Act") first came into force on October 17, 2000 it lacked provisions for protection and the procedure to be followed to ensure the safety and security of sensitive personal information of an individual. This was taken care of in Information Technology (Amendment) Act, 2008 whose provisions came into force on October 27, 2009. Section 43A was inserted in the IT Act and the Central Government, notified the Information Technology (Reasonable security practices and procedures

and sensitive personal data or information) Rules, 2011. The right to privacy in India was declared a fundamental right by the Hon'ble Supreme Court of India on August 24, 2017,

Important Provisions of IT Act related to Data Protection

- **Section 43A** of the IT Act explicitly provides that whenever a corporate body possesses or deals with any sensitive personal data or information, and is negligent in maintaining a reasonable security to protect such data or information, which thereby causes wrongful loss or wrongful gain to any person, then such body corporate shall be liable to pay damages to the person(s) so affected.
- Further, **Section 72A** provides for the punishment for disclosure of information in breach of lawful contract and any person may be punished with imprisonment for a term not exceeding three years, or with a fine not exceeding up to five lakh rupees, or with both in case disclosure of information is made in breach of lawful contract.

7. (a) Discuss the obligations of the acquirer and the target company under takeover Regulations. [7]

(b) Analyse the powers of the Competition Commission of India to pass orders after finding contravention of Section 3 of the Competition Act, 2002 or abuse of dominant position by an enterprise. [7]

Answers:

(a) Obligations of the acquirer

(a) To ensure that firm financial arrangements have been made for fulfilling the payment obligations under the open offer.

(b) to ensure able to implement the open offer, subject to any statutory approvals for the open offer that may be necessary.

(c) acquirer shall not alienate any material assets of the target company or of any of its subsidiaries, whether by way of sale, lease, encumbrance or otherwise outside the ordinary course of business, unless the acquirer the acquirer has not declared an intention in the detailed public statement and the letter of offer. If such intention wasn't declared, then for alienation - special resolution via postal ballot is required and notice must mention the reasons for such alienation.

(d) the acquirer and persons acting in concert with him shall not sell shares of the target company held by them, during the offer period.

(e) the acquirer and persons acting in concert with him shall be jointly and severally responsible for fulfillment of applicable obligations under takeover code.

Obligations of the target company

(i) the board of directors of such target company shall ensure that during the offer period, the business of the target company is conducted in the ordinary course consistent with past practice.

(ii) the target company shall be prohibited from fixing any record date for a corporate action on or after the third working day prior to the commencement of the tendering period and until the expiry of the tendering period.

(iii) furnish to the acquirer within two working days from the identified date, a list of shareholders as per the register of members of the target company containing names, addresses, shareholding and folio number, in electronic form, wherever available, and a list of persons whose applications, if any for registration of transfer of shares are pending with the target company

(iv) during the offer period:

(a) unless the approval of shareholders of the target company by way of a special resolution by postal ballot is obtained, the board of directors of either the target company or any of its subsidiaries shall not —

(b) alienate any material assets whether by way of sale, lease, encumbrance or otherwise or enter into any agreement therefor outside the ordinary course of business.

(b) Where after inquiry the Commission finds that any agreement referred to in section 3 or action of an enterprise in a dominant position, it may pass all or any of the following orders, namely:

(a) direct any enterprise or association of enterprises involved in such agreement, or abuse of dominant position, to discontinue and not to re-enter such agreement or discontinue;

(b) impose such penalty, as it may deem fit: However, in case any agreement referred to in section 3 has been entered into by a cartel, the Commission may impose upon each producer, seller, distributor, trader or service provider included in that cartel, a penalty of up to three times of its profit for each year of the continuance of such agreement or ten percent. of its turnover for each year of the continuance of such agreement, whichever is higher.

Provided that in case any agreement referred to in section 3 has been entered into by a cartel, the Commission may impose upon each producer, seller, distributor, trader or service provider included in that cartel, a penalty of up to three times of its profit for each year of the continuance of such agreement or ten per cent. of its turnover for each year of the continuance of such agreement, whichever is higher

(c) direct that the agreements shall stand modified to the extent and in the manner as may be specified in the order by the Commission;

(d) direct the enterprises concerned to abide by such other orders as the Commission may pass and comply with the directions, including payment of costs, if any;

(e) pass such other order or issue such directions as it may deem fit

While passing orders under this section, if the Commission comes to a finding, that an enterprise in contravention to section 3 or section 4 of the Act is a member of a group other members of such a group are also responsible for, or have contributed to, such a contravention, then it may pass orders, under this section, against such members of the group.

8. (a) Discuss the procedure of investigation under the Prevention of Money Laundering Act,2002. [7]

(b) Analyse the role of the Reserve Bank of India in formulation of monetary, banking and financial policies. [7]

Answer:

(a) PMLA empowers certain officers of the Directorate of Enforcement to carry out investigations in cases involving offence of money laundering and also to attach the property involved in money laundering. PMLA envisages setting up of an Adjudicating Authority to exercise jurisdiction, power and authority conferred by it essentially to confirm attachment or order confiscation of attached properties. It also envisages setting up of an Appellate Tribunal to hear appeals against the order of the Adjudicating Authority and the authorities like Director FIU-IND.

PMLA envisages designation of one or more courts of sessions as Special Court or Special Courts to try the

offences punishable under PMLA and offences with which the accused may, under the Code of Criminal Procedure 1973, be charged at the same trial.

The Act provides for reciprocal arrangements for processes/assistance with regard to accused persons. In order to enlarge the scope of this Act. The Act provides for bilateral agreements between countries to cooperate with each other and curb the menace of money laundering. These agreements shall be for the purpose of either enforcing the provisions of this Act or for the exchange of information which shall help in the prevention in the commission of an offence under this Act or the corresponding laws in that foreign State. Special Courts have been set-up in a number of States / UTs by the Central Government to conduct the trial of the offences of money laundering. The authorities under the Act like the Director, Adjudicating Authority and the Appellate Tribunal have been constituted to carry out the proceedings related to attachment and confiscation of any property derived from money laundering.

The Government has constituted the Financial Intelligence Unit, India, in November, 2004, headed by Director in the rank of a Joint Secretary to the Government of India. The organization has become functional and has started receiving Cash Transaction Reports and Suspicious Transactions Reports from the banking companies etc. in terms of Section 12 of the PMLA.

Powers of investigation and prosecution for offences under the Act have been conferred on the Director, Enforcement Directorate.

In addition, the Adjudicating Authority in terms of section 6 of the Act and the Appellate Tribunal under section 25 of the Act have also been constituted and have become functional.

(b) Since its inception Reserve Bank has been playing key role in the formulation of monetary, banking and financial policies. To facilitate the transition process and in order to effectively perform its varying roles in the changing banking scenario, from 'regulator' to 'facilitator' over the period, Department has undergone various organizational changes and so also in its activities, approach and functioning.

(i) Inspection of banks

Reserve Bank of India has been empowered under Banking Regulation Act, 1949 to conduct the inspection of banks and regulate them in the interest of banking system, banking policy and depositors/public.

(ii) Regulatory role of commercial banks

Department of Banking Operations and Development exercises regulatory powers in respect of commercial banks and Local Area Banks (LABs). The Department of Banking Operations and Development is entrusted with the responsibility of regulation of commercial banks and LABs under the regulatory provisions contained in the Banking Regulation Act, 1949 and the Reserve Bank of India Act, 1934 and other related statutes besides enunciation of banking polices. It's functions broadly relate to prescription of regulations for compliance with various provisions of Banking Regulation Act on establishment of banks such as licensing and branch expansion, maintenance of statutory liquidity reserves, management and operations, amalgamation, reconstruction and liquidation of banking companies.

(iii) Anti - money laundering under PMLA

RBI has a role in PMLA by creating an anti money laundering Cell (AML Cell) for combating Financing of Terrorism (CFT) and tracking domestic and global developments in AML and CFT.

(iv) Approval/ monitoring of Board level appointments of commercial banks.

The key activity of the section, appropriately named as Appointments Section, relate

- Approval of proposals from the domestic private sector banks for appointment/ removal of part-time Chairman/Managing Director/ whole-time Chairman and Chief Executive Officers. Ensuring compliance with the provisions of the Banking Regulation Act, 1949 with regard to the composition of the Board of Directors of commercial banks in the private sector.
- Making recommendations to Government regarding appointment of Executive Directors/Chairmen & Managing Directors of public sector banks, fixation of their salaries, payment of superannuation benefits and other allied matters.
- Making recommendations to Government regarding appointment of non-official directors, non-workmen directors and RBI Nominee Directors on the Boards of Nationalised banks.

(v) licensing of branches

(a) issue of authorisations to Indian commercial banks including Local Area Banks for opening of branches in pursuance to regulatory powers vested with Reserve Bank under the provisions of Banking Regulation Act, 1949.

(b) To consider representations/complaints from institutions/VIPs and members of public for opening /shifting/ closure of bank offices.

(c) Review of branch licensing policy periodically

(d) Maintenance and updation of database on opening/substitution/closure/shifting of branches, Extension Counters, ATMs, etc.

(vi) Banking policy

It undertakes various new policy initiatives and reviews existing guidelines for progressive upgradation of prudential norms to move towards best practices. The major activities of the Section are as follows:

- Formulation of policy and issue of prudential guidelines pertaining to Capital adequacy; Income recognition; asset classification and provisioning pertaining to advances portfolio; Classification, valuation and operation of investment portfolio; and Credit exposure limits
- Formulation of policy and issues regarding capital structure of public sector banks, including raising of fresh equity, return of capital, recapitalisation.
- Formulation of policy and issuance of regulatory guidelines for implementation of the Basel II framework.
- Policy guidelines / clarifications on integrated risk management systems including Asset Liability Management and issue of guidance notes on various aspects.
- Policy issues/ guidelines pertaining to compromise settlement of NPAs of banks.
- Matters regarding Foreign Contributions Regulations Act – donations received by organizations from abroad.

(vii) **Issue of directives to banks**

Various directions are issued by RBI from time to time, on payment of Interest rates on various types of deposit accounts (including NRI deposit), maintenance of deposit accounts, prohibitions in respect of S.B. Accounts, matters relating to payment of additional interest and brokerage on deposits, appointment of agents for soliciting deposits, giving gifts/incentives to depositors/staff members, freezing of accounts, Resurgent India Bonds, Development Bonds, etc. RBI may also direct Capital Market Exposure of banks.

(viii) **Collection and dissemination of information**

Collection and dissemination of information from/to banks and notified All-India financial institutions (FIs) regarding defaulting borrowers with outstanding aggregating `1 crore and above, which have been classified by them as 'doubtful' or 'loss' (non-suit filed accounts) on half-yearly basis viz., as on March 31 and September 30.

(ix) **Overseeing/ monitoring Indian banks operations abroad**

- Policy formulation and issue of guidelines regarding overseas operations of Indian banks, examination of proposals and grant of approvals for opening their Joint Ventures / Representative Offices / branches and review of their overseas operations including closure of branches / joint ventures / representative offices.
- Approval of Indian banks' proposals for entering into Management Agreements and correspondent banking arrangements with foreign entities.
- Preparation of proposals for submission before IDC of GOI regarding opening of branches / representatives offices of Indian banks abroad.

(x) **Authorisation for dealing in precious metals**

Policy matters relating to Gold Deposit and Gold Import Schemes and dealing with references received from banks in this regard, issue and renewal of authorization for banks for import of gold / silver / platinum and acceptance of gold under Gold Deposit Scheme and collection of data relating to import of gold and Gold Deposit Scheme and collection of data relating to import of gold and gold deposits by banks in India.

SECTION – B

Answer any 5 questions out of 7 questions given. Each question carries 14 marks. [5 x 14 = 70]

2) (a) Explain the provisions related to Audit of government companies.

(b) Describe how alternate director and nominee director can be appointed by companies.

Answer:

(a) Audit of government companies

- In the case of a Government company or any other company owned or controlled, directly or indirectly, by the Central Government, or by any State Government or Governments, or partly by the Central Government and partly by one or more State Governments, the Comptroller and Auditor General of India shall appoint the auditor under Section 139 (5) or 139 (7) and direct such auditor the manner in which the accounts of the company are required to be audited and thereupon the auditor so appointed shall submit a copy of the audit report to the Comptroller and Auditor General of India.
- The audit report among other things, include the following:
  - the directions, if any, issued by the Comptroller and Auditor General of India,
  - the action taken thereon and
  - its impact on the accounts and financial statement of the company.
- The Comptroller and Auditor General of India shall within 60 days from the date of receipt of the audit report have a right to:
  - conduct a supplementary audit of the financial statement of the company by such person or persons as he may authorise in this behalf and for the purposes of such audit, require information or additional information to be furnished to any person or persons, so authorised, on such matters, by such person or persons, and in such form, as the Comptroller and Auditor General of India may direct, and
  - comment upon or supplement such audit report.
- Any comments given by the Comptroller and Auditor General of India upon, or supplement to, the audit report shall be sent by the company to every person entitled to copies of audited financial statements under Section 136 (1) and also be placed before the annual general meeting of the company at the same time and in the same manner as the audit report.
- Test Audit: For Government Company or Company controlled by State Government or Central Government, the Comptroller and Auditor General of India may, if he considers necessary, by an order, cause test audit to be conducted of the accounts of such company, without prejudice to the provisions related to Audit and Auditors. The provisions of Section 19A of the Comptroller and Auditor General's (Duties, Powers and Conditions of Service) Act, 1971, shall apply to the report of such test audit.

(b) Appointment of alternate director:

Section 161(2) of the Companies Act, 2013 provides for appointment of Alternate director. According to this section:

- The Board of Directors of a company may, if so authorised by its articles or by a resolution passed by the company in general meeting, appoint a person to act as an alternate director in place of another director (original director) during his absence for a period of not less than 3 months from India.
- A person who is holding any alternate directorship for any other director in the company or holding Directorship in the same company cannot be considered for appointment as above.
- No person shall be appointed as an alternate director for an independent director unless he is qualified to be appointed as an independent director under the provisions of this Act.
- An alternate director shall not hold office for a period longer than that permissible to the original director in whose place he has been appointed and shall vacate the office if and when the original director returns to India.
- If the term of office of the original director is determined before he so returns to India, any provision for the automatic re-appointment of retiring directors in default of another appointment shall apply to the original, and not to the alternate director. It may be mentioned that whether an alternate director shall be appointed or not and who shall be appointed is the prerogative of the Board and not the decision of the original director.

Appointment of nominee Director [Section 161 (3)]

Section 161(3) of the Companies Act, 2013 provides for appointment of Nominee director. According to this section; subject to the articles of a company, the Board may appoint any person as a director nominated by any institution in pursuance of the provisions of any law for the time being in force or of any agreement or by the Central Government or the State Government by virtue of its shareholding in a Government company. It is worth mentioning here "nomination" do not mean "appointment". The person appointed shall have to be appointed in the proper manner

3) (a) Analyse the provisions related to quorum for meetings of Board.

(b) Discuss the power of Central Government to Provide for Amalgamation of Companies in Public Interest.

Answer:

(a) A quorum is the minimum number of qualified persons who must be present in order to transact business at a duly convened Board meeting. A meeting shall not be deemed to have been properly held unless the quorum was present at that meeting. Presence of requisite Quorum validate decision taken at a meeting.

- The quorum for a Board Meeting shall be one-third of its total strength or two directors, whichever is higher.
- The directors who participate by video conferencing or by other audio visual means shall also be counted for the purpose of quorum.
- The continuing directors may act notwithstanding any vacancy in the Board; but, if the number is

reduced below the quorum fixed by the Act for a meeting of the Board, the continuing(remaining) directors or director may act for the purpose of increasing the number of directors to that fixed for the quorum, or of summoning a general meeting of the company and for no other purpose.

- Where at any time the number of interested directors exceeds or is equal to two third of the total strength of the Board of Directors, the quorum shall be the number of directors who are present at the meeting and not interested directors and are not be less than two.
- Interested director means every director of a company who is in anyway, whether directly or indirectly, concerned or interested in a contract or arrangement or proposed contract or arrangement which is placed in agenda of the meeting.

Exception:

- Section 8 Companies under the Act shall constitute quorum for the Board meeting, either eight members or 25% of its total strength whichever is less. Provided that quorum shall not be less than two members.
- The provisions of section 174 are not applicable to one-person company in which there is only one director on its Board of directors.
- For the purpose of calculating quorum, any fraction of a number shall be rounded off as one.
- Total strength shall not include directors whose places are vacant.
- As per the SS-1 (Secretarial Standards on the Meeting of Board):
  - Quorum shall be present throughout the meeting.
  - In case of committee meetings, the presence of all members of any committee constituted by the Board is necessary to form the quorum for the meetings of such committee unless otherwise stipulated in the Act, or any other law, or the Articles or by the Board.

(b) Section 237 (1) states that when the Central Government is satisfied that it is essential in the public interest that two or more companies should amalgamate, the Central Government may, by order notified in the Official Gazette, provide for the amalgamation of those companies into a single company with such constitution, with such property, powers, rights, interests, authorities and privileges, and with such liabilities, duties and obligations, as may be specified in the order.

The order under Sub-Section (1) may also provide for the continuation by or against the transferee company of any legal proceedings pending by or against any transferor company.

Every member or creditor, including a debenture holder, of each of the transferor companies before the amalgamation shall have, as nearly as may be, the same interest in or rights against the transferee company as he had in the company of which he was originally a member or creditor, and in case the interest or rights of such member or creditor in or against the transferee company are less than his interest in or rights against the original company, he shall be entitled to compensation to that extent, which shall be assessed by such authority as may be prescribed and every such assessment shall be published in the Official Gazette, and the compensation so assessed shall be paid to the member or creditor concerned by the transferee company. As per Section 237 (4) Any person aggrieved by any assessment of compensation made by the prescribed

authority under Sub-Section (3) may, within a period of thirty days from the date of publication of such assessment in the Official Gazette, prefer an appeal to the Tribunal and thereupon the assessment of the compensation shall be made by the Tribunal.

4) (a) Kapoor and Sons Ltd is a listed company with Mr. S K Kapoor as CMD and main stakeholder. Board comprises of the following.

(a) Mr. S K Kapoor, as CMD
(b) Mr. K Murli, Director (Finance)
(c) Mr. B B Singh, Director (Commercial)
(d) Mr K Shekhar, ind. Dir. Appointed in AGM
(e) Mr.B. Ramesh, Ind. Dir., appointed in AGM
(f) Mr. Mahesh Singh, nominee of IDBI
(g) Smt. Rekha Singh, ind. Director, appointed in AGM Ms. Rukmini Mathur, non-executive, non-independent, additional director.

With the above directors, please suggest constitution of CSR committee, Audit Committee and Nomination and Remuneration committee as per the Act and Rules.

(b) Ramesh, Rohit and Madan, all graduate in pharmacy, decide to form a start-up business of manufacturing rare medicine for cancer. Rohit plans big and wants to go to public for finance in course of time. Madan has requested his uncle, an NRI based at USA to invest in the company which he has agreed. Ramesh feels that they should go for section 8 company as the target is not to make money. Madan's uncle wants to know the advantages and disadvantages of public and private company in India.

You are advised to critically assess the following issues.
(i) In order to fulfil Rohit's plan, what kind of entity should be preferred and why?
(ii) Can Madan's uncle invest in the company as an NRI?
(iii) Ramesh's idea of section 8 company is ok?
(iv) Prepare small note for Madan's uncle.

Answer:

(a) I have to suggest constitution of various committees with the existing Board members. I suggest the following.

CSR committee:
In case of CSR committee, there will be at least three directors in the committee with at least one independent director. CSR committee shall be as follows.
(i) Mr. B Ramesh, as chairman
(ii) Ms. Rekha Singh, ind. Director, member
(iii) Mr. K Murli, Director (Finance), member
Since the company has adequate number of independent directors, we can have two instead of one.

Since financial issues are involved, D(F) is made member.

Audit committee

(i) Mr K Shekhar, ind. Dir. as chairperson
(ii) Mr. Mahesh Singh, nominee of IDBI
(iii) Ms. Rekha Singh, ind. Director,

As per rule, there has to be three directors, all non-executive, the chairman to be independent and majority shall be independent. This has been complied here.

Nomination and Remuneration committee

(i) Ms. Rekha Singh, ind. Director, chairperson
(ii) Mr. B Ramesh, member
(iii) Ms. Rukmini Mathur, member

All members need to be non-executive and /or independent.

(b) (i) Private company cannot call for finance from the public. However, a private company can be converted into public company. It is preferred that a public limited company be incorporated so that finance can be taken from the market.
(ii) Yes, Madan's uncle can invest in the company, subject to FDI restrictions.
(iii) Ramesh's idea of section 8 company is not ok as this is a business, where they are investing as entrepreneur and it is not a NGO or social enterprise.
(iv) Note for Madan's uncle.

Advantages of private company

- Many provisions of the companies Act do not apply
- Shareholders are limited are normally known.

Disadvantages of private company

- Cannot invite fund from public
- Cannot increase number of shareholders over 200

5. (a) Discuss the duties of interim resolution professional

(b) ABC Ltd. is registered as NBFC for last 10 years. The company extended a loan of 10 crores to XYZ Ltd. as normal course of business. The loan was long term for equipment financing and equipment were actually purchased. XYZ Ltd. repaid only one crore and stopped paying further installments. The company had to operation for various reasons. Examine the situation in context of IBC code to get the following queries.

(i) Which type of creditor ABC Ltd. shall be classified?
(ii) Where the application can be made?
(iii) Is IP necessary?
(iv) Can ABC Ltd. make a petition on its own?

(v) What is CIRP in this context?

(vi) What time is expected to resolve?

(vii) Can XYZ Ltd. itself apply for taking over the company?

Answer:

(a) As per Section 18(1) of Insolvency and Bankruptcy Code, 2016, the interim resolution professional shall-

- collect all information relating to the assets, finances and operations of the corporate debtor including information relating to—
  - (i) business operations for the previous two years
  - (ii) financial and operational payments for the previous two years
  - (iii) list of assets and liabilities as on the initiation date; and
  - (iv) such other matters as may be specified.
- receive and collate all the claims submitted by creditors to him.
- constitute a committee of creditors.
- monitor the assets of the corporate debtor and manage its operations until a resolution professional is appointed by the committee of creditors.
- file information collected with the information utility, if necessary; and
- take control and custody of any asset over which the corporate debtor has ownership rights as recorded in the balance sheet or with information utility or the depository of securities or any other registry that records the ownership of assets.
- perform such other duties as may be specified by the Board.

(b) The queries asked are being replied as follows.

(i) In the present case, ABC Ltd. shall be classified as Financial creditor, as ABC Ltd. has extended financial loan to XYZ Ltd.

(ii) Application for Resolution process has to be made to NCLT, which is designated "adjudicating authority".

(iii) Yes, IP is necessary in resolution process. Once resolution process commences, the main person shall be the IP, who is authorized to conduct the resolution process.

(iv) Yes, ABC Ltd. can also make petition for resolution by itself.

(v) CIRP means Corporate Insolvency Resolution Plan.

(vi) Time expected to complete the resolution processes is 180 days, which may be extended up to 90 days

(vii) XYZ Ltd. can also apply to retain control of the company by giving a resolution plan.

6. (a) Discuss the features and emerging issues of corporate governance in a family owned companies in India.

(b) Explain how the business intelligence process works and also discuss its benefits.

Answer:

(a) Features of Corporate Governance in a Family Owned Companies in India are:

- Full time directors/other directors and senior management personnel are either from the family or related to the family members.
- Formation of coterie is common.
- Control and ownership is diluted with shareholding being diluted on passing of generation.
- Conflict of interest is very common where personal interest of the promoter conflicts with the company interest. However, proper procedures are followed as per the Act to avoid legal complication.
- Emotions are attached and therefore, some decision are taken which may not be managerially correct.
- Where the family members are united, the non-family directors/managers are defunct in decision making process. Where family is divided, there are more problems like confusion in leadership, delay in decision making, distrust of outside stakeholders etc. The stability, reputation and performance is effected.
- Some families have clear cut roles of the family members in business with structured succession planning, allotment of each company to each member to avoid conflict.
- Personal image of the chairman/MD/Directors is very important which determines the reputation.
- Many hard-core professional avoid working in family business for obvious reasons.
- Death/disability of senior member in the family results to leadership management crisis.

Emerging issues in Corporate governance in family managed companies in India.

- Separation of ownership and management: In few companies in India, the main promoter or owner have chosen to be investor and not to a part of management even as part time chairman. The whole Board of directors are non-owners and are hard core professionals.
- Family members acquiring professional courses from reputed institutes.
- Promoters are encouraging professionals in the organisation.
- Promoters are more focused on compliances to avoid loss of reputation which may result to price fall in the share market.
- Role and leadership clarity decided at board level
- Owners are accepting and honouring opinion of managers.
- Family's social and emotional issues are being satisfied by forming trusts/foundations which are separate from the business entity, without any conflict of interest.

(b) A business intelligence architecture includes more than just BI software. Business intelligence data is typically stored in a data warehouse built for an entire organization or in smaller data marts that hold subsets of business information for individual departments and business units, often with ties to an enterprise data warehouse. BI data can include historical information and real-time data gathered from source systems as it's generated, enabling BI tools to support both strategic and tactical decision-making processes. Before it's used in BI applications, raw data from different source systems generally must be integrated, consolidated and cleansed using data integration and data quality management tools to ensure that BI teams and business users are analyzing accurate and consistent information. Steps in BI can be:

- data preparation, in which data sets are organized and modelled for analysis;
- analytical querying of the prepared data;
- distribution of key performance indicators (KPIs) and other findings to business users; and
- use of the information to help influence and drive business decisions.

Initially, BI tools were primarily used by BI and IT professionals. However, now, business analysts, executives and workers are using business intelligence platforms themselves. Self-service business intelligence environments enable business users to query BI data, create data visualizations and design dashboards on their own.

BI programs often incorporate forms of advanced analytics, such as data mining, predictive analytics, text mining, statistical analysis and big data analytics. A common example is predictive modelling that enables what-if analysis of different business scenarios. In most cases, though, advanced analytics projects are conducted by separate teams of data scientists, statisticians, predictive modelers and other skilled analytics professionals, while BI teams oversee more straightforward querying and analysis of business data.
The key benefits that businesses can get from BI applications include the ability to:

(i) speed up and improve decision-making;
(ii) optimize internal business processes;
(iii) increase operational efficiency and productivity;
(iv) spot business problems that need to be addressed;
(v) identify emerging business and market trends;
(vi) develop stronger business strategies;
(vii) drive higher sales and new revenues; and
(viii) gain a competitive edge over rival companies.

7. (a) Discuss the various restrictions which were imposed on communication and trading by insiders.

(b) Analyse the duties and powers of the competition commission of India.

Answers:

(a) Restrictions on communication and trading by insiders:

(i) No insider shall communicate, procure, provide, or allow access to any unpublished price sensitive information, relating to a company or securities listed or proposed to be listed, except where such communication is in furtherance of legitimate purposes. The board of directors of a listed company shall make a policy for determination of "legitimate purposes" as a part of "Codes of Fair Disclosure and Conduct".

(ii) Due notice shall be given to "insiders" to maintain confidentiality of such unpublished price sensitive information in compliance with these regulations.

(iii) An unpublished price sensitive information may be communicated, procured provided, allowed access to or procured, in connection with a transaction that would:–

(a) entail an obligation to make an open offer;

(b) The board of directors of the that sharing of such information is in the best interests of the company and the information that constitute unpublished price sensitive information is disseminated to be made generally available at least 2 trading days prior to the proposed transaction being effected in such form as the board of directors may determine. The parties may be to execute agreements to contract confidentiality and non-disclosure obligations on the part of such parties and such parties shall keep information so received confidential, except for the purpose of sub-regulation (3), and shall not otherwise trade in securities of the company when in possession of unpublished price sensitive information.

(iv) The organization shall ensure that a structured digital database containing the nature of unpublished price sensitive information to be maintained internally with adequate internal controls and preserved for a period of not less than eight years (more in case of any investigation)

(v) No insider shall trade in securities that are listed or proposed to be listed on a stock exchange when in possession of unpublished price sensitive information. The insider may prove his innocence by few defenses.

(vi) In the case of connected persons the onus of establishing, that they were not in possession of unpublished price sensitive information, shall be on such connected persons and in other cases, the onus would be on the Board. The Board may specify such standards and requirements, from time to time, as it may deem necessary for the purpose of these regulations.

(b) The Competition Commission of India shall take such actions and issue such direction to eliminate practices having adverse effect on competition, promote and sustain competition, protect the interests of consumers and ensure freedom of trade carried on by other participants, in markets in India. It can initiate inquiry into certain agreements and dominant position of enterprise.

(i) The Commission may inquire into any alleged contravention of the provisions on its own motion or on receipt of any information, from any person, consumer or their association or trade association; or a reference made to it by the Central Government or a State Government or a statutory authority.

(ii) The Commission shall, while determining whether an agreement has an appreciable adverse effect on competition under section 3, have due regard to all or any of the following factors, namely:—

- creation of barriers to new entrants;
- driving existing competitors out of the specified market;
- foreclosure of competition by blocking entry into the market;
- accrual of benefits to consumers;
- improvements in production or distribution of goods or provision of services; or
- promotion of technical, scientific and economic development by means of production or distribution of goods or provision of services.

(iii) The Commission shall, while inquiring whether an enterprise enjoys a dominant position or not under section 4, shall take into consideration any of the following factors, namely:—

- market share of the enterprise;
- size and resources of the enterprise;
- size and importance of the competitors;

- economic power of the enterprise;
- vertical integration of the enterprises;
- dependence of consumers on the particular enterprise;
- monopoly or dominant position;
- entry barriers including barriers such as regulatory barriers, financial risk, high capital cost of entry, marketing entry barriers, technical entry barriers, economies of scale, high cost of substitutable goods or service for consumers;
- countervailing buying power;
- market size;
- social obligations and social costs;
- relative advantage, by way of the contribution to the economic development, by the enterprise enjoying a dominant position having or likely to have an appreciable adverse effect on competition;
- any other factor which the Commission may consider relevant for the inquiry.

(iv) For determining whether a market constitutes a "relevant market" for the purposes of this Act, the Commission shall have due regard to the "relevant geographic market" and "relevant product market".

(v) The Commission shall, while determining the "relevant geographic market", have due regard to all or any of the following factors, namely:—

- regulatory trade barriers;
- local specification requirements;
- national procurement policies;
- adequate distribution facilities;
- transport costs;
- language;
- consumer preferences;
- need for secure or regular supplies or rapid after-sales services.

(vi) The Commission shall determine the "relevant product market", based on:

- physical characteristics or end-use of goods;
- price of goods or service
- consumer preferences;
- exclusion of in-house production;
- existence of specialised producers;
- classification of industrial products.

8. (a) Discuss the sectors and entities where FDI is prohibited.

(b) Explain the procedure of winding up of banking companies.

Answer:

(a) FDI is prohibited in the following sectors:

- Lottery Business including Government/ private lottery, online lotteries.
- Gambling and betting including casinos.
- Chit funds (except for investment made by NRIs and OCIs on a non- repatriation basis).
- Nidhi company.
- Trading in Transferable Development Rights (TDRs).
- Real Estate Business or Construction of Farm Houses.
- 'Real estate business' shall not include development of townships, construction of residential / commercial premises, roads or bridges and Real Estate Investment Trusts (REITs) registered and regulated under the SEBI (REITs) Regulations, 2014.
- Manufacturing of Cigars, cheroots, cigarillos and cigarettes, of tobacco or of tobacco substitutes.
- Activities/ sectors not open to private sector investment viz., (i) Atomic energy and(ii) Railway operations (other than permitted activities).
- Any investment by a person who is a citizen of Bangladesh or Pakistan or is an entity incorporated in Bangladesh or Pakistan requires prior Government approval.
- A person who is a citizen of Pakistan or an entity incorporated in Pakistan can, only with the prior Government approval, invest in sectors/activities other than defence, space, atomic energy and sectors/activities prohibited for foreign investment.

(b) Sections 38 to 44 of the Act lay down the provisions for winding up of a banking company. Notwithstanding anything contained in the Companies Act, the High Court shall order for the winding up of the banking company, if it is not able to pay its debt or an application has been made by the RBI under section 37 or 38 of this act. The RBI may apply for the winding up of a banking company if.

(a) It fails to comply with the requirements as to minimum Paid-up capital and reserves as laid down in Section 11, or

(b) Is disentitled to carry on the banking business for want of license under Section 22, or

(c) It has been prohibited from receiving fresh deposits by the Central Government or the Reserve Bank, or

(d) It has failed to comply with any requirement of the Act, and continues to do so even after the Reserve Bank calls upon it to do so, or

(e) The Reserve Bank thinks that a compromise or arrangement sanctioned by the court cannot be worked satisfactorily, or

(f) The Reserve Bank thinks that according to the returns furnished by the company it is unable to pay its debts or its continuance is prejudicial to the interests of the depositors.

The banking company cannot be voluntarily wound up unless the Reserve Bank certifies that it is able to pay its debts in full.

SECTION – B

(Answer any five questions out of seven questions given. Each question carries 14 Marks) [5 x 14 = 70]

2. (a) Describe the provision for Prohibition on Acceptance of Deposits from Public in Companies Act, 2013.

(b) Explain how far the acts of the director will be invalid if his appointment is not valid.

[7+7 =14]

Answer:

(a) Prohibition on Acceptance of Deposits from Public [Section 73 of Companies Act 2013]

1. No company can invite, accept or renew deposits under this Act from the public except in a manner provided under Chapter V provided that nothing in this Sub section shall apply to a banking company and non-banking financial company and to such other companies as the Central Government may, after consultation with the Reserve Bank of India, specify in this behalf.
2. A company may, with the mandate of a resolution in general meeting and subject to such rules as may be prescribed accept deposits from its members on such terms and conditions, including the provision of security, if any, or for the repayment of such deposits with

interest, as may be agreed upon between the company and its members, subject to the fulfilment of the following conditions, namely

(a) Issuance of a circular to its members including therein a statement showing the financial position of the company, the credit rating obtained, the total number of depositors and the amount due towards deposits in respect of any previous deposits accepted by the company and such other particulars in such form and in such manner as may be prescribed.

(b) filing a copy of the circular along with such statement with the Registrar within thirty days before the date of issue of the circular

(c) depositing on or before 30th April each year such sum which shall not be less than twenty percent of the amount of its deposits maturing during the following financial year, and kept in a scheduled bank in a separate bank account to be called as deposit repayment reserve account

(d) Certifying that the company has not committed any default in the repayment of deposits accepted either before or after the commencement of this Act or payment of interest on such deposits, and where the default has occurred, the company made good the default and five years have elapsed since then.

(e) Providing security, if any, for the due repayment of the amount of deposit or the interest thereon including the creation of such charge on the property or assets of the company. Provided that in case where a company does not secure the deposits or secures such deposits partially, then, the deposits shall be termed as 'unsecured deposits' and shall be so quoted in every circular, form, advertisement or in any document related to invitation or acceptance of deposits.

3. Every deposit accepted by a company under sub-section (2) shall be repaid with interest in accordance with the terms and conditions of the agreement referred to in that sub-section.

4. Where a company fails to repay the deposit or part thereof or any interest thereon under Sub- Section (3) the depositor concerned may apply to the Tribunal for an order directing the company to pay the sum due or for any loss or damage incurred by him as a result of such non-payment and for such other orders as the Tribunal may deem fit.

5. The deposit repayment reserve account referred to in clause (c) of Sub-Section (2) shall not be used by the company for any purpose other than repayment of deposits.

(b) The provisions relating to validity of acts of directors are contained in section 176.

The provisions of section 176 are discussed below in detail:

Section 176 seeks to give protection to the company and third parties where certain acts are done by a director in good faith and without notice that these are done wrongly or illegally. Thus, section 176 validates the bona fide acts of de facto directors. These provisions may be explained as follows:

1. Acts of a director – Validated

No act done by a person as a director shall be deemed to be invalid, notwithstanding that it was subsequently noticed that –

(a) his appointment was invalid by reason of any defect or disqualification; or

(b) his appointment was terminated by virtue of any provision contained in the Act or in the Articles of the company.

2. **Acts of managing director - Not validated**

Acts done by a director in his capacity as managing director are not validated under section 176. Accordingly, where a managing director ceased to hold his office, all his subsequent acts were held to be invalid. It was not an irregular exercise of power, but exercise of power by a person who had no authority at all [Varkey Souriarv Keraleeya Banking Co. Ltd. AIR 1957 Ker 97).

3. **Acts of a director - Not validated**

In the following cases, the acts of a director shall not be valid:

(a) Where his appointment is illegal or there is no appointment at all;

(b) If an appointment has been shown to the company as invalid or terminated, where such defect comes into the knowledge of the company, all subsequent acts done by such a director shall be invalid.

(c) Where the acts of a director are ultra vires the Companies act 2013

3. (a) Describe the provision related to Minutes of the Meeting of the General Meeting/Board Meeting.

(b) Explain the powers of Central Government and Tribunal to prevent Oppression and Mismanagement? **[7 + 7 =14]**

Answer:

(a) **<u>Minutes of the Meeting of the General Meeting/Board Meeting [Section 118]</u>**

The minute in a literal sense means a note to preserve the memory of anything. The minutes of a meeting are a written record of the business transacted; decisions and resolutions arrived at the meeting.

Section 118 of the Companies Act, 2013 imposes a statutory obligation on every company to cause minutes of all proceedings of general meetings, board meetings and other meeting and resolution passed by postal ballot.

Every company shall cause minutes of the proceedings of every general meeting of any class of shareholders or creditors, and every resolution passed by postal ballot and every meeting of its Board of Directors or of every Committee of the Board, to be prepared and signed in such manner as may be prescribed and kept within thirty days of the conclusion of every such meeting concerned, or passing of resolution by postal ballot in books kept for that purpose with their pages consecutively numbered [Section 118(1)]

The minutes of each meeting shall contain a fair and correct summary of the proceedings thereat [Section 118(2)].

All appointments made at any of the meetings aforesaid shall be included in the minutes of the meeting [Section 118(3)]. The names of the dissenting directors should be recorded.

The Chairman shall exercise absolute discretion in regard to the inclusion or non-inclusion of any matter in the minutes [Section 118(6)]. The minutes are to be signed by the chairman of the meeting or the net meeting.

The minutes kept in accordance with the provisions of this Section shall be evidence of the proceedings recorded therein [Section 118(7)] and all recording shall be considered valid and authentic.

No document purporting to be proceeding of a general meeting shall be circulated at the expense of the company.

As per Section 118(10), every company shall observe Secretarial Standards with respect to general and board meetings specified by the Institute of Company Secretaries of India. Accordingly, two Secretarial Standards viz. SS-1: Meetings of the Board of Directors and SS-2: General Meetings have been notified.

(b) Central Govt.'s power

Companies Amendment Act,2019 have inserted sub-section 3 to section 241, enabling Central Govt. to make a case of oppression and mismanagement, under following situations.

a) Any person management guilty of fraud, iterance, persistent negligence or breach of duty and trust,
b) Business not conducted with sound business principles or prudent commercial practices,
c) Management conducted in many injuries to interest of the trade, industry to which the company pertains
d) Business carried out with an intention to defraud its creditors, members or in fraudulent or unlawful purpose.

Powers of Tribunal (Section 242)

The Tribunal may appoint such number of persons as directors, who may be required to report to the Tribunal on such matters as the Tribunal may direct.

(a) The Tribunal is of the opinion:
  (1) that the company's affairs have been or are being conducted in a manner prejudicial or oppressive to any member or members or prejudicial to public interest or in a manner prejudicial to the interests of the company, and
  (2) that to wind up the company would unfairly prejudice such member or members, but that otherwise the facts would justify the making of a winding-up order on the ground that it was just and equitable that the company should be wound up, the Tribunal may, with a view to bringing to an end the matters complained of, make such order as it thinks fit.

(b) an order under that Sub- Section may provide for:
  (1) the regulation of conduct of affairs of the company in future.
  (2) the purchase of shares or interests of any members of the company by other members thereof or by the company.
  (3) in the case of a purchase of its shares by the company as aforesaid, the consequent reduction of its share capital.
  (4) restrictions on the transfer or allotment of the shares of the company.
  (5) the termination, setting aside or modification, of any agreement, howsoever arrived at, between the company and the managing director, any other director or manager or any other person, upon such terms and conditions as may, in the opinion of the Tribunal, be just and equitable in the circumstances of the case.

(6) the termination, setting aside or modification of any agreement between the company and any person other than those referred to in clause (5):
Provided that no such agreement shall be terminated, set aside or modified except after due notice and after obtaining the consent of the party concerned.

(7) the setting aside of any transfer, delivery of goods, payment, execution or other act relating to property made or done by or against the company within three months before the date of the application under this Section, which would, if made or done by or against an individual, be deemed in his insolvency to be a fraudulent preference.

(8) removal of the managing director, manager or any of the directors of the company.

(9) Recovery of undue gains made by managerial persons

(10) Appointment of such number of persons as directors, who may be required by the Tribunal to report to the Tribunal on such matters as the Tribunal may direct.

(11) Imposition of costs as may be deemed fit by the Tribunal.

(12) Any other matter for which, in the opinion of the Tribunal, it is just and equitable that provision should be made.

(c) A certified copy of the order of the Tribunal shall be filed by the company with the Registrar within thirty days of the order of the Tribunal. [Sub-Section 3]

(d) The Tribunal may, make any interim order also

(e) Where an order of the Tribunal makes any alteration in the memorandum or articles of a company, the company shall not have power, to make any alteration inconsistent with the order.

4. (a) Critically assess the situation and advise about the quorum of Company's Board Meeting in the following cases (explain as per the provisions of the Companies Act, 2013)?

(i) A public company has 10 directors (including 4 non-executive directors). But 8 directors (including 4 non-executive directors) attended the BOD meeting.

(ii) Startup Odisha Ltd. is a section 8 company which has 8 non-executive directors. 3 directors attended the meeting.

(iii) BOD of X Ltd. consists of 9 executive directors and 3 non-executive directors. Total 6 executive directors and 3 non-executive directors attended the BOD meeting. A business was transacted in which one director was interested. Articles of the Association have fixed the quorum as 5.

(b) X & Co. is a LLP firm wants to convert their firm into a corporate entity as per the provisions contained in Sec. 366 of the Companies Act ,2013 and the Companies (Authorized to registered) Rules, 2014. They have conducted a meeting for conversion of and to decide the name of the company summoned for the purpose of registering the LLP. In the meeting 1/4th partners want for the conversion into a Pvt. Ltd company, and ¾th partners want for a new corporate entity with the word "Public Limited". There are 6 partners in the firm. Recommend an appropriate decision and steps to be taken by the firm. [7+7=14]

Answer:

(a) Quorum of company's Board meetings

(i) According to Section 174 of the Companies Act, 2013 the quorum for a Board Meeting shall be one third of its total strength or two directors, whichever is higher. Here the strength is 10. 1/3rd of total strength is 3.33 or 4. So the quorum is 4 (any fraction rounded as one).

(ii) The companies covered under section 8 of the Act shall constitute quorum for the Board meeting, either eight members or 25% of its total strength whichever is less. Provided that quorum shall not be less than two members. [Vide Notification G.S.R.466(E) dated 5th June 2015]. As Start-up Odisha Ltd. is a section 8 company, the quorum will be decided as per above provisions. Here 1/4th of total directors is 2. Hence the quorum is 2.

(iii) Interested Director means any director whose presence cannot counted for the purpose of forming a quorum at a meeting of the Board, at the time of the discussion or vote on any matter. The Act prohibits an interested director from participating in the discussion of or voting on, any contract or arrangement entered into, or to be entered into, by or on behalf of the company in which his presence shall not be counted for the purpose of forming a quorum at the time of any such discussion or vote and if he does vote, his vote shall be void. There is requirement of 12/3 i.e., 4 directors to be quorum,

However, now 8 directors are present (excluding the interested director); Hence quorum is available for a valid BOD meeting of X Ltd.

(b) An LLP can be converted into a Pvt. Ltd. Company as per the provisions contained in section 366 of the companies act 2013 and the companies (Authorised to Registered) Rules, 2014. This step can be initiated in 2 ways as enumerated below:

(i) Incorporation of a new corporate entity.

(ii) Conversion of existing entity (e.g. LLP/Partnership Firm) into a Company There are various requirements which need to be satisfied for converting an LLP into a private Ltd.

1) An LLP must have at least 7 partners (however as per Companies Amendment Act, 2017 LLP with 2 partners can be converted into company).
2) Approval from all partners is required.
3) Advertisement in newspaper is to be done in a local and national newspaper.
4) No objection certificate (NOC) is required from ROC where such LLP is registered

However, if an LLP crosses an annual turnover of Rs.40 lakhs or a capital contribution of more than Rs.25 lakhs, the compliance requirements for LLP and Private Limited Company become almost similar, making the private limited company a better choice. Further that a company with less than 7 members shall register as a private company, whether the majority is for a new corporate entity with the word "Public Limited".

The following steps to be taken by the firm:

1. Hold a meeting of the partners to decide the name of the company. To authorize partners to take all steps necessary and to execute all papers, deeds, documents etc. pursuant to register of the LLP as a Company. The major advantages are that the business can be run under the same name as that of the LLP except that in addition to the name of LLP the words Limited or private limited has to be added. The accepted name by the authority will be valid for 60 days.

2. After obtaining name approval, apply for Digital Signature Certificate (DSC) and Director Identification Number (DIN) for the member of the LLP who will be the directors of the Private Limited Company after conversion. n case of non-applicability of DIN, the applicant needs to provide address proof, identity proof and photographs along with the application. Therefore, obtain DIN directly through filing incorporation form.
3. Further, Form URC-1 needs to be filed by the applicant; furnish the following list of documents along with the form URC-1.
   - Provide details such as name, address and shares held by the members along with the member's list.
   - Provide details such as Name, Address, DIN, passport number along with an expiry date of all the directors of the Private Limited Company.
   - An affidavit is required from the first directors of the Private Limited Company stating that they are not banned from being a director.
   - Also, file all mandatory documents with the Registrar of Companies for the registration of the company.
   - Note: The details provided by the company should be complete, correct and accurate to the best of their knowledge.
   - Copy of Limited Liability Partnership agreement with a list containing the name and address of the partners of LLP and a certified copy of registration which is duly verified by at least two designated partners of LPP is required.
   - The statement with the details of the nominal share capital of the firm and the number of shares separated the number of shares taken and the amount remitted for each share and the name of the firm with the word private limited to be provided.
   - The no-objection certificate from all the creditors has to be provided.
   - Duly certified accounts statement of the company by the auditor, which should not be less than six days from the date of application and the copy of the newspaper advertisement is required.
4. Draft the Memorandum of Association (MOA) and Articles of Association (AOA) and submit to the Registrar of Companies. After the approval of the company name, the Register of Companies sanctions the form URC-1.

5. (a) Discuss the persons not entitled to initiate insolvency resolution process under the IBC. 2016?

(b) Nature India Limited filed a petition under Insolvency and Bankruptcy Code, 2016 with National Company Law Tribunal (NCLT) against Tulip Limited and the petition was admitted. After that, Nature India Limited wanted to withdraw the petition based on a settlement arrived between the parties. Examine whether it is permissible to withdraw the petition after it has been admitted? and also infer the legal provision relating to the admission and rejection of application by an adjudicating authority under the Insolvency and Bankruptcy Code, 2016. **[7+7 =14]**

Answer:

(a) Persons who are not entitled to initiate insolvency resolution process.

The Code states that a corporate debtor (which includes a corporate applicant in respect of such corporate debtor) shall not be entitled to make an application to initiate corporate insolvency resolution process [Section 11 of Insolvency and Bankruptcy Code, 2016] in the following cases:

(a) when undergoing a corporate insolvency resolution process; or

(b) having completed corporate insolvency resolution process twelve months preceding the date of making of the application; or

(c) a corporate debtor or a financial creditor who has violated any of the terms of resolution plan which was approved twelve months before the date of making of an application under this Chapter; or

(d) a corporate debtor in respect of him a liquidation order has been made.

(b) The given problem relates to section 9 of the Insolvency and Bankruptcy Code, 2016 read with Rule 44(2) of the National Company Tribunal Rules, 2016. As per section 9, an application for initiation of corporate insolvency resolution process may be made by an operational creditor against the corporate debtor. Such application is made to the adjudicating Authority (NCLT).

As per section 13, where an application is made under section 9 is admitted, the adjudicating authority shall make an order with respect to following:

(i) Appoint an interim resolution professional in the manner as laid down in sec 16.

(ii) Cause a public announcement of the initiation of corporate insolvency resolution process and call for the submission of claims.

(iii) Declare a moratorium for the purposes referred to in section 14.

However, section 9 does not address a situation wherein an application made to the Adjudicating Authority is admitted, but afterwards, the operational creditor wishes to withdraw its application. In other words, section 9 is silent as to whether an application, once admitted, can be withdrawn or not. But, this is dealt with Rule 44(2) of the National Company Law Tribunal Rules, 2016.

As per Rule 44(2), where at any stage prior to the hearing of the petition or application, the applicant desires to withdraw his application, he shall make an application to that effect to the Tribunal, and the Tribunal on hearing the applicant and if necessary, the other party in the application, may permit such withdrawal upon imposing such costs as it may deem fit and proper. In “Parker Hannifin India private Limited v Powers International Private Limited” an application made under section 9 was admitted by the Adjudicating Authority. As a consequence of admission of application, public announcement was made inviting claims from the creditors and moratorium was declared. Thereafter, operational creditor and corporate debtor duly agreed for amicable settlement and were arrived at between the parties. Then an application was made to the Adjudicating Authority for withdrawal of application admitted earlier.

The Authority held that after the admission of the application under section 9, the application acquires the character of a representative suit. By reason of public announcement, other creditors become entitled to file their claims and participate in the corporate insolvency resolution process.

Therefore, the application cannot be dismissed on the basis of a compromise or settlement arrived at between the operational creditor and corporate debtor. Thus, operational creditor and corporate debtor alone shall have no right to decide the withdrawal of the application. In the given Nature India Limited's application against Tulip Limited has been admitted by the Adjudicating Authority under section 9. Afterwards, Nature India Limited and Tulip Limited entered into a settlement and wanted to withdraw the application. Accordingly, the application admitted under section 9 cannot be withdrawn.

6. (a) Examine the sustainability report and its purpose of disclosure.

(b) Classify the major categories of cyber-crimes and summarize them with examples. [7+7=14]

Answer:

(a) Sustainability Reporting:

UNO supports principles of Responsible Investment (PRI). These principles have subscribed by 3500 signatories who are investors. They have committed to integrate ESG factors into investment decision making.

Most of the large companies in the world are already reporting their ESG profile in line with globally recognized parameters.

Studies have made by one rating agency on ESG ratings which shows variance in rating in different sectors. Though not mandatory ESG rating would give the message to the outsiders, stakeholders about the ESG approach of the entity. More and more companies are coming under ESG philosophy and practice.

In view of the above, it has become important to reporting of company's performance on sustainability related factors and its importance is as relevant operational performance.

SEBI had in November 2015, prescribed format in reporting ESG parameters listed entities. SEBI has raised the format in May,2021 for reporting ESG parameters called Burins Responsibility and Sustainability Report (BRSR). It seeks disclosure from listed entities on their performance against the principles of National Guidelines on Responsible Business Conduct (NGBRC). Each parameter is divided into leadership and essential indicators, whereas the formal is voluntary and latter is mandatory.

Purpose of Disclosure

1. The disclosure, are in nature of quantity and standards so that it can be easily compared with other similar entities by third parties, particularly a prospective investor.
2. Engaging with stakeholders in most proper way beneficial to both.
3. The corporates need to look beyond financial figures for effective ecosystem between corporate, society and environment.

Application of mandatory reporting

With effect from financial year 2022-23, the filing shall be mandatory for top 1000 companies listed in any of the exchange, based on market capitalization.

(b) Cyber-crimes can be basically divided into three major categories:

A. Cyber-crimes against persons are:

- Cyber-Stalking: It means to create physical threat that creates fear to use the computer technology such as internet, e-mail, phones, text messages, webcam, websites or videos.
- Defamation: It is an act of imputing any person to lower down the dignity of the person by hacking his mail account and sending some mails with using vulgar language to unknown persons.
- Hacking: unauthorized control/access over computer system and act of hacking completely destroys the whole data as well as computer programmes.
- Cracking: Cracking means that a stranger has broken into your computer systems without your knowledge and consent and has tampered with precious confidential data and information.
- Spoofing: A spoofed e-mail may be said to be one, which misrepresents its origin. It shows its origin to be different from which actually it originates. Spoofing is a blocking through spam which means the unwanted uninvited messages. Wrongdoer steals mobile phone number of any person and sending SMS via internet and receiver gets the SMS from the mobile phone number of the victim.
- Carding: It means false ATM cards i.e. Debit and Credit cards used by criminals for their monetary benefits through withdrawing money from the bank account mala fidely.
- Fraud: It means the person who is doing the act of cyber-crime i.e. stealing password and data storage has done it with having guilty mind which leads to fraud and cheating.
- Threat: refers to threatening a person with fear for their lives or lives of their families through the use of a computer network i.e. E-mail, videos or phones.

B. Cyber-crimes against property

There are certain offences which affects person or properties which are as follows:

- Squatting: It means where two persons claim for the same Domain Name either by claiming that they had registered the name first on by right of using it before the other or using something similar to that previously.
- Vandalism: Vandalism means deliberately destroying or damaging property of another. Thus cyber vandalism means destroying or damaging the data when a network service is stopped or disrupted. It may include within its purview any kind of physical harm done to the computer of any person.
- Hacking: Hacktivism attacks those included Famous Twitter, blogging platform by unauthorized access/ control over the computer. Due to the hacking activity there will be loss of data as well as computer.
- Virus: Viruses are programs that attach themselves to a computer or a file and then circulate themselves to other files and to other computers on a network. They usually affect the data on a computer, either by altering or deleting it. Worm attacks plays major role in affecting the computerize system of the individuals.

- Trespass: It means to access someone's computer without the right authorization of the owner and does not disturb, alter, misuse, or damage data or system by using wireless internet connection.

C. Cyber-crimes against Government

There are certain offences done by group of persons intending to threaten the international governments by using internet facilities. It includes:

- Terrorism: Cyber terrorism is a major burning issue in the domestic as well as global concern. The common form of these terrorist attacks on the Internet is by distributed denial of service attacks, hate websites and hate e-mails, attacks on sensitive computer networks etc. Cyber terrorism activities endanger the sovereignty and integrity of the nation.
- Warfare: It refers to politically motivated hacking to damage and spying. It is a form of information warfare sometimes seen as analogous to conventional warfare although this analogy is controversial for both its accuracy and its political motivation.
- Piracy: It means distributing pirated software from one computer to another intending to destroy the data and official records of the government.
- unauthorized Information: It is very easy to access any information by the terrorists with the aid of internet and to possess that information for political, religious, social, ideological objectives.
  - (i) Tampering with Computer source documents - Sec.65
  - (ii) Hacking with Computer systems, Data alteration - Sec.66
  - (iii) Publishing obscene information - Sec.67
  - (iv) Un-authorised access to protected system Sec.70
  - (v) Breach of Confidentiality and Privacy - Sec.72
  - (vi) Publishing false digital signature certificates - Sec.73

7. (a) Explain the various steps to be taken by a Listed Company in prevention of Insider trading.

(b) Discuss the "Abuse of Dominant position" and "predatory pricing" under Competition Act, 2002. [7+7=14]

Answer:

(a) The following steps need to be taken by the Management of a Listed Company to prevent insider trading which can also be referred as Institutional Mechanism to counter Insider trading:

a) The Chief Executive Officer shall put in place adequate and effective system of internal control for compliance.

b) The Audit Committee shall review compliance with the provision of these regulations at least once in a financial year and shall verify that the systems for internal control are adequate and are operating effectively.

c) Every listed company shall formulate policies and procedures for inquiry in case of leak or suspected leak of unpublished price sensitive information which shall be approved by the Board of directors and accordingly initiate appropriate inquiries in time and inform the

Board promptly of the status.

d) The listed Company shall formulate whistle- blower policy and make employees aware of such policy to enable employees to report instances of leak of unpublished price sensitive information.

e) If an inquiry has been initiated by a listed Company in case of leak of unpublished price sensitive information or suspected leak of unpublished price sensitive information, the relevant intermediaries and fiduciaries shall co-operate with the listed company in connection with such an inquiry.

(b) Abuse of Dominant Position

a) When a party directly or indirectly, imposes unfair or discriminatory condition in purchase or sale of goods or service; or Price in purchase or sale (including predatory price) of goods or service; or

b) Indulges in practice or practices resulting in denial of market access; or

c) Uses its dominant position in one relevant market to enter into, or protect, other relevant market. "Dominant position" means a position of strength, enjoyed by an enterprise, in the relevant market, in India, which enables into-

(i) Operate independently of competitive forces prevailing in the relevant market; or

(ii) Affect its competitors or consumers or the relevant market in its favour.

"Predatory price" means the sale of goods or provision of services, at a price which is below the cost, as may be determined by regulations, of production of the goods or provision of services. The basic motive behind such a move is to reduce competition or eliminate the competitors.

8. (a) Examine the process of Money Laundering of the PMLA, 2002.

(b) An asset reconstruction company may, for the purposes of asset reconstruction, provide for any one or more of the measures. Explain the measures to be taken for assets reconstruction.

[7+7=14]

Answer:

(a) The process of Money Laundering generally involves the following three stages –

1) Placement: The Money Launderer, who is holding the money generated from criminal activities, introduces the illegal funds into the financial systems. This might be done by breaking up large amount of cash into less conspicuous smaller sums which are deposited directly into a Bank Account or by purchasing a series of instruments such as Cheques, Bank Drafts etc., which are then collected and deposited into one or more accounts at another location.

2) Layering: The second stage of Money Laundering is layering. In this stage, the Money Launderer typically engages in a series of continuous conversions or movements of funds, within the financial or banking system by way of numerous accounts, so as to hide their true origin and to distance them from their criminal source. The Money Launderer may use various channels for movement of funds, like a series of Bank Accounts, sometimes spread

across the globe, especially in those jurisdictions which do not co– operate in anti-Money Laundering investigations.

3) **Integration:** Having successfully processed his criminal profits through the first two stages of Money Laundering, the Launderer then moves to this third stage in which the funds reach the legitimate economy, after getting inseparably mixed with the legitimate money earned through legal sources of income. The Money Launderer might then choose to invest the funds into real estate, business ventures & luxury assets, etc. so that he can enjoy the laundered money, without any fear of law enforcement agencies.

The above three steps may not always follow each other. At times, illegal money may be mixed with legitimate money, even prior to placement in the financial system. In certain cash rich businesses, like Casinos (Gambling) and Real Estate, the proceeds of crime may be invested without entering the mainstream financial system at all.

(b) Measures for assets reconstruction (Section 9 of SARFAESI Act, 2002)

An asset reconstruction company may for the purposes of asset reconstruction, provide for any one or more of the following measures, namely

a) The proper management of the business of the borrower, by change in or takeover of, the management of the business of the borrower,
b) The sale or lease of a part or whole of the business of the borrower,
c) Rescheduling of payment of debts payable by the borrower,
d) Enforcement of security interest in accordance with the provisions of this Act.
e) Settlement of dues payable by the borrower,
f) Taking possession of secured assets in accordance with the provisions of this Act,
g) Conversion of any portion of debt into shares of a borrower company Provided that conversion of any part of debt into shares of a borrower company shall be deemed always to have been valid, as if the provisions of this clause were in force at all material times.

The Reserve bank for this purpose shall determine the policy and issue necessary directions including the directions for regulation of management of the business of the borrower and fees to be charged. The asset reconstruction company shall take measures as per the directions of RBI.

SECTION – B

(Answer any five questions out of seven questions given. Each question carries 14 Marks)

[5 x 14 = 70]

2. (a) Describe the procedure which has to be followed by the company while transferring unpaid or unclaimed dividend from unpaid dividend account to IEPF.

(b) Explain how the directors are elected by small shareholders appointed under Section 151? **[7 + 7 =14]**

Answer:

(a) It has been observed that in many cases, few shareholders are not traceable. The documents sent to them are returned to the company. Before IEPF, the unpaid dividend used to be with

the company for three years and thereafter was transferred to Central Govt. wherefrom shareholders can claim. This rule has been modified with establishment of IEPF.

The following procedure should be followed by the company while transferring unpaid or unclaimed dividend from unpaid dividend account to IEPF:

i. Section 124(5) of the Act, provides that any money transferred to the unpaid dividend account of a company which remains unpaid or unclaimed for a period of seven years from the date of such transfer is required to be transferred by the company along with interest accrued, if any, thereon to the Investor Education and Protection Fund (IEPF) established under Section 125.

ii. The amount shall be remitted into the specified branches of State Bank of India or any other nationalized bank along with challan (in triplicate) within a period of 90 days of such amount becoming due to be credited to the IEPF. The Bank will return two copies duly stamped to the Company as token of having received the amount and the company shall file one such copy of challan to the authority.

iii. The company shall send a statement of amount credited to Investor Education and Protection Fund in Form DIV 5 to the authority which administer the fund and the authority shall issue a receipt to the company as evidence of such transfer.

iv. On receipt of this statement, the authority shall enter the details of such receipts in a register maintained by it in respect of each company every year and reconcile the amount.

v. The company shall keep a record consisting of names, last known addresses of the persons entitled to receive the same, the amount to which each person is entitled, folio number/ client ID, certificate number, beneficiary details etc. of the persons in respect of whom amount has been remain unpaid or unclaimed for 7 years and transferred to IEPF. Such record shall be maintained for a period of 8 years from the date of such transfer to IEPF and authority shall have the powers to inspect such records (shareholder or his legal representative).

(b) There was persistent demand from the small shareholders to have a director nominated by them to look after the interest of small shareholder This has been considered in the new Act.

"Small Shareholders" means a shareholder holding shares of nominal value of not more than ₹20,000 or such other sum as may be prescribed.

The Companies (Appointment and Qualification of Directors) Rules, 2014 provides for the procedure for appointment of small shareholders' director according to which:

(a) A listed company, may upon notice of not less than

- one thousand small shareholders, or
- one tenth of the total number of such shareholders, whichever is lower, have a small shareholders' director elected by the small shareholder.

However, a listed company may opt to have a director representing small shareholders' suo-moto and in such a case the provisions of sub-rule (2), given below, shall not apply for appointment of such director.

(b) The small shareholders intending to propose a person as a candidate for the post of small shareholders' director shall leave a notice of their intention with the company at least fourteen days before the meeting under their signatures specifying the name, address, shares held and folio number of the person whose name is being proposed for the post of director and of the small shareholders who are proposing such person for the office of director.

(c) The notice shall be accompanied by a statement signed by the person whose name is being proposed for the post of small shareholders' director stating:

- his Director Identification Number;
- that he is not disqualified to become a director under the Act; and
- his consent to act as a director of the company.

(d) Such director shall be considered as an independent director subject to, his being eligible under sub-section (6) of section 149 and his giving a declaration of his independence in accordance with sub-section (7) of section 149 of the Act.

(e) The appointment of small shareholders' director shall be subject to the provisions of section 152 except that:

- such director shall not be liable to retire by rotation;
- Such director's tenure as small shareholders' director shall not exceed a period of three consecutive years; and
- On the expiry of the tenure, such director shall not be eligible for re-appointment.

(f) A person shall not be appointed as small shareholders' director of a company, if he is not eligible for appointment in terms of section 164 which specifies the disqualifications for appointment of a director.

(g) A person appointed as small shareholders' director shall vacate the office if:

- the director incurs any of the disqualifications specified in section 164;
- the office of the director becomes vacant in pursuance of section 167;
- the director ceases to meet the criteria of independence as provided in sub-section (6) of section 149.

(h) No person shall hold the position of small shareholders' director in more than two companies at the same time.

However, the second company in which he has been so appointed shall not be in a business which is competing or is in conflict with the business of the first company.

(i) A small shareholders' director shall not, for a period of three years from the date on which he ceases to hold office as a small shareholders' director in a company, be appointed in or be associated with such company in any other capacity, either directly or indirectly.

3. (a) Describe the Powers of the Board to be exercised by the Board by means of the resolution passed at a duly convened Board meeting.

(b) ABC Ltd. is a public limited unlisted company with ₹50 crore equity capital of ₹10 each. It has taken over 70% equity of a company called BCG Ltd. which is a listed company with equity capital of ₹20 crores divided into share of ₹10 each. ABC Ltd. and BCG Ltd. have decided to merge.

Advise the CEO of BCG Ltd. regarding the following queries:

(i) Is the decision to merge in order?

(ii) Is the merger to be approved by shareholders of each of the companies?

(iii) What happens if few shareholders do not consent?

(iv) Does require order of NCLT? **[7 + 7 =14]**

Answer:

(a) Board of Directors shall be entitled to exercise all such powers, and to do all such acts and things, as the company is authorized to exercise and do. The Board shall be subject to the provisions of this Act, or the Memorandum or Articles, or any Regulations not inconsistent therewith and duly made thereunder, including regulations made by the company in general meeting.

The Board shall not exercise any power or do any act or thing to be exercised or done by the company in general meeting. However, no regulation made by the company in general meeting shall invalidate any prior act of the Board which would have been valid if that regulation had not been made.

No Regulation made by the company in general meeting shall invalidate any prior Act of the Board which would have been valid if that Regulation had not been made.

Powers of the Board to be exercised by the Board by means of the resolution passed at a duly convened Board meeting [Section 179 (3)]:

(1) to make calls on shareholders in respect of money unpaid on their shares;

(2) to authorise buy back of securities under section 68;

(3) to issue securities, including debentures, whether in or outside India;

(4) to borrow monies;

(5) to invest the funds of the company;

(6) to grant loans or give guarantee or provide security in respect of loans;

(7) to approve financial statement and the Board's report;

(8) to diversify the business of the company;

(9) to approve amalgamation, merger or reconstruction;

(10) to take over a company or acquire a controlling or substantial stake in another company;

(11) any other matter which may be prescribed

Further, Rule 8 of the Companies (Meetings of Board and its Powers) Rules, 2014 has prescribed certain more powers that shall also be exercised by the Board of Directors only by means of resolutions passed at meetings of the Board:

(1) to make political contributions

(2) to appoint or remove KMP; and

(3) to appoint internal auditors and secretarial auditor.

The Board may, by a resolution passed at a meeting, delegate the powers specified in points (4) to (6) above, on such conditions as it may specify to:
(1) any committee of directors,
(2) the managing director,
(3) the manager or any other principal officer of the company, or
(4) the principal officer of the branch office (in the case of a branch office of the company).
Note: Matters referred to in clauses (4), (5) and (6) of sub-section (3) of section 179 may be decided by the board by circulation instead of at a meeting in respect to the companies covered under section 8 of the Companies Act, 2013.

(b) **(i)** Yes, The decision to merge is in order. Companies are free to merge with consent of shareholders and by following the procedures prescribed under law. However, it will not fall under special category mergers under section 233 of the Act.
(ii) Yes, a scheme is necessary.
(iii) Yes, the scheme has to be approved by 3/4th majority of shareholders in value.
(iv) The dissenting shareholders have to accept the decision of the majority.
(v) Yes. It requires approval of NCLT. Since the transferee company is listed, SEBI regulations have to be complied with, wherever applicable

4. (a) The Board of Directors of Best Consultants Limited, registered in Kolkata, proposes to hold the next board meeting in the month of May, 2024. They seek your advice in respect of the following matters:

(i) Can the board meeting be held in Chennai, when all the Directors of the Company reside in Kolkata?

(ii) Is it necessary that the notice of the board meeting should specify the nature of business to be transacted?

Advise with reference to the relevant provisions of the Companies Act, 2013.

(b) United Social Services Ltd is a company formed by 10 professionals with ₹1 lakh paid up capital by each promoter. The company intends to give various services to NGOs and social sector organisations with marginal profit. Though the registered office is in Delhi, the company wants to work on pan India basis.

Critically assess the following perception of the company and advise the management of the company, in line with the provisions of law.

(i) The company claims that it is a non-profit company.

(ii) If not, can it be converted as NPO?

(iii) What is to be done for conversation?

(iv) Once converted, would the promoters get dividend out of profit? [7+7=14]

Answer:

(a) **(i)** There is no provision in the Companies Act, 2013 under which the board meetings must be held at any particular place. The Companies Act lays down the provisions for holding meetings by video conferencing, sending notices, procedures at the meeting etc. Therefore, there is no difficulty in holding the board meeting at Chennai even if all the directors of the company reside at Kolkata and the registered office is situated at Kolkata provided that the requirements regarding the holding of a valid board meeting and the other provisions relating to the signing of register of contracts, taking roll calls, etc. are complied with.

(ii) Section 173(3) of the Companies act, 2013 provides for the giving of notice of every board meeting of not less than seven days to every director of the company. There is no provision in the Act laying down the contents of the notice. Hence, it may be construed that notice may be interpreted as intimation of the meeting and does not necessarily include the sending of the Agenda of the meeting. However, considering the importance of Board Meetings and the responsibilities placed on the Directors for decisions taken at the meetings, it is inevitable for them to be properly prepared and informed about the items to be discussed at the Board Meetings. As a matter of good secretarial practice, the notice should include full details and particulars of the business to be transacted at the Board Meetings.

The articles of association of the company may make it mandatory to do so in almost all cases.

(b) (i) The perception of the management of United social service is being classified as follows - the company is not a non-profit company as it is for gain that is marginal cost to gain, to qualify as NPO the company needs to be registered under section 8 and obtain separate license from MCA.

(ii) Yes, it can be converted into NPO.

(iii) In order to convert itself into NPO, it has to take following steps for conversion:

1. Alter the memorandum by incorporating objects for promotion of art, science, education etc. or any charitable purpose:
2. Application to MCA GOI has to be made in the form Inc. 12 along with memorandum of articles and association financial statement of last 2 years;
3. Statement of asset and liabilities which are estimated income plans by practicing advocate of the resolution of board meeting;
4. Make a public notice of such proposed consortium with also need to be filled with ROC.
5. Registrar may require for the information like minutes of the meeting, consider objection of others and after being satisfied, shall issue license to operate as sec 8 company.

(iv) Once the company is converted into a non-profit organization (Section 8 company), the promoters or any members cannot receive dividends from profits. Section 8 mandates that the profits are used solely for promoting the company's objects and cannot be distributed to members.

5. (a) A Jyoti industry is a public limited company. Due to some Insolvency Resolution Problem, the factory and office were closed. Two accounts officers dealing with finalization of accounts left the company in quick succession and accounts could not be prepared. It is likely that the financial statements will not be placed within the last date of AGM, i.e. 30th September. Analyse the legal provision after discussing with the MD of the company about the consequences in following situations:

(i) Accounts are not ready and cannot be placed in AGM.

(ii) AGM to be deferred after 30th September.

(iii) Accounts are ready but AGM could not be held.

(iv) AGM held, accounts placed but not approved.

(b) Mr. Ajay, an advocate, is in the business of providing professional services like filing of petitions before Tribunals and Courts. Mrs. Sonali, wife of Mr. Ajay, is a registered Insolvency Professional (IP) with the Insolvency Bankruptcy Board of India. Mr. Ajay, in his capacity of an advocate, filed many applications relating to admission of corporate debtors before National Company Law Tribunal (NCLT) and his wife Mrs. Sonali being insolvency professional in her own professional capacity acts as Insolvency Professional in all the cases her husband takes up. Mrs. Sonali within 6 months of becoming Insolvency Professional accepted 15 such assignments. She does not have any prior experience as an Insolvency Professional. While considering one such application for initiation of Corporate Insolvency Resolution Professional (CIRP), NCLT observed that the fees charged by Mrs. Sonali for acting as insolvency resolution professional is exorbitant. Mrs. Sonali contracted with the applicant to not only act as Interim Resolution Professional but also as Resolution Professional in all the 15 assignments that she accepted.

With reference to the above-mentioned facts, Analyse the situation and Discuss the answers with reasons of the following questions:

i) Is Mrs. Sonali right in accepting the assignments when it was her husband who proposed her name?

ii) IBBI has issued a show cause notice to Mrs. Sonali based on the adverse remarks made by NCLT. Is IBBI is empowered by the Code to issue a show cause notice even without a complaint made against?

iii) Assume that out of the 15 assignments Mrs. Sonali accepted, 2 are listed companies, 3 are unlisted public companies and 10 are private companies. Is there any limit in number of assignments that an IP can accept? [7+7 =14]

Answer:

(a) (i) Company has to adjourn the meeting to a date where the accounts shall be ready but such meeting also shall be within 30th September.

(ii) AGM cannot be deferred by the Company. Approval of extension is given by Registrar of Companies. However, the approval for extension shall have to be taken within 3oth September.

(iii) If AGMs could not be held, it would amount to violation of law and extension to be sought.

(iv) If the AGM is held but the accounts are not adopted, the unadopted accounts shall be filed with the Registrar. Where the financial statements are not adopted at annual general meeting or adjourned annual general meeting, such unadopted financial statements along with the required documents shall be filed with the Registrar within 30 days of the date of annual general meeting.

(b) **(i)** The Code of Conduct requires the IP to maintain complete independence in professional relationships. It is not correct on the part of Mrs. Sonali to accept assignments which will affect her independence.

(ii) IBBI is empowered by the Code to issue a show cause notice even without a complaint made against IP if it has reasonable grounds to believe IP has contravened any provisions.

(iii) There is no cap or limit on the numbers of assignments that an IP can accept. However, IP must refrain from accepting too many assignments if he is unable to devote enough time

6. (a) Analyse the features of Corporate Governance.

(b) Explain the types of business intelligence tools and applications and benefits of business intelligence. **[7+7=14]**

Answer:

(a) **Features of corporate governance are:**

- **A proper tool for transparency**: disclosing the status of the affairs company at every step to every stakeholder i.e. required to maintain transparency. The concept goes against the theory of suppression of material facts by the company to its stakeholders, may be or may not be, for the benefit of the shareholders only.
- **Prudent and participative management**: the management should use its full intelligence and knowledge for the benefit of the stakeholders. Hence, it may be taken that management is prudent and wise in its decision making.
- **Enhancing value of the enterprise**: Any company should grow from year to year, if it wants to satisfy it stakeholders. Value may be monetary or reputation, image, goodwill etc. Better governing companies will have better reputation, trust of the stakeholders

and there will be enhancement of business, leading to more profit and better enterprise valuation.

- **Accountability**: Success and accountability has to go together. Successful companies will make themselves accountable to the stakeholders. There are many combination of relationships, i.e. with the customer, creditors, shareholders, employees. etc. The company cannot say it is accountable to one stakeholder only. It has to be accountable to all stakeholders.
- **Innovation**: Doing something new or doing the same thing in a novel manner is the essence of growth and sustainability of an enterprise. The governance structure should encourage new things in the company for enhancing value of the company.
- **Professionalism and specialization**: The basics of professionalism is that the job shall not be compromised at any level and there should not be conflict of interest of the directors and senior managers between his duty and personal gain. It also takes into account the competence of the person doing job having obviously adequate domain knowledge either by academic qualification or track record of experience
- **Stakeholder recognition**: All the stake holders should be recognized and respected. The Company should believe that all these stakeholders have contribution in making the company work and grow

(b) The list of BI technologies that are available to organizations includes the following:

Ad hoc analysis: It's the process of writing and running queries to analyze specific business issues on casual or temporary basis.

Online analytical processing (OLAP): OLAP tools enable users to analyze data along multiple dimensions, which is particularly suited to complex queries and calculations bases.

Mobile BI: Here, BI applications and dashboards available on smartphones and tablets. This may only display two or three data visualizations and KPIs so they can easily be viewed on a device's screen.

Real-time BI: In real-time BI applications, data is analyzed as it's created, collected and processed to give users an up-to-date view of business operations, customer behaviour, financial markets and other areas of interest. The real-time analytics process often involves streaming data and supports decision analytics uses, such as credit scoring, stock trading and targeted promotional offers.

Operational intelligence (OI): Also called operational BI, this is a form of real-time analytics that delivers information to managers and frontline workers in business operations.

Open source BI (OSBI): Business intelligence software that is open source typically includes two versions: a community edition that can be used free of charge and a subscription-based commercial release with technical support by the vendor.

Embedded BI: Embedded business intelligence tools put BI and data visualization functionality directly into business applications. That enables business users to analyze

data within the applications they use to do their job. Embedded analytics features are most commonly incorporated by application software vendors, but corporate software developers can also include them in home grown applications.

Collaborative BI: This is more of a process than a specific technology. It involves the combination of BI applications and collaboration tools to enable different users to work together on data analysis and share information with one another. For example, users can annotate BI data and analytics results with comments, questions and highlighting via the use of online chat and discussion tools.

Location intelligence (LI): This is a specialized form of BI that enables users to analyze location and geospatial data, with map-based data visualization functionality incorporated. Location intelligence offers insights on geographic elements in business data and operations. Potential uses include site selection for retail stores and corporate facilities, location-based marketing and logistics management.

Overall, the key benefits that businesses can get from BI applications include the ability to:

(i) Speed up and improve decision-making;
(ii) Optimize internal business processes;
(iii) Increase operational efficiency and productivity;
(iv) Spot business problems that need to be addressed;
(v) Identify emerging business and market trends;
(vi) Develop stronger business strategies;
(vii) Drive higher sales and new revenues; and
(viii) Gain a competitive edge over rival companies.

BI initiatives also provide narrower business benefits -- among them, making it easier for project managers to track the status of business projects and for organizations to gather competitive intelligence on their rivals. In addition, BI, data management and IT teams themselves benefit from business intelligence, using it to analyze various aspect of technology and analytics operations.

7. (a) Explain the term "connected person" in context of insider trading.
(b) Discuss, what is "combination" under Competition Act and how is it regulated? **[7+7=14]**

Answer:

(a) The insider trading is being regulated by SEBI through Securities and Exchange Board of India (prohibition of insider trading) Regulations, 2015

"Connected person" means,

(i) any person who is or has during the 6 months prior to the concerned act been associated with a company, directly or indirectly, in any capacity including by reason of frequent communication with its officers or by being in any contractual, fiduciary or employment relationship or by being a director, officer or an employee of the company or

holds any position including a professional or business relationship between himself and the company whether temporary or permanent, that allows such person, directly or indirectly, access to unpublished price sensitive information or is reasonably expected to allow such access. The following persons shall be considered to be connected persons unless the contrary is established, -

(a) an immediate relative of connected persons specified in clause (i); or

(b) a holding company or associate company or subsidiary company; or

(c) an intermediary as specified in section 12 of the Act or an employee or director thereof; or

(d) an investment company, trustee company, asset management company or an employee or director thereof; or

(e) an official of a stock exchange or of clearing house or corporation; or

(f) a member of board of trustees of a mutual fund or a member of the board of directors of the asset management company of a mutual fund or is an employee thereof; or

(g) a member of the board of directors or an employee, of a public financial institution or

(h) an official or an employee of a self-regulatory organization recognised or authorized by the Board; or

(i) a banker of the company

Note: "immediate relative" means a spouse of a person, and includes parent, sibling, and child of such person or of the spouse, any of whom is either dependent financially on such person or consults such person in taking decisions relating to trading in securities.

(b) The acquisition of one or more enterprises by one or more persons or merger or amalgamation of enterprises shall be a combination of such enterprises and persons or enterprises, if acquisition of control by a person over an enterprise where such person has direct or indirect control over another enterprise engaged in competing businesses, and mergers and amalgamations between or amongst enterprises when the combining parties exceed the thresholds set in the Act. Combination which causes or is likely to cause an appreciable adverse effect on competition within the relevant market in India is prohibited and such combination shall be void. The thresholds are as follows.

Individual: Either the combined assets of the enterprises would value more than ₹2,000 crores in India or the combined turnover of the enterprise is more than ₹6,000 crores in India. In case either or both of the enterprises have assets/turnover outside India also, then the combined assets of the enterprises value more than US$ 1 billion, including at least ₹1,000 crores in India, or turnover is more than US$ 3 billion, including at least ₹3,000 crores in India.

Group: The group to which the enterprise whose control, shares, assets or voting rights are being acquired would belong after the acquisition or the group to which the enterprise remaining the merger or amalgamation would belong has either assets of value of more than ₹8,000 crores in India or turnover more than ₹24,000 crores in India. Where the group has presence in India as well as outside India then the group has assets more than US$ 4 billion including at least ₹1,000 crores in India or turnover more than US$ 12 billion including at least ₹3,000 crores in India.

No person or enterprise shall enter into a combination which causes or is likely to cause an appreciable adverse effect on competition within the relevant market in India and such a combination shall be void. Any person or enterprise, who or which proposes to enter into a combination, shall give notice to the Commission, in the form as may be specified, and the fee which may be determined, by regulations, disclosing the details of the proposed combination, within 30 days:

(a) Approval of the proposal relating to merger or amalgamation, by the board of directors of the enterprises concerned with such merger or amalgamation, as the case may be;

(b) Execution of any agreement or other document for acquisition

(c) No combination shall come into effect until two hundred and ten days have passed from the day on which the notice has been given to the Commission under sub-section (2) or the Commission has passed orders, whichever is earlier.

The provisions of this section shall not apply to share subscription or financing facility or any acquisition, by a public financial institution, foreign institutional investor, bank or venture capital fund, pursuant to any covenant of a loan agreement or investment agreement. They shall, within seven days from the date of the acquisition, file, with the Commission the details of the acquisition including the details of such acquisition and control.

8. (a) Analyse the aspects, which remittances are prohibited under Liberalized Remittance Scheme (LRS)? Discuss what facilities are available to entities other than individuals?
(b) Discuss the procedure for registration of an Asset Reconstruction Company.

[7+7=14]

Answer:

(a) Prohibited items under the Liberalized Remittance Scheme (LRS):

i. Remittance for any purpose specifically prohibited under Schedule-I (like purchase of lottery tickets/sweep stakes, proscribed magazines, etc.) or any item restricted under Schedule II of Foreign Exchange Management (Current Account Transactions) Rules, 2000.
ii. Remittance from India for margins or margin calls to overseas exchanges / overseas counterparty.
iii. Remittances for purchase of FCCBs issued by Indian companies in the overseas secondary market.
iv. Remittance for trading in foreign exchange abroad.
v. Capital account remittances, directly or indirectly, to countries identified by the Financial Action Task Force (FATF) as “non- cooperative countries and territories”, from time to time.
vi. Remittances directly or indirectly to those individuals and entities identified as posing significant risk of committing acts of terrorism as advised separately by the Reserve Bank to the banks.

The following facilities are available to persons other than individuals:

- Donations up-to one per cent of their foreign exchange earnings during the previous three financial years or USD 5,000,000, whichever is less, for- (a) creation of Chairs in reputed educational institutes, (b) contribution to funds (not being an investment fund) promoted by educational institutes; and (c) contribution to a technical institution or body or association in the field of activity of the donor Company.
- Commission, per transaction, to agents abroad for sale of residential flats or commercial plots in India up to USD 25,000 or five percent of the inward remittance whichever is less.
- Remittances up to USD 10,000,000 per project for any consultancy services in respect of infrastructure project and USD 1,000,000 per project, for other consultancy services procured from outside India.
- Remittances up to five per cent of investment brought into India or USD 100,000 whichever is less, by an entity in India by way of reimbursement of pre-incorporation expenses.
- Remittances up to USD 250,000 per financial year for purposes stipulated under Para 1 of Schedule III to FEM (CAT) Amendment Rules, 2015. However, all residual current account transactions undertaken by such entities are otherwise permissible without any specified limit and are to be disposed of at the level of AD, as hitherto. It is for the AD to satisfy them about the genuineness of the transaction.

Anything in excess of above limits requires prior approval of the Reserve Bank of India.

(b) A company can commence or carry on the business of securitisation or asset reconstruction only after obtaining a certificate of registration and having the owned fund of not less than two crore rupees or such other higher amount as the Reserve Bank, may be notification specify. The Reserve Bank may, by notification, specify different amounts of owned fund for different class or classes of asset reconstruction companies.

(i) The requirement for registration of AMC is as under-

(1) that the asset reconstruction company has not incurred losses in any of the three preceding financial years.

(2) that such asset reconstruction company has made adequate arrangements for realisation of the financial assets acquired for the purpose of securitisation or asset reconstruction and shall be able to pay periodical returns and redeem on respective due dates on the investments made in the company by the qualified institutional buyers or other persons.

(3) that the directors of asset reconstruction company have adequate professional experience in matters related to finance, securitisation and reconstruction.

(4) that any of its directors has not been convicted of any offence involving moral turpitude.

(5) that a sponsor of an asset reconstruction company is a fit and proper person in accordance with the criteria as may be specified in the guidelines issued by the Reserve Bank for such person.

(6) that the asset reconstruction company has complied with or is in a position to comply with prudential norms specified by the Reserve Bank.

(7) that the asset reconstruction company has complied with one or more conditions specified in the guidelines issued by the Reserve Bank for the said purpose.

(ii) RBI may impose restrictions/conditions as deemed fit. Reserve Bank approval is further required for-

(1) any substantial change in its management including appointment of any direction on the Board of Directors of the asset reconstruction company or managing director or Chief Executive Officer thereof.

(2) change of location of its registered office.

(3) change in its name.

The decision of the Reserve Bank, whether the change in management of an asset reconstruction company is a substantial change in its management or not, shall be final and binding. The expression "substantial change in management" means the change in the management by way of transfer of shares or change affecting the sponsorship in the company by way of transfer of shares or amalgamation or transfer of the business of the company.

SECTION – B

(Answer any five questions out of seven questions given. Each question carries 14 Marks)

[5 x 14 = 70]

2. (a) Discuss the disqualifications of an Auditor of a public limited company.

(b) 'There was persistent demand from the small shareholders to have a director nominated by them to look after the interest of small shareholders.' – discuss procedure of appointment of such director. [7 + 7 =14]

Answer:

(a) The following persons shall not be qualified for appointment as auditor of a public limited company under section 141 of the Companies Act.:

(1) A body corporate other than a limited liability partnership registered under the Limited Liability Partnership Act, 2008.

(2) an officer or employee of the company.

(3) a person who is a partner, or who is in the employment, of an officer or employee of the company.

(4) a person who, or his relative or partner

(1) is holding any security of or interest in the company or its subsidiary, or of its holding or associate company or a subsidiary of such holding company:

(2) is indebted to the company, or its subsidiary, or its holding or associate company or a subsidiary of such holding company, in excess of ₹5Lakhs, or

(3) has given a guarantee or provided any security in connection with the indebtedness of any third person to the company, or its subsidiary, or its holding or associate company or a subsidiary of such holding company, in excess of ₹ 1 Lakh.

(5) a person or a firm who, whether directly or indirectly, has business relationship with the company, or its subsidiary, or its holding or associate company or subsidiary of such holding company or associate company. According to the Companies (Audit and Auditors) Rules, 2014, the term business relationship shall be construed as any transaction entered into for a commercial purpose, except:

(i) commercial transactions which are in the nature of professional services permitted to be rendered by an auditor or audit firm under the Act and

the Chartered Accountants Act, 1949 and the rules or the regulations made under those Acts.

(ii) commercial transactions which are in the ordinary course of business of the company at arm 's length price - like sale of products or services to the auditor, as customer, in the ordinary course of business, by companies engaged in the business of telecommunications, airlines, hospitals, hotels and such other similar businesses.

(6) a person whose relative is a director or is in the employment of the company as a director or key managerial personnel.

(7) a person who is in full time employment elsewhere or a person or a partner of a firm holding appointment as its auditor, if such persons or partner is at the date of such appointment or reappointment holding appointment as auditor of more than 20 companies other than one person companies, dormant companies and private companies having paid-up share capital less than one hundred crore rupees. It may be clarified that now the Limit of 20 Companies includes only:

- Public Companies and
- Private Companies having paid up capital of ₹100 crores or more.

(8) a person who has been convicted by a court of an offence involving fraud and a period of 10 years has not elapsed from the date of such conviction.

(9) any person whose subsidiary or associate company or any other form of entity, is engaged as on the date of appointment in consulting and specialized services as provided in Section 144.

(b) 'There was persistent demand from the small shareholders to have a director nominated by them to look after the interest of small shareholders'- This has been considered in the new Act. According to section 151 of the Companies Act, 2013: A listed company may have one director elected by such small shareholders in such manner and on such terms and conditions as may be prescribed.

Here, "Small Shareholders" means a shareholder holding shares of nominal value of not more than ₹20,000 or such other sum as may be prescribed.

The Companies (Appointment and Qualification of Directors) Rules, 2014 provides for the procedure for appointment of small shareholders' director according to which:

(1) A listed company, may upon notice of not less than

i) one thousand small shareholders, or

ii) one tenth of the total number of such shareholders, whichever is lower, have a small shareholders' director elected by the small shareholders.

(2) The small shareholders intending to propose a person as a candidate for the post of small shareholders' director shall leave a notice of their intention with the company at least fourteen days before the meeting under their signatures specifying the name, address, shares held and folio number of the person whose name is being proposed for the post of director and of the small shareholders who are proposing such person for the office of director.

(3) The notice shall be accompanied by a statement signed by the person whose name is being proposed for the post of small shareholders' director stating:

i) his Director Identification Number;

ii) that he is not disqualified to become a director under the Act; and

iii) his consent to act as a director of the company.

(4) Such director shall be considered as an independent director subject to, his being eligible under sub-section (6) of section 149 and his giving a declaration of his independence in accordance with sub-section (7) of section 149 of the Act.

(5) The appointment of small shareholders' director shall be subject to the provisions of section 152 except that:

i) such director shall not be liable to retire by rotation;

ii) such director's tenure as small shareholders 'director shall not exceed a period of three consecutive years; and

iii) on the expiry of the tenure, such director shall not be eligible for re-appointment.

(6) A person shall not be appointed as small shareholders' director of a company, if he is not eligible for appointment in terms of section 164 which specifies the disqualifications for appointment of a director.

(7) A person appointed as small shareholders' director shall vacate the office if:

i) the director incurs any of the disqualifications specified in section 164;

ii) the office of the director becomes vacant in pursuance of section 167;

iii) the director ceases to meet the criteria of independence as provided in sub-section (6) of section 149.

(8) No person shall hold the position of small shareholders' director in more than two companies at the same time.

(9) A small shareholders' director shall not, for a period of three years from the date on which he ceases to hold office as a small shareholders' director in a

company, be appointed in or be associated with such company in any other capacity, either directly or indirectly.

3. (a) Describe the procedure of inspection of minute books of a general meeting.

(b) Merger and Amalgamation of Companies as per Section 232 of the Companies Act, 2013 – discuss. **[7 + 7 =14]**

Answer:

(a)

(i) The books containing the minutes of the proceedings of any general meeting of a company or of a resolution passed by postal ballot, shall:

(1) be kept at the registered office of the company in electronic form, and

(2) be open, during business hours, to the inspection by any member without charge, subject to such reasonable restrictions as the company may, by its articles or in general meeting, impose, so, however, that not less than two hours in each business day are allowed for inspection. Any member shall be furnished within 7days of request, with fees, a copy of the minutes of general meeting.

(ii) The other statutory requirements relating to keeping of the minutes of meeting is:

(1) The minutes of each meeting shall contain a fair and correct summary of the proceedings thereat.

(2) All appointments made at any of the meetings aforesaid shall be included in the minutes of the meeting.

(3) In the case of a meeting of the Board of Directors or of a committee of the Board, the minutes shall also contain:

- the names of the directors present at the meeting, and
- in the case of each resolution passed at the meeting, the names of the directors, if any, dissenting from, or not concurring with the resolution.

(4) There shall not be included in the minutes, any matter which, in the opinion of the Chairman of the meeting:

- is or could reasonably be regarded as defamatory of any person, or
- is irrelevant or immaterial to the proceedings; or
- is detrimental to the interests of the company.

(5) Therefore, Chairman shall exercise absolute discretion in regard to the inclusion or non-inclusion of any matter in the minutes on the grounds specified in sub-section (5).

(6) The draft minutes of the meeting shall be circulated among all the directors within 15 days of the meeting either in writing or in electronic mode as may be decided by the Board. The minutes kept in accordance with the provisions of this section shall be evidence of the proceedings recorded therein.

(7) The recording of the minutes until the contrary is proved, the meeting shall be deemed to have been duly called and held, and all proceedings thereat to have duly taken place, and the resolutions passed by postal ballot to have been duly passed and in particular, all appointments of directors, key managerial personnel, auditors or company secretary in practice, shall be deemed to be valid.

(8) If any default is made in complying with the provisions of this section in respect of any meeting, the company shall be liable to a penalty of ₹25,000 and every officer of the company who is in default shall be liable to a penalty of ₹5,000.

(b)

(i) U/s 232(1), when an application is made to the Tribunal under Section 230 for the sanctioning of a compromise or an arrangement proposed between a company and any such persons as are mentioned in that Section, and it is shown to the Tribunal:

(1) that the compromise or arrangement has been proposed for the purposes of, or in connection with, a scheme for the reconstruction of the company or companies involving merger or the amalgamation of any two or more companies, and

(2) that under the scheme, the whole or any part of the undertaking, property or liabilities of any company is required to be transferred to two or more companies, the Tribunal may on such application, order a meeting of the creditors or class of creditors or the members or class of members, as the case may be, to be called, held and conducted in such manner as the Tribunal may direct and the provisions of Section 230 shall apply mutatis mutandis.

(ii) Such order shall also require to circulate the following for the meeting so ordered by the Tribunal, namely:

(1) the draft of the proposed terms of the scheme drawn up and adopted by the directors of the merging company.

(2) a report adopted by the directors of the merging companies explaining effect of compromise on each class of shareholders, key managerial personnel,

promoters and non-promoter shareholders specifying out in particular the share exchange ratio, specifying any special valuation difficulties.

(3) the report of the expert with regard to valuation, if any.

(4) a supplementary accounting statement if the last annual accounts of any of the merging company relate to a financial year ending more than 6 months before the first meeting of the company summoned for the purposes of approving the scheme.

The Tribunal, after satisfying itself that the procedure of holding meeting has been complied with, may, by order, sanction the compromise or arrangement or by a subsequent order, make provision for the following matters, namely:

(1) the transfer to the transferee company of the whole or any part of the undertaking, property or liabilities of the transferor company from a date to be determined by the parties.

(2) the allotment or appropriation by the transferee company of any shares, debentures, policies or other like instruments in the company which, under the compromise or arrangement, are to be allotted or appropriated by that company to or for any person:

(3) the continuation by or against the transferee company of any legal proceedings pending by or against any transferor company on the date of transfer.

(4) dissolution, without winding-up, of any transferor company.

(5) the provision to be made for any persons who, within such time and in such manner as the Tribunal directs, dissent from the compromise or arrangement.

(6) The allotment of shares of the transferee company to non-residents.

(7) the transfer of the employees of the transferor company to the transferee company.

(8) when the transferor company is a listed company and the transferee company is an unlisted company:

A) the transferee company shall remain an unlisted company until it becomes a listed company.

B) if shareholders of the transferor company decide to opt out of the transferee company, provision shall be made for payment of the value of shares held by them and other benefits in accordance with a predetermined price formula or after a valuation is made, and the arrangements under this provision may be made by the Tribunal:

(9) such incidental, consequential and supplemental matters as are deemed necessary to secure that the merger or amalgamation is fully and effectively carried out:

(10) A certificate by the company's auditor has been filed with the Tribunal to the effect that the accounting treatment, if any, proposed in the scheme of compromise or arrangement is in conformity with the accounting standards.

(11) Any property or liabilities, shall be transferred to the transferee company and the liabilities shall be transferred to and become the liabilities of the transferee company and any property may, if the order so directs, be freed from any charge which shall by virtue of the compromise or arrangement, cease to have effect.

(12) Certified copy of the order to be filed with the registrar Section 232(5) within thirty days of the receipt of certified copy of the order.

(13) Effective date of the scheme: Section 232 (6) states that the scheme under this Section shall clearly indicate an appointed date from which it shall be effective and the scheme shall be deemed to be effective from such date and not at a date subsequent to the appointed date.

4. (a) Fair Tech Ltd is a public limited company formed 15 days before, to manufacture computer parts, having a small factory at Durgapur, West Bengal and registered office at Kolkata. There 4 directors, two from promoter and balance 2 as professionals, one being full time and the other as non-functional. One of the promoter director is named as MD. Advise the company by interpreting the provisions of Company law, and help the by clarifying the following.

(1) Is there any necessary to call a Board meeting?

(2) If so, within what time?

(3) Suggest at least two important agenda item for the meeting.

(4) 3 directors want the meeting to be held in Delhi. Examine the legal provision.

(5) Is necessary to appoint a CFO?

(6) Is written notice necessary?

(7) If so, how many days' notice?

(b) United Social Services Ltd is company formed by 10 professionals with one lakh paid capital by each promoter. The company intends to give various

services to NGOs and social sector organisations with marginal profit. Though the registered office is Delhi, the company wants to work pan India. Interpret the following perception of the company, in line with provisions of law.

(i) The company claims that it's a non-profit company.

(ii) If not, can it be converted as NPO?

(iii) What is to be done for conversation?

(iv) Once converted, would the promoters get dividend out of profit?

[7+7=14]

Answer:

(a) Based on the situation as mentioned in the case the following clarification is as noted below:

(i) The first Board meeting to be held within 30 days from the day of incorporation. As the company is incorporated 15 days before, that's the first meeting to be held within 15 days.

(ii) The appointment of first auditor and disclosure of interest of that director may be important agenda.

(iii) Board meeting can be held anytime in India as per the section 203 of the Companies Act.

(iv) If the paid capital is ₹10 crore or more, appointment of CFO is mandatory being important KMP minimum qualification as required.

(v) As per the section 173, written notice of board meeting in necessary.

(vi) Minimum 7 days' notice to be given provided there is exemption under certain condition.

(b)

(i) The perception of the management of United social service is being classified as follows the company is not a non-profit company as it is for gain that is marginal cost to gain to qualify as NPO the company needs to be registered under section 8 and obtain separate license from MCA.

(ii) Yes, it can be converted into NPO. In order to convert itself into NPO

(iii) It has to take following steps for conversion:

1. Alter the memorandum by incorporating objects for promotion of art, science, education etc. or any charitable purpose:
2. Application to MCA GOI has to be made in the form Inc 12 along with memorandum of articles and association financial statement of last 2 years;

3. Statement of asset and liabilities which are estimated income plans by practicing advocate of the resolution of board meeting;
4. Make a public notice of Such proposed consortium with also need to be filled with ROC.
5. Registrar may require for the information like minutes of the meeting, consider objection of others and after being satisfied, shall issue license to operate as sec 8 company.

(iv) Once converted, promoters shall not be entitled to receive dividend.

5. (a) Discuss the provisions of Companies Act, 2013 on right of member to copies of Audited Financial Statement.

(b) Gainwel Finance Ltd. (GFL) is registered as NBFC for last 10 years. The company extended a loan of 10 crores to Hindustan Wires Ltd.(HWL) as normal course of business. The loan was long term for equipment financing and equipment were actually purchased. HWL repaid only one crore and stopped paying further instalments. The company had to operation for various reasons. Examine the situation in context of IBC code to get the following queries.

(i) Which type of creditor GFL shall be classified?
(ii) Where the application can be made?
(iii) Is IP necessary?
(iv) Can GFL make a petition on its own?
(v) What CIRP in this context?
(vi) What time is expected to resolve?
(vii) Can HWL itself apply for taking over the company? [7+7 =14]

Answer:

(a) Section 129 of the Companies Act, 2013 mandates every company to prepare its financial statements, including the balance sheet, profit and loss account, and cash flow statement, at the end of each financial year. These financial statements must be audited by a statutory auditor appointed by the company.

According Section 136 of the Companies Act, 2013:

(i) A copy of the financial statements, which are to be laid before a company in its general meeting, shall be sent to the following:

(1) every member of the company,

(2) to every trustee for the debenture holder of any debentures issued by the company, and

(3) to all persons other than such member or trustee, being the person so entitled.

(ii) Consolidated financial statements, if any, auditors' report and every other document required by law to be annexed or attached to the financial statements shall be annexed with financial statements.

(iii) These financial statements shall be sent in not less than 21 days before the date of the meeting. May be sent less than 21 days before if shareholders with 95% voting agree.

(iv) In the case of a listed company:

(1) The above provisions shall be deemed to be complied with, if the copies of the documents are made available for inspection at its registered office during working hours for a period of 21 days before the date of the meeting.

(2) Along with it a statement containing the salient features of such documents in the Form AOC-3 or copies of the documents, as the company may deem fit, is sent to every member of the company and to every trustee for the holders of any debentures issued by the company.

(3) The statement is to be sent not less than 21 days before the date of the meeting unless the shareholders ask for full financial statements.

(v) A company shall also allow every member or trustee of the debenture holder to inspect the audited financial statement at its registered office during business hours.

(vi) In case of all listed companies and such public companies which have a net worth of more than one crore rupees and turnover of more than ten crore rupees, the financial statements may be sent:

(1) by electronic mode to such members whose shareholding is in dematerialized format and whose email Ids are registered with Depository for communication purposes.

(2) where Shareholding is held otherwise than by dematerialized format, to such members who have positively consented in writing for receiving by electronic mode, and

(3) by dispatch of physical copies through any recognised mode of delivery as specified under Section 20 of the Act, in all other cases.

(vii) A listed company shall also place its financial statements including consolidated financial statements, if any, and all other documents required to be attached thereto, on its website, which is maintained by or on behalf of the company.

(viii) Every company having a subsidiary or subsidiaries shall:

(1) place separate audited accounts in respect of each of its subsidiary on its website, if any.

(2) provide a copy of separate audited financial statements in respect of each of its subsidiary, to any shareholder of the company who asks for it.

(ix) listed company having subsidiary which is required to be consolidated under the law of the country shall place such account on its website (Indian holding company). Further if such subsidiary is not supposed to get audited, such unaudited accounts shall be placed in website of Indian holding company. If the accounts are prepared in one language, other than English, the English translated version is to be placed in holding company website.

(b)

The queries asked are being replied as follows.

i. In the present case, Gainwell Finance Limited (GFL) shall be classified as Financial creditor, as GGFL has extended financial loan to HWL

ii. Application for Resolution process has to be made to NLCT, which is designated "adjudicating authority".

iii. Yes, IP is necessary in resolution process. Once resolution process commences, the main person shall be the IP, who is authorized to conduct the resolution process.

iv. Yes, GFL can also make petition for resolution by itself.

v. CIRP means Corporate Insolvency Resolution Plan.

vi. Time expected to complete the resolution processes 180 days, which may be extended up to 360 days

vii. HWL can also apply to retain control of the company by giving a resolution plan.

6. (a) Describe what do you understand by three Ps. List the benefits of Sustainability Management.

(b) Summarize the work process of business intelligence and list the benefits of business intelligence. [7+7=14]

Answer:

(a) There are three approaches to sustainable development, commonly known as triple bottom-line approach.

1. Economic approach: The current decision should not impair the prospects of maintaining or improving future living standards. This also called "Profit" approach.
2. Ecological/Environment Approach: Scarce natural resources should be preserved for the future, which would include preservation of genetic diversity, water, mines, forests etc. Industries should use minimum natural resources. Any industry damaging the environment through affluent discharge should be avoided or minimised. This also called "Planet" approach
3. Social approach: The industry is for the society and shall not damage social security, values and welfare of the people. This also called "People" approach. The above approach is called 3 P approach also.

Benefits of Sustainable Management:

- Sustainable management takes the concepts from sustainability and synthesizes them with the concepts of management. Sustainability has three branches: the environment, the needs of present and future generations, and the economy. Using these branches, it creates the ability of a system to thrive by maintaining economic viability and also nourishing the needs of the present and future generations by limiting resource depletion.

- Sustainable management is needed because it is an important part of the ability to successfully maintain the quality of life on our planet. Sustainable management can be applied to all aspects of our lives. For example, the practices of a business should be sustainable if they wish to stay in businesses, because if the business is unsustainable, then by the definition of sustainability they will cease to be able to be in competition.

- A manager is a person that is held responsible for the planning of things that will benefit the situation that they are controlling. To be a manager of sustainability, one needs to be a manager that can control issues and plan solutions that will be sustainable, so that what they put into place will be able to continue for future generations.

- The job of a sustainable manager is like other management positions, but

additionally they have to manage systems so that they are able to support and sustain themselves.

- The trend towards sustainable management means that organizations are beginning to implement a systems wide approach that links in the various parts of the business with the greater environment at large.

- As sustainable management institutions adapt, it becomes imperative that they include an image of sustainable responsibility that is projected for the public to see.

- Additionally, companies must make the connection between sustainability as a vision and sustainability as a practice. Managers need to think systematically and realistically about the application of traditional business principles to environmental problems.

- By focusing on the big picture, a company can generate more savings and better performance by using planning, design, and construction based on sustainable values, etc.

- Managers need to understand that their values are critical factors in their decisions.

- The strategic vision that is based on core values of the firm guides the firm's decision-making processes at all levels. Thus, the sustainable management requires finding out what business activities fit into the Earth's carrying capacity and also defining the optimal levels of those activities.

- Sustainability values form the basis of the strategic management, process the costs and benefits of the firm's operations, and are measured against the survival needs of the planets stakeholders.

7. (a) Describe the restrictions on communication and trading by insiders.

(b) Discuss Anti-Competitive Agreement and its types. [7+7=14]

Answer:

(a)

(i) No insider shall communicate, procure, provide, or allow access to any unpublished price sensitive information, relating to a company or securities listed or proposed to be listed,

(ii) Due notice shall be given to "insiders" to maintain confidentiality of such unpublished price sensitive information in compliance with these regulations.

(iii) An unpublished price sensitive information may be communicated, procured provided, allowed access to or procured, in connection with a transaction that would: –

(A) entail an obligation to make an open offer;

(B) The board of directors of the that sharing of such information is in the best interests of the company and the information that constitute unpublished price sensitive information is disseminated to be made generally available at least 2 trading days' prior to the proposed transaction being effected in such form as the board of directors may determine. The parties may be to execute agreements to contract confidentiality and non-disclosure obligations on the part of such parties and such parties shall keep information so received confidential, except for the purpose of sub-regulation (3), and shall not otherwise trade in securities of the company when in possession of unpublished price sensitive information.

(iv) The organization shall ensure that a structured digital database containing the nature of unpublished price sensitive information to be maintained internally with adequate internal controls and preserved for a period of not less than eight years (more in case of nay investigation)

(v) No insider shall trade in securities that are listed or proposed to be listed on a stock exchange when in possession of unpublished price sensitive information. The insider may prove his innocence by few defenses.

(vi) In the case of connected persons the onus of establishing, that they were not in possession of unpublished price sensitive information, shall be on such connected persons and in other aces, the onus would be on the Board. The Board may specify such standards and requirements, from time to time, as it may deem necessary for the purpose of these regulations.

(b) Anti-competitive agreement shall be presumed to have appreciable adverse effect on competition and thereby deemed to be restrictive. Some type of agreements is discussed below.

(i) Any agreement in respect of production, supply, distribution, storage, acquisition or control of goods or provision of services, which causes or is likely to cause an appreciable adverse effect on competition within India. Any such agreement shall be void.

(ii) Any agreement entered into between enterprises or associations of enterprises including cartels, engaged in identical or similar trade of goods or provision of services, which—

1. directly or indirectly determines purchase or sale prices;
2. limits or controls production, supply, markets, technical development, investment;
3. shares the market or source of production by way of allocation of geographical area of market;
4. directly or indirectly go for bid rigging or collusive bidding; "bid rigging" means any agreement, eliminating or reducing competition for bids or adversely affecting or manipulating the process for bidding, other than joint ventures business agreements are excepted.

(iii) Any agreement amongst enterprises or persons in respect of production, supply, distribution, storage, sale or price of, or trade in goods or provision of services, including, tie-in arrangement: includes any agreement requiring a purchaser of goods, as a condition of such purchase, to purchase some other goods;

(iv) exclusive supply agreement: includes any agreement restricting in any manner the purchaser in the course of his trade from acquiring or otherwise dealing in any goods other than those of the seller or any other person.

Example: ABC Ltd. has appointed Soni Brothers as a supplier of raw materials with a restriction that they cannot do business with other parties.

(v) exclusive distribution agreement: includes any agreement to limit, restrict or withhold the output or supply of any goods or allocate any area or market for the disposal or sale of the goods.

(vi) refusal to deal: includes any agreement which restricts, or is likely to restrict, by any method the persons or classes of persons to whom goods are sold or from whom goods are bought.

Example: ABC Ltd. appoints a dealer for domestic fans and restricts him to take dealership of other product.

(vii) resale price maintenance: includes any agreement to sell goods on condition that the prices to be charged on the resale by the purchaser shall be the prices stipulated by the seller unless it is clearly stated that prices lower than those prices may be charged. In other words, the "maximum retail price" shall have to de disclosed and nobody can take more than that. Therefore, we find the MRP in most of the product on the package.

8. (a) Discuss the procedure of Investigation under the Prevention of Money Laundering Act.

(b) Discuss the procedure for registration of an Asset Reconstruction Company.

[7+7=14]

Answer:

(a) PMLA empowers certain officers of the Directorate of Enforcement to carry out investigations in cases involving offence of money laundering and also to attach the property involved in money laundering.

PMLA envisages setting up of an Adjudicating Authority to exercise jurisdiction, power and authority conferred by it essentially to confirm attachment or order confiscation of attaché properties. It also envisages setting up of an Appellate Tribunal to hear appeals against the order of the Adjudicating Authority and the authorities like Director FIU-IND.

PMLA envisages designation of one or more courts of sessions as Special Court or Special Courts to try the offences punishable under PMLA and offences with which the accused may, under the Code of Criminal Procedure 1973, be charged at the same trial.

The Act provides for reciprocal arrangements for processes/assistance with regard to accused persons. In order to enlarge the scope of this Act. The Act provides for bilateral agreements between countries to cooperate with each other and curb the menace of money laundering. These agreements shall be for the purpose of either enforcing the provisions of this Act or for the exchange of information which shall help in the prevention in the commission of an offence under this Act or the corresponding laws in that foreign State.

Special Courts have been set-up in a number of States / UTs by the Central Government to conduct the trial of the offences of money laundering.

The authorities under the Act like the Director, Adjudicating Authority and the Appellate Tribunal have been constituted to carry out the proceedings related to attachment and confiscation of any property derived from money laundering.

The Government has constituted the Financial Intelligence Unit, India, in November, 2004, headed by Director in the rank of a Joint Secretary to the Government of India.

The organization has become functional and has started receiving Cash Transaction Reports and Suspicious Transactions Reports from the banking companies etc. in terms of Section 12 of the PMLA.

Powers of investigation and prosecution for offences under the Act have been conferred on the Director, Enforcement Directorate.

In addition, the Adjudicating Authority in terms of section 6 of the Act and the Appellate Tribunal under section 25 of the Act have also been constituted and have become functional.

(b) A company can commence or carry on the business of securitisation or asset reconstruction only after obtaining a certificate of registration and having the owned fund of not less than two crore rupees or such other higher amount as the Reserve Bank, may be notification specify. The Reserve Bank may, by notification, specify different amounts of owned fund for different class or classes of asset reconstruction companies.

(i) The requirement for registration of AMC is as under-

(1) that the asset reconstruction company has not incurred losses in any of the three preceding financial years.

(2) that such asset reconstruction company has made adequate arrangements for realisation of the financial assets acquired for the purpose of securitisation or asset reconstruction and shall be able to pay periodical returns and redeem on respective due dates on the investments made in the company by the qualified institutional buyers or other persons.

(3) that the directors of asset reconstruction company have adequate professional experience in matters related to finance, securitisation and reconstruction.

(4) that any of its directors has not been convicted of any offence involving moral turpitude.

(5) that a sponsor of an asset reconstruction company is a fit and proper person in accordance with the criteria as may be specified in the guidelines issued by the Reserve Bank for such person.

(6) that the asset reconstruction company has complied with or is in a position to comply with prudential norms specified by the Reserve Bank.

(7) that the asset reconstruction company has complied with one or more conditions specified in the guidelines issued by the Reserve Bank for the said purpose.

(ii) RBI may impose restrictions/conditions as deemed fit. Reserve Bank approval is further required for-

(1) any substantial change in its management including appointment of any direction on the Board of Directors of the asset reconstruction company or managing director or Chief Executive Officer thereof.

(2) change of location of its registered office.

(3) change in its name.

The decision of the Reserve Bank, whether the change in management of an asset reconstruction company is a substantial change in its management or not, shall be final and binding. The expression "substantial change in management" means the change in the management by way of transfer of shares or change affecting the sponsorship in the company by way of transfer of shares or amalgamation or transfer of the business of the company.

SECTION – B

(Answer any five questions out of seven questions given. Each question carries 14 marks.)

2. (a) Describe the classes of companies which are outside the purview of the Company Auditor Report Order (CARO) under the Companies Act 2013.

(b) Summarize the disqualifications of a director under section 164 of the Companies Act 2013.

[7 + 7 = 14]

Answer:

(a) MCA has notified now Companies (Auditor's Report) Order, 2020 on 25th February, 2020 which replaced CARO, 2016. It is a new format of reporting of statutory audit having additional reporting requirements decided in consultation with National Financial Reporting Authority (NFRA) CARO, 2020 is applicable for all statutory audits commencing on or after 1.4.2020 corresponding of Financial Year 2019-20.

The following classes of companies are outside the purview of the CARO 2020:

(a) Banking company as defined under Section 5 (c) of the Banking Regulation Act, 1949.

(b) Insurance company as defined under the Insurance Act 1938.

(c) Company licensed to operate under Section 8 of the Companies Act 2013 (companies registered with charitable object).

(d) A one-person company (OPC) as defined under clause (62) of Section 2 of Companies Act 2013 (OPC means a company which has only one person as a member).

(e) A small company under Section 2 (85) of the Companies Act, 2013.

(1) As per sec 2(85) of Companies Act 2013 small company means a company, other than a public company:

- Paid up share capital of which does not exceed ₹50 lakhs or such higher amount as may be prescribed which shall not be more than ₹10 crores, and
- Turnover of which as per its last profit and loss account does not exceed ₹2 crores or such higher amount as may be prescribed which shall not be more than ₹100 crores.

(2) The following company shall not qualify as a small company:

- A holding company or a subsidiary company.
- A company registered under Section 8 of the Act.
- A company or body corporate governed by any special act.

(f) The auditor of following type of Private Companies are not required to comment on the matter prescribed under CARO 2020:

(1) A private company which is not holding or subsidiary company of a public company, and

(2) A private company having a paid up capital and reserve and surplus not more than ₹1 crore as on the balance sheet date, and

(3) A private company which does not have total borrowing exceeding ₹1 crore from any bank and financial institution at any point of time during the financial year, and

(4) A private company which does not have total revenue exceeding ₹10 crores during the financial year.

Note: Such revenue means revenue as disclosed in scheduled III to the Companies Act, 2013 and includes revenue from discontinuing operation.

(b) According to Section 164 Disqualifications for appointment of Director are –

(1) A person cannot be appointed as director of a company in any of the following cases:

a) he is of unsound mind and stands so declared by a competent court.

b) he is an undischarged insolvent.

c) he has applied to be adjudicated as an insolvent and his application is pending.

d) he has been convicted by a court of any offence, whether involving moral turpitude or otherwise, and sentenced in respect thereof to imprisonment for not less than 6 months and a period of 5 years has not elapsed from the date of expiry of the sentence etc.

e) he has been convicted of the offence of dealing with related party transactions under section 188 at any time during the last preceding 5 years, or

f) he has not complied with sub-section (3) of section 152 which requires a director to have a Director Identification Number under section 154.

g) he has not complied with the provisions of 165(1) relating to holding of maximum number of directorship. In such case the penalty of ₹5,000 for each day of continuing failure. It may be noted that no person can hold office of director including alternate director is more than 20 including maximum 10 in public company.

(2) No person who is or has been a director of a company which:

a) has not filed financial statements or annual returns for any continuous period of 3 financial years, or

b) has failed to repay the deposits or pay interest thereon or to redeem any debentures on the due date or pay interest due thereon or pay any dividend declared on preference shares and such failure to pay or redeem continues for 1 year or more, however, such director shall not incur the disqualification for a period of 6 months from the date of appointment.

(3) Section 164 is not applicable to Government Company.

(4) A private company may by its articles provide for any disqualifications for appointment as a director in addition to those specified in sub-sections (1) and (2) of section 164 as stated above [i.e., point (1) and (2) above].

(5) However, the disqualifications referred to in clauses (d), (e) and (g) of sub-section (1) [given in point (1) above] shall not take effect:

a) for 30 days from the date of conviction or order of disqualification.

b) where an appeal or petition is preferred within 30 days as aforesaid against the conviction resulting in sentence or order, until expiry of 7 days from the date on which such appeal or petition is disposed off, ore

c) where any further appeal or petition is preferred against order or sentence within 7 days, until such further appeal or petition is disposed of.

3. (a) "A casual meeting of the directors, even at the office of the company, cannot be treated as a board meeting" – analyse the legal provisions relating to board meeting under the Companies Act 2013?

(b) Explain who shall bear the cost of investigation under section 225. under the Companies Act 2013? [7 + 7 = 14]

Answer:

(a) Under Chapter XII, Section 173 to Section 195 of the Act deals with the Meeting of Board and its power, from Section 173 of the Act deals with the meeting of the board of directors. The Section states the number of meetings, how a meeting can be called and what the penalty is for non-compliance of the same. After the incorporation, every company shall hold a meeting of the Board of Directors within 30 days and later on in a year, a minimum of 4 meetings are held.

Number of meetings to be held [Section 173(1)]: According to Section 173(1) of the Act, as stated earlier, after the incorporation of a company, the first meeting of the Board of Directors shall take place within 30 days. After the first meeting, a minimum of 4 meetings of the Board of Directors need to be held in a year. The Section further states that the meeting is to be held in such a manner that there should not be a gap of more than 120 days between the two consecutive meetings of the Board.

However, by a notification from the Central Government, the government can direct that the provisions of this Section shall or shall not apply to a specific class or description of companies.

Mode of the meeting [Section 173(2)]: Sub-section 2 of Section 173 of the Act states the mode of meeting. According to this Section, whichever method is prescribed, the directors can participate in the meeting either in person; or through video conferencing; or by any other audio-visual means. These methods must be capable of recording and recognising the directors participating and they should also be able to record and store the meeting along with the date and time of the meeting.

Notice for meeting [Section 173(3)]

Section 173(3) of the Act states that a meeting shall be called by a notice to every director in writing and the notice shall give a minimum of 7 days to the directors at their registered addresses as provided by them to the company. The Section further states that such notice shall be seen either by the following ways:

by hand delivery; or

by post; or

by electronic means.

The exception to Section 173 of the Act states that if there is an urgent business matter, at least one independent director must be present in the meeting, subject to the conditions. However, if there is an independent director and that director is absent from the board meeting, then the decision shall be circulated among all the directors and the decision shall be final once that independent director ratifies or gives consent to the same.

Failure to comply with the provision and penalty [Section 173(4)]: Section 173 (4) of the Act provides the penalty provision. The Section states that in case an officer of the company, i.e. the Company Secretary, who is responsible to give the notice fails to do so, then a penalty of ₹. 25,000 shall be imposed on him.

In cases of a One Person Company ("OPC"), a small company and a dormant company, then every half of the calendar year, at least one board meeting must be conducted and there should be a gap of a minimum of 90 days between two meetings. However, in OPC, if there is only one director on the board then the provisions of this sub-section and Section 174 of the Act shall not be applicable.

Section 174(1) of the Act states that for a quorum for a meeting of a board of directors of a company hall, there shall be either one-third participation of directors or two, whichever is higher. In case of participation of directors via video conferencing or other audio-visual means, shall also be counted.

Section 174(2) of the Act states that in case there is a reduction in the number of directors fixed for the quorum of board meetings then the continuing directors may fill in the vacancy.

Section 174 (4) of the Act states that in case a meeting could not be held for want of quorum then such meeting shall be adjourned to the same day, place and time for the next week or in case of a national holiday, the day succeeding it.
A resolution may be passed by circulation in accordance with the provisions of section 175, unless the act requires that such a resolution shall be passed at a Board meeting only.

(b) Section 225 of the Act lays down the following provisions in respect of expenses of investigation:

(a) the expenses of investigation shall be defrayed in the first instance by the Central Government, but shall be reimbursed by the following persons to the extent mentioned below, namely:

(1) any person who is convicted on a prosecution instituted, or who is ordered to pay damages or restore any property in proceedings brought, under section 224, to the extent that he may in the same proceedings be ordered to pay the said expenses as may be specified by the court convicting such person, or ordering him to pay such damages or restore such property, as the case may be.

(2) any company or body corporate in whose name proceedings are brought as aforesaid, to the extent of the amount or value of any sums or property recovered by it as a result of such proceedings.

(3) unless, as a result of the investigation, a prosecution is instituted under section 224:

a) any company, body corporate, managing director or manager dealt with by the report of the Inspector, and

b) the applicants for the investigation, where the Inspector was appointed under section 213, to such extent as the Central Government may direct.

(b) As per sub-section (2), any amount for which a company or body corporate is liable under clause (2) above shall be a first charge on the sums or property mentioned in that clause.

4. (a) Three Board meeting of A Ltd. were held on 01.01.2022, 01.04.2022, 01.07.2022. In the fourth Board meeting scheduled for 27.10.2022, no matter could be discussed since the required quorum was not present, and so it was adjourned till 03.11.2022. In the adjourned Board meeting held on 03.11.2022, 5 matters were discussed and voted upon. Assess the situation, Has the company contravened any of the provisions of the Companies Act, 2013?

(b) X & Co. is a LLP firm wants to convert their firm into a corporate entity as per the provisions contained in Sec. 366 of the Companies Act ,2013 and the Companies (Authorized to registered) Rules, 2014. They have conducted a meeting for conversion of and to decide the name of the company summoned for the purpose of registering the LLP. In the meeting 1/4th partners want for the conversion into a Pvt. Ltd company, and ¾th partners want for a new corporate entity with the word "Public Limited". There are 6 partners in the firm. Recommend an appropriate decision and steps to be taken by the firm. [7+7=14]

Answer:

(a) As per section 173 (1), at least four Board meetings shall be held in each calendar year and not more than 120 days shall intervene between two consecutive meetings of the Board.

In the present case, the Board meeting held on 27.10.22 was adjourned, and the adjourned Board meeting was held on 03.11.22. The Board meeting held on 27.11.22 and adjourned Board meeting held on 03.11.22 shall not be deemed to be separate Board meetings, since an adjourned meeting is a mere continuation of the original meeting. Accordingly, the Board meeting held on 27.10.22 and the adjourned Board meeting held on 03.11.22 shall be counted as one Board meeting only. Thus, the company has held 4 Board meetings during the calendar year 2022.

The gap between first and second Board meeting was not more than 120 days. Similarly, the gap between the 2nd and third Board meeting was not more than 120 days. Regarding the gap between the third and fourth Board meeting, the date of third board meeting and forth original board meeting should be considered. This is so because the Board meeting only, it shall be deemed that only one Board meeting was held on 27.10. 2022.As is evident, the gap between the third Board meeting 1.07.22 and fourth Board meeting is not more than 120 days. Since A ltd has held four Board meetings during the calendar year 2022, and the gap between no two consecutive Board meetings is more than 120 days, A Ltd has complied with section 173.

(b) An LLP can be converted into a Pvt. Ltd. Company as per the provisions contained in section 366 of the companies act 2013 and the companies (Authorised to Registered) Rules, 2014.

This steps can be initiated in 2 ways as enumerated below:

(i) Incorporation of a new corporate entity.

(ii) Conversion of existing entity (e.g. LLP/Partnership Firm) into a Company There are various requirements which need to be satisfied for converting an LLP into a private Ltd.

1. An LLP must have at least 7 partners (however as per Companies Amendment Act ,2017 LLP with 2 partners can be converted into company).
2. Approval from all partners is required.
3. Advertisement in newspaper is to be done in a local and national newspaper.
4. No objection certificate (NOC) is required from ROC where such LLP is registered

However, if an LLP crosses an annual turnover of Rs.40 lakhs or a capital contribution of more than Rs.25 lakhs, the compliance requirements for LLP and Private Limited Company become almost similar, making the private limited company a better choice. Further that a company with less than 7 members shall register as a private company, whether the majority is for a new corporate entity with the word "Public Limited ".

The following steps to be taken by the firm:

1. Hold a meeting of the partners to decide the name of the company. To authorize partners to take all steps necessary and to execute all papers, deeds, documents etc. pursuant to register of the LLP as a Company. The major advantages are that the business can be run under the same name as that of the LLP except that in addition to the name of LLP the words Limited or private limited has to be added. The accepted name by the authority will be valid for 60 days.
2. After obtaining name approval, apply for Digital Signature Certificate (DSC) and Director Identification Number (DIN) for the member of the LLP who will be the directors of the Private Limited Company after conversion. n case of non-applicability of DIN, the applicant needs to provide address proof, identity proof and photographs along with the application. Therefore, obtain DIN directly through filing incorporation form.
3. Further, Form URC-1 needs to be filed by the applicant; furnish the following list of documents along with the form URC-1.
   - Provide details such as name, address and shares held by the members along with the member's list.
   - Provide details such as Name, Address, DIN, passport number along with an expiry date of all the directors of the Private Limited Company.
   - An affidavit is required from the first directors of the Private Limited Company stating that they are not banned from being a director.
   - Also, file all mandatory documents with the Registrar of Companies for the registration of the company.
   - Note: The details provided by the company should be complete, correct and accurate to the best of their knowledge.
   - Copy of Limited Liability Partnership agreement with a list containing the name and address of the partners of LLP and a certified copy of registration which is duly verified by at least two designated partners of LPP is required.
   - The statement with the details of the nominal share capital of the firm and the number of shares separated, the number of shares taken and the amount remitted for each share and the name of the firm with the word private limited to be provided.
   - The no-objection certificate from all the creditors has to be provided.
   - Duly certified accounts statement of the company by the auditor, which should not be less than six days from the date of application and the copy of the newspaper advertisement is required.
4. Draft the Memorandum of Association (MOA) and Articles of Association (AOA) and submit to the Registrar of Companies. After the approval of the company name, the Register of Companies sanctions the form URC-1.

5. (a) Illustrate the process of appointment of first auditors in the case of Government Company under section 139(7) of "The Companies Act, 2013".

(b) Nature India Limited filed a petition under Insolvency and Bankruptcy Code, 2016 with National Company Law Tribunal (NCLI) against Tulip Limited and the petition was admitted. After that, Nature India Limited wanted to withdraw the petition based on a

settlement arrived between the parties. Examine whether it is permissible to withdraw the petition after it has been admitted? and also infer the legal provision relating to the admission and rejection of application by an adjudicating authority under the Insolvency and Bankruptcy Code, 2016. **[7+7=14]**

Answer:

(a) As per section 139(7), in case of a Government company, the manner of appointment of first auditor shall be as follows:

i. In the case of a Government company or any other company owned or controlled, directly or indirectly, by the Central Government, or by any State Government, or Governments, or partly by the Central Government and partly by one or more State Governments, the first auditor shall be appointed by the CAG within 60 days of registration of the company.

ii. In case, CAG does not appoint the first auditor within the said period of 60 days, the Board shall appoint the first auditor within next 30 days.

iii. Further, in the case of failure of the Board to appoint such auditor within the next 30 days, it shall inform the members of the company who shall appoint such auditor within the 60 days at an extraordinary general meeting, who shall hold office till the conclusion of the first annual general meeting.

(b) The given problem relates to section 9 of the Insolvency and Bankruptcy Code, 2016 read with Rule 44(2) of the National Company Tribunal Rules, 2016.

As per section 9, an application for initiation of corporate insolvency resolution process may be made by an operational creditor against the corporate debtor. Such application is made to the adjudicating Authority (NCLT)

As per section 13, where an application is made under section 9 is admitted, the adjudicating authority shall make an order with respect to following:

(i) Appoint an interim resolution professional in the manner as laid down in sec 16.

(ii) Cause a public announcement of the initiation of corporate insolvency resolution process and call for the submission of claims.

(iii) Declare a moratorium for the purposes referred to in section 14.

However, section 9 does not address a situation wherein an application made to the Adjudicating Authority is admitted, but afterwards, the operational creditor wishes to withdraw its application. In other words, section 9 is silent as to whether an application, once admitted, can be withdrawn or not. But, this is dealt with Rule 44(2) of the National Company Law Tribunal Rules, 2016.

As per Rule 44(2), where at any stage prior to the hearing of the petition or application, the applicant desires to withdraw his application, he shall make an application to that effect to the Tribunal, and the Tribunal on hearing the applicant and if necessary, the other party in the application, may permit such withdrawal upon imposing such costs as it may deem fit and proper. In "Parker Hannifin India private Limited v Powers International Private Limited" an application made under section 9 was admitted by the Adjudicating Authority. As a consequence of admission of application, public announcement was made inviting claims from the creditors and moratorium was declared. Thereafter, operational creditor and corporate debtor duly agreed for amicable settlement and was arrived at between the parties. Then an application was made to the Adjudicating Authority for withdrawal of application admitted earlier.

The Authority held that after the admission of the application under section 9, the application acquires the character of a representative suit. By reason of public announcement, other creditors become entitled to file their claims and participate in the corporate insolvency resolution process. Therefore, the application cannot be dismissed on the basis of a compromise or settlement arrived at between the operational creditor and corporate debtor. Thus, operational creditor and corporate debtor alone shall have no right to decide the withdrawal of the application. In the given Nature India Limited's application against Tulip Limited has been admitted by the Adjudicating Authority under section 9. Afterwards, Nature India Limited and Tulip Limited entered into a settlement and wanted to withdraw the application. Accordingly, the application admitted under section 9 cannot be withdrawn.

6. (a) Discuss the benefits of Sustainable report.

(b) Classify the major categories of cyber-crimes and summarize them with examples. [7+7=14]

Answer:

(a) **Benefits of sustainability reporting:** Sustainability reporting refers to the disclosure, whether voluntary, solicited, or required, of non-financial performance information to outsiders of the organization. Generally speaking, sustainability reporting deals with information concerning environmental, social, economic and governance issues in the broadest sense. These are the criteria gathered under the acronym ESG (Environmental, social and corporate governance).

The introduction of these non-financial information in published reports is seen as a step forward in corporate communication and considered as an effective way to increase corporate engagement and transparency.

Sustainability reports help companies build consumer confidence and improve corporate reputations through social responsibility programs and transparent risk management. This communication aims at giving stakeholders broader access to relevant information outside the financial sphere that also influences the company's performance.

In the EU, the mandatory practice of sustainability reporting for certain companies is regulated by the Non-Financial Reporting Directive (NFRD) recently revised and renamed Corporate Sustainability Reporting Directive (CSRD). An increasing number of organizations are providing frameworks for sustainability reporting and are issuing standards or similar initiatives to guide companies in this exercise.

There is a wide range of terminology used to qualify this same concept of sustainability reporting: non-financial reporting, extra-financial reporting, social reporting, CSR reporting or even socio-environmental reporting.

UNO supports principles of Responsible Investment (PRI). These principles have subscribed by 3500 signatories who are investors. They have committed to integrate ESG factors into investment decision making.

Most of the large companies in the world are already reporting their ESG profile in line with globally recognized parameters.

Studies have made by one rating agency on ESG ratings which shows variance in rating in different sectors. Though not mandatory ESG rating would give the message to the outsiders, stakeholders

about the ESG approach of the entity. More and more companies are coming under ESG philosophy and practice.

In view of the above, it has become important to reporting of company's performance on sustainability related factors and its importance is as relevant operational performance.

SEBI had in November 2015, prescribed format in reporting ESG parameters listed entities. SEBI has raised the format in May,2021 for reporting ESG parameters called Burins Responsibility and Sustainability Report (BRSR). It seeks disclosure from listed entities on their performance against the principles of National Guidelines on Responsible Business Conduct (NGBRC). Each parameter is divided into leadership and essential indicators, whereas the formal is voluntary and latter is mandatory. The corporates need to look beyond financial figures for effective ecosystem between corporate, society and environment.

With effect from financial year 2022-23, the filing shall be mandatory for top 1000 companies listed in any of the exchange, based on market capitalization.

Sustainable management takes the concepts from sustainability and synthesizes them with the concepts of management. Sustainability has three branches: the environment, the needs of present and future generations, and the economy. Sustainable management is needed because it is an important part of the ability to successfully maintain the quality of life on our planet.

(b) Cyber-crimes can be basically divided into three major categories:

A. Cyber-crimes against persons are:

- *Cyber-Stalking:* It means to create physical threat that creates fear to use the computer technology such as internet, e-mail, phones, text messages, webcam, websites or videos.
- *Defamation:* It is an act of imputing any person to lower down the dignity of the person by hacking his mail account and sending some mails with using vulgar language to unknown persons.
- *Hacking*: unauthorized control/access over computer system and act of hacking completely destroys the whole data as well as computer programmes.
- *Cracking:* Cracking means that a stranger has broken into your computer systems without your knowledge and consent and has tampered with precious confidential data and information.
- *Spoofing*: A spoofed e-mail may be said to be one, which misrepresents its origin. It shows its origin to be different from which actually it originates. Spoofing is a blocking through spam which means the unwanted uninvited messages. Wrongdoer steals mobile phone number of any person and sending SMS via internet and receiver gets the SMS from the mobile phone number of the victim.
- Carding: It means false ATM cards i.e. Debit and Credit cards used by criminals for their monetary benefits through withdrawing money from the bank account mala fidely.
- *Fraud:* It means the person who is doing the act of cyber-crime i.e. stealing password and data storage has done it with having guilty mind which leads to fraud and cheating.
- *Threat:* refers to threatening a person with fear for their lives or lives of their families through the use of a computer network i.e. E-mail, videos or phones.

B. Cyber-crimes against property

There are certain offences which affects person or properties which are as follows:

- *Squatting:* It means where two persons claim for the same Domain Name either by claiming that they had registered the name first on by right of using it before the other or using something similar to that previously.
- *Vandalism*: Vandalism means deliberately destroying or damaging property of another. Thus cyber vandalism means destroying or damaging the data when a network service is stopped or disrupted. It may include within its purview any kind of physical harm done to the computer of any person.
- *Hacking*: Hacktivism attacks those included Famous Twitter, blogging platform by unauthorized access/ control over the computer. Due to the hacking activity there will be loss of data as well as computer.
- *Virus:* Viruses are programs that attach themselves to a computer or a file and then circulate themselves to other files and to other computers on a network. They usually affect the data on a computer, either by altering or deleting it. Worm attacks plays major role in affecting the computerize system of the individuals.
- *Trespass*: It means to access someone's computer without the right authorization of the owner and does not disturb, alter, misuse, or damage data or system by using wireless internet connection.

C. Cyber-crimes against Government

There are certain offences done by group of persons intending to threaten the international governments by using internet facilities. It includes:

- Terrorism: Cyber terrorism is a major burning issue in the domestic as well as global concern. The common form of these terrorist attacks on the Internet is by distributed denial of service attacks, hate websites and hate e-mails, attacks on sensitive computer networks etc. Cyber terrorism activities endanger the sovereignty and integrity of the nation.
- Warfare: It refers to politically motivated hacking to damage and spying. It is a form of information warfare sometimes seen as analogous to conventional warfare although this analogy is controversial for both its accuracy and its political motivation.
- Piracy: It means distributing pirated software from one computer to another intending to destroy the data and official records of the government.
- unauthorized Information: It is very easy to access any information by the terrorists with the aid of internet and to possess that information for political, religious, social, ideological objectives.
  - (i) Tampering with Computer source documents - Sec.65
  - (ii) Hacking with Computer systems, Data alteration - Sec.66
  - (iii) Publishing obscene information - Sec.67
  - (iv) Un-authorised access to protected system Sec.70
  - (v) Breach of Confidentiality and Privacy - Sec.72
  - (vi) Publishing false digital signature certificates - Sec.73

7. (a) Discuss "connected person" in context of insider trading.

(b) Analyse the duties and power of the director general of Competition Commission of India? [7+7=14]

Answer:

(a) According to Regulation 2 (1) (d) of SEBI (Prohibition of Insider Trading) Regulations, 2015, "connected person" means-

any person who is or has during the 6 months prior to the concerned act been associated with a company, directly or indirectly, in any capacity including by reason of frequent communication with its officers or by being in any contractual, fiduciary or employment relationship or by being a director, officer or an employee of the company or holds any position including a professional or business relationship between himself and the company whether temporary or permanent, that allows such person, directly or indirectly, access to unpublished price sensitive information or is reasonably expected to allow such access. The following persons shall be considered to be connected persons unless the contrary is established, -

(a) an immediate relative of connected persons specified in clause (i); or
(b) a holding company or associate company or subsidiary company; or
(c) an intermediary as specified in section 12 of the Act or an employee or director thereof; or
(d) an investment company, trustee company, asset management company or an employee or director thereof; or
(e) an official of a stock exchange or of clearing house or corporation; or
(f) a member of board of trustees of a mutual fund or a member of the board of directors of the asset management company of a mutual fund or is an employee thereof; or
(g) a member of the board of directors or an employee, of a public financial institution; or
(h) an official or an employee of a self-regulatory organization recognised or authorized by the Board; or
(i) A concern, firm, Hindu undivided family, company, or an association of persons wherein a director of the company or his immediate relative or banker of the company, has more than ten percent of the holding of interest.

7. (b) The competition bill, 2001 was introduced in Lok Sabha on 6 august 2001 and passes on December 2002 to replace the MRTP act, 1969. The act is also acknowledged as competition act 2002 or antitrust law. This act extends to whole of India except the state of Jammu and Kashmir. The objective of the act to prohibits anti-competitive agreements, abuse of the dominant position by enterprises and regulates the combinations which causes or likely to cause adverse effect on competition with in India.

The Central Government appoints a Director General for the purposes of assisting the Commission in conducting inquiry into contravention of any of the provisions of this Act and for performing such other functions.

The Director General is responsible for performing a number of important duties, which are outlined below:

Conducting Investigations: The primary duty of the DG is to investigate cases where there is a suspicion of anti-competitive behaviour by businesses or individuals. The DG may conduct

investigations on its own initiative, or on the basis of a complaint filed by a party. In conducting investigations, the DG has the power to summon witnesses, call for the production of documents, and conduct search and seizure operations.

Gathering Evidence: In the course of investigations, the DG is responsible for gathering evidence in order to establish whether there has been a contravention of the Competition Act. This may involve interviewing witnesses, examining documents and records, and analysing economic data.

Preparing Reports: Once an investigation is complete, the DG is required to prepare a report outlining its findings. The report must contain details of the alleged anti-competitive conduct, the evidence gathered during the investigation, and the DG's conclusions as to whether there has been a contravention of the Competition Act.

Providing Expert Opinions: The DG is often called upon to provide expert opinions and advice to the Competition Commission of India (CCI) on matters related to competition law and policy. This may include providing advice on proposed mergers and acquisitions, conducting market studies, and assessing the impact of government policies on the competition.

*Assisting the CCI: T*he DG is required to assist the CCI in the discharge of its functions under the Competition Act. This may include providing technical and administrative support, assisting in the preparation of cases, and presenting evidence before the CCI.

Prosecuting Offences: In cases where the DG concludes that there has been a contravention of the Competition Act, it is responsible for initiating prosecution proceedings before the Competition Commission of India.

Conducting Advocacy: The DG also plays an important role in promoting competition advocacy, which involves raising awareness about the benefits of competition and advocating for policies and practices that promote competition in the marketplace.

The Director General shall in the entire matters under his charge, have powers assigned to him all the way through the Governing Body. He shall exercise these powers under the direction, superintendence and control of the Society, President and Vice President and subject to these rules and bye-laws.

Section 33: - power to issue interim orders

The commission may by order, temporarily restrain any party from carrying on such act until the conclusion of any such inquiry or until further orders, without giving notice to such party where it deems necessary. Section 33 empowers to issue in term orders in case of anticompetitive agreements.

Section 34: - the power to award competition

In the section 34 of this act, the anti-competitive agreements are agreements in the midst of competitors in the direction of prevent, restrict or distort competition. Section 34 under this Act disallow agreements, decisions and practices that are anti-competitive.

Section 35: -

Person or an enterprise or the Director General may either appear in person or authorize one or more chartered accountants or company secretaries or cost accountants or legal practitioners or else any of his or its officers to there his or its case sooner than the Commission etc.

8. (a) "Money Laundering is the process of conversion of such proceeds of crime, the 'dirty money', to make it appear as 'legitimate' money"- examine the validity of statement by the rules and regulations of the act "The Prevention of Money Laundering Act, 2002"

(b) Describe the role of Reserve Bank of India in management of foreign exchange. [7+7=14]

Answer:

(a) The goal of a large number of criminal activities is to generate profit for an individual or a group. Money laundering is the processing of these criminal proceeds to disguise their illegal origin. The money so generated is tainted and is in the nature of 'dirty money'. Money Laundering is the process of conversion of such proceeds of crime, the 'dirty money', to make it appear as 'legitimate' money.

The Prevention of Money Laundering Act, 2002 consists of ten chapters containing 75 sections and one Schedule divided into five parts.

The objects sought to be achieved under the Act are:

(a) To prevent and control money laundering.
(b) To confiscate and seize the property obtained from the laundered money. And
(c) To deal with any other issue connected with money laundering in India.

The Directorate of Enforcement in the Department of Revenue, Ministry of Finance is responsible for investigating the cases of offence of money laundering under Prevention of Money Laundering Act, 2002. Financial Intelligence Unit - India (FIU-IND) under the Department of Revenue, Ministry of Finance is the central national agency responsible for receiving, processing, analysing and disseminating information relating to suspect financial transactions to enforcement agencies and foreign FIUs. Central Govt.(CG) shall appoint adjudicating authority to exercise jurisdiction and powers conferred under the Act.

The process of Money Laundering:

(a) *Placement:* The Money Launderer introduces the illegal funds into the financial systems. This might be done by breaking up large amount of cash into less conspicuous smaller sums which are deposited directly into a Bank Account or by purchasing a series of instruments such as Cheques, Bank Drafts etc., which are then collected and deposited into one or more accounts at another location.

(b) *Layering:* In this stage, the Money Launderer typically engages in a series of continuous conversions or movements of funds, within the financial or banking system by way of numerous accounts, so as to hide their true origin and to distance them from their criminal source. The Money Launderer may use various channels for movement of funds, like a series of Bank Accounts, sometimes spread across the globe, especially in those jurisdictions which do not co– operate in anti-Money Laundering investigations.

(c) *Integration:* The Launderer moves to this third stage in which the funds reach the legitimate economy, after getting inseparably mixed with the legitimate money earned through legal sources of income. The Money Launderer may invest the funds into real estate, business ventures & luxury assets, etc. so that he can enjoy the laundered money, without any fear of law enforcement agencies.

The offences listed in the Schedule the Act, are scheduled offences and are divided into three parts - Part A, B and C.

In Part A, offences to the Schedule have been listed in 28 paragraphs.

Part 'B' of the Schedule are offences with total value involved is ₹1 crore or more.

Part 'C' deals with trans-border crimes, and is a vital step in tackling Money Laundering across International boundaries. Whoever commits the offence of money-laundering shall be punishable with rigorous imprisonment for a term which shall not be less than three years but which may extend to seven years and shall also be liable to fine. But where the proceeds of crime involved in money-laundering relate to any offence specified under paragraph 2 of Part A of the Schedule, the maximum punishment may extend to ten years instead of seven years. Property made out of proceeds of crime, directly or indirectly attached and/or confiscated by the authority.

(b) **Since** its inception Reserve Bank has been playing key role in the formulation of monetary, banking and financial policies.

(i) **Inspection of banks**

Reserve Bank of India has been empowered under Banking Regulation Act, 1949 to conduct the inspection of banks and regulate them in the interest of banking system, banking policy and depositors/public.

(ii) **Regulatory role of commercial banks**

Department of Banking Operations and Development exercises regulatory powers in respect of commercial banks and Local Area Banks (LABs).

(iii) **Anti - money laundering under PMLA**

RBI has a role in PMLA by creating an anti-money laundering Cell (AML Cell) for combating Financing of Terrorism (CFT) and tracking domestic and global developments in AML and CFT.

(iv) **Approval/ monitoring of Board level appointments of commercial banks.**

The key activity of the section, appropriately named as Appointments Section, relate

- Approval of proposals from the domestic private sector banks for appointment/ removal of part-time Chairman/Managing Director/ whole-time Chairman and Chief Executive Officers.
- Making recommendations to Government regarding appointment of Executive Directors/Chairmen & Managing Directors of public sector banks, fixation of their salaries, payment of superannuation benefits and other allied matters.
- Making recommendations to Government regarding appointment of non-official directors, non-workmen directors and RBI Nominee Directors on the Boards of Nationalised banks.

(v) **licensing of branches**

- issue of authorisations to Indian commercial banks including Local Area Banks for opening of branches in pursuance to regulatory powers vested with Reserve Bank under the provisions of Banking Regulation Act, 1949.
- To consider representations/complaints from institutions/VIPs and members of public for opening /shifting/closure of bank offices.
- Review of branch licensing policy periodically
- Maintenance and updating of database on opening/substitution/closure/shifting of branches, Extension Counters, ATMs, etc.

(vi) **Banking policy**

It undertakes various new policy initiatives and reviews existing guidelines for progressive upgradation of prudential norms to move towards best practices. The major activities of the Section are as follows:

- Formulation of policy and issue of prudential guidelines pertaining to Capital adequacy; Income recognition; asset classification and provisioning pertaining to advances portfolio; Classification, valuation and operation of investment portfolio; and Credit exposure limits.
- Formulation of policy and issues regarding capital structure of public sector banks, including raising of fresh equity, return of capital, recapitalisation.
- Formulation of policy and issuance of regulatory guidelines for implementation of the Basel II framework.
- Policy guidelines / clarifications on integrated risk management systems including Asset Liability Management and issue of guidance notes on various aspects.
- Policy issues/ guidelines pertaining to compromise settlement of NPAs of banks.
- Matters regarding Foreign Contributions Regulations Act – donations received by organizations from abroad.

(vii) **Issue of directives to banks**

Various directions are issued by RBI from time to time, on payment of Interest rates on various types of deposit accounts (including NRI deposit), maintenance of deposit accounts, prohibitions in respect of S.B. Accounts, matters relating to payment of additional interest and brokerage on deposits, appointment of agents for soliciting deposits, giving gifts/incentives to depositor's/staff members, freezing of accounts, Resurgent India Bonds, Development Bonds, etc. RBI may also direct Capital Market Exposure of banks.

(viii) **Collection and dissemination of information**

Collection and dissemination of information from/to banks and notified All-India financial institutions (FIs) regarding defaulting borrowers with outstanding aggregating ₹1 crore and above, which have been classified by them as 'doubtful' or 'loss' (non-suit filed accounts) on half-yearly basis viz., as on March 31 and September 30.

(ix) **Overseeing/ monitoring Indian banks operations abroad**

- Policy formulation and issue of guidelines regarding overseas operations of Indian banks, examination of proposals and grant of approvals for opening their Joint Ventures / Representative Offices / branches and review of their overseas operations including closure of branches / joint ventures / representative offices.
- Approval of Indian banks' proposals for entering into Management Agreements and correspondent banking arrangements with foreign entities.
- Preparation of proposals for submission before IDC of GOI regarding opening of branches / representatives offices of Indian banks abroad.

(x) **Authorisation for dealing in precious metals**

Policy matters relating to Gold Deposit and Gold Import Schemes and dealing with references received from banks in this regard, issue and renewal of authorization for banks for import of gold / silver / platinum and acceptance of gold under Gold Deposit Scheme and collection of data relating to import of gold and Gold Deposit Scheme and collection of data relating to import of gold and gold deposits by banks in India.

(xi) **Overseeing and monitoring offshore banking units**

- Approvals for setting up of Offshore Banking Units (OBUs) and issue of policy guidelines for the operation of OBUs in Special Economic Zones (SEZs).
- Correspondence with Government and other agencies relating to setting up of Special Economic Zones, International Financial Services Centres.

(xii) **Monitoring and policy making industrial and export credit**

The industrial credit segment has been considerably liberalized / deregulated over the period. At present, various items of work currently undertaken by IECS are distributed amongst three desks viz. (i) Policy Desk (ii) Export Credit Desk and (iii) Industrial Rehabilitation Desk.

(xiii) **Interpretation of regulations**

(xiv) **Granting exemptions**

(xv) Role in management of foreign exchange.:

a) Controlling dealings in foreign exchange by giving general or special permission for dealing in foreign exchange, excluding those cases where specific provisions have been made in Act, Rules or Regulations.

b) RBI cannot impose any restrictions on current account transactions. These can be imposed only by Central Government in consultation with RB. In certain cases, prior approval of RBI is required for current account transactions as provided in Foreign Exchange Management (Current Account Transactions) Rules, 2000.

c) Specifying conditions for payment in respect of capital account transaction – Section 6(2).

d) Regulate/prohibit/restrict the following, by issuing Regulations:

- Transfer or issue of foreign security to resident and Indian security to non-resident;
- Borrowing and lending in foreign exchange or to a foreign person;
- Export/import of currency or currency notes;
- Transfer of immovable property outside India;
- Giving guarantee or surety where foreign exchange transaction is involved – Section 6(3)

e) Specify (by regulation) period and manner in which foreign exchange due from export of goods and services should be received – Section 8.

f) To grant exemption from realisation and repatriation in cases specified under Section 9.

g) Granting authorisation to 'Authorised Person' to deal in foreign exchange, to give directions to them and to inspect the authorised person – Sections 10, 11 & 12. This post was last modified on June 25, 2021 12:38 pm

(xvi) **Bankers bank:**

It extends loans and advances to commercial banks.

(xvii) **Bankers to Central Govt./State Govt**.

RBI is the banker to Central/ State Govt. where it also extends loan and keeps account. It also issues bonds on behalf of the Govt.

(xviii) **Oversee payment and settlement system**

RBI oversees payment and settlement system of commercial banks.